

Key Currency Views

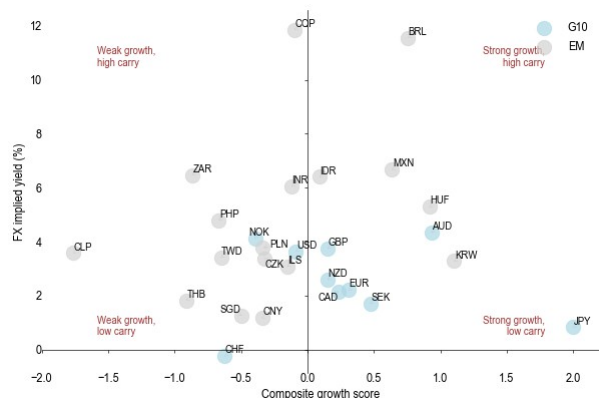
Pausing the bullish USD narrative (temporarily), while carry pays the bills

- We have mostly neutralised our USD long recommendations, but maintain a bullish bias given valuations and still-high carry...
- ...while payrolls haven't provided a catalyst for strength, Fed vigilance should also prevent a substantial weakening.
- With all the hand wringing around the dollar, carry continues to pay the bills with returns of 6-12% YTD.
- Pro-cyclical signals have become stronger, reinforcing the case for carry, i.e. the "Bullish beta" view. The US is middling on growth and equity momentum.
- DM: Preferred funder is CHF vs. a basket of DM high yielders (AUD, NOK, USD). EM: Bullish on COP, MXN, HUF and TRY. Several high yielders have positive growth momentum as well (Figure 1).
- It is premature to look for low-yielding cyclical FX to make a comeback. Without Fed cuts, expect FX to remain a single-factor, carry-driven market.
- Historical US-Japan yen intervention hasn't led us to change our USD/JPY target of 164. All eyes are now on the BoJ to deliver a more aggressive pace of hikes or for Japan to mobilise repatriation...
- ... yen mean-reversion plays are more viable vs. other funders such as CHF rather than the dollar.
- Targets: NOK, ILS, KRW, COP, MXN marked higher; CHF, HUF, CLP marked lower
- G10: EUR/USD 1.13-1.14 2H, 1.10 2Q27. USD/JPY 164, both unchanged. EUR/CHF 0.95 (0.92). EUR/NOK 3Q 10.80 (10.90).
- EM: USD/CNY 4Q 6.70. USD/KRW 1490 (1560). USD/MXN 17.25 (17.30). USD/BRL 5.20, unchanged. USD/ILS 2.85 (2.95). USD/COP 3200 (3500).

Figure 1: Looking for carry with good growth? Several candidates fit the bill (AUD in DM, MXN, HUF in EM)

Y: FX 1-month implied yield (%)

X: composite growth momentum signal based on EASIs and FRIs (avg cross-sectional z-score of 1y zscore of 3m chg in FRI and 1m moving avg in EASI)



Source: J.P. Morgan

Global FX Strategy

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See page 54 for analyst certification and important disclosures.

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Global Currency Overview

Figure 1: Global currency overview

	Bullish Bias	Neutral	Bearish Bias
G10	USD: While we have neutralized most of our tactical USD longs, we think it is premature to jettison the dollar bullish bias since carry is still attractive and Fed hiking bias still remains (albeit postponed). Hence our forecasts continue to reflect USD strength (EURUSD 1.10, USDJPY 164), although realization will require Fed hikes to be activated. Without an imminent catalyst for the latter, USD pairs will remain in ranges. NOK: Bullish on carry. Uncertainty over energy prices remains, the broader carry backdrop is favourable. Norges Bank could potentially hike in September and the dollar isn't a threat to the krone. Traffic through the strait of Hormuz is tracking at low levels which can support NOK via terms of trade. EUR/NOK is now rich to fair value, also favouring the krone. Domestic growth in Norway isn't surpassing Norges Bank forecasts but it is resilient enough to bolster the case for carry inspired longs in the krone. AUD: Top-down constructive on carry but neutral bottom up. Expecting relative stability given some terms of trade positives remain, offset by fading prospects for further RBA tightening, and a weakening economy/housing market. Accrued carry, strong FI portfolio inflows and the trend to increased FX hedge ratios by local superannuation funds limit the downside. Long AUD via short CHF basket.	GBP: Neutral on politics even though data is bullish. There is a few weeks window where GBP can outperform on strong growth and in a policy void where detrimental fiscal policy trial balloons are unlikely before government recess ends in September. UK data surprises have improved and GDP data this week was solid. However, increased focus on politics in September keeps us on the sidelines for now. NZD: Cautious from top-down view, even if moderately more constructive bottom-up on recovering growth and immigration/capital inflows, alongside a material RBNZ hiking cycle. Business surveys have bounced back from an oil-related stumble in 2Q. In starting from accommodative territory while broader financial conditions are easing (bank capital/macro-pru tax policy), the RBNZ Hawk Dove Score appears sustainable near the top of G10. However staying neutral given carry deficit vs. RoW. JPY: Neutral on trade race but bearish forecasts (USD/JPY 164). Heightened uncertainty surrounding potential intervention risk is a concern even though we don't think intervention alone does not alter our medium-term bearish conviction, as the global monetary policy cycle remains increasingly unfavorable for JPY. The policy mix under the Takaichi administration amplifies the risk of sustained domestic inflationary pressures and further yen depreciation. But watch the upcoming BoJ response.	EUR: Bearish bias. Tactically neutral vs. USD but still prefer to use EUR as a funder. Regional growth and equity momentum are improving in the Euro area but the carry deficit is still a constraint for currency strength. A necessary condition for sizable EUR strength is for Fed terminal to move materially lower, not our base case for now. This will keep EUR/USD in narrow ranges, but will the global procyclical environment will still be conducive for carry performance. We continue to like EUR funded carry trades. CAD: Bearish, continue using as a funder. CAD's 2Q growth looks solid, and cyclical momentum bears watching into 2H'26. But 2Q strength preceded the latest (Section 338) tariff threat, due to be implemented next week. Meanwhile, BoC says slack still exists, which should limit the inflation pass-through and rates are already aggressively priced, leaving limited risks of CAD outperformance from a pure rates perspective. With USMCA also unresolved and carry still en vogue, we remain short via procyclical, positive-carry structures like CAD/MXN downside. CHF: Bearish on pro-carry, pro-growth environment with continued global growth upgrades and sticky US yields. Structural supports from BOP, PPP persist, but debasement pillar of support from early 1H is in the backseat. SNB is supportive of use as funder. Preference to be short vs high-yielding high beta short vs basket of AUD, USD, NOK, HUF. SEK: Neutral on trade race but bearish bias given global view. Bottom-up picture looks increasingly better amid growth and inflation beats, but this is not enough and US yields remain main upside risk to EUR/SEK. There is still the case to use SEK as carry funder vs high yields, but EUR/SEK upside would require US yields to resume their rise. For significant downside though, better domestic growth is not enough in our view and it requires either (1) lower US yields, or (2) equity momentum to turn significantly in favour of Sweden vs the US.
Asia	TWD: Long TWD vs SGD for carry with CBC focused on stability. Equity outflows have pushed TWD NEER to the bottom of the dynamic stability corridor, but seasonal dividend related outflow pressures should ease up from here and as lifers have reportedly dipped their toes back into NDFs. Perceptions of stronger FX policy support have strengthened after the recent Yen intervention, with TWD screening as an outlier weak currency in N Asia. CNY: Staying constructive while waiting to re-engage with CNY longs. CNY FX has participated only modestly in the recent USD selloff, reflecting soft domestic fundamentals, stretched long positioning, and signs of PBoC pace control via a flatter daily fixing. However, we view the stabilization in the fixing as a tactical pause rather than a policy shift. With export resilience, persistently large trade surpluses, and ongoing exporter USD conversion supporting the currency, the structural case for CNY strength remains intact. While our short USD/CNH option trade has rolled off earlier this month, we would look to re-establish CNY longs against the USD and EUR once positioning becomes less crowded. INR: MW on the GBI-EM. Bullish vs PHP and IDR as capital flows return, hedged with \$INR topside into weaker seasonals and Iran oil risk. The RBI's efforts to attract capital flows have driven over \$60bn of inflows via FCNR deposits, and FI equity flows have also turned modestly positive at the margin, but transmission to INR strength is contingent on the central bank's reaction function around the incoming dollars and blunted to a degree by a maturing forward book. Given stronger imports into the festive season, however, we stay long RV but have added \$INR upside as a hedge.	KRW: USD/KRW fell a whopping 6% in July (2.5x) primarily driven by windfall semiconductor earnings triggering a surge of corporate repatriation inflows into the end-August advance tax deadline, with an additional kicker from Yen intervention spillover. Such inflows are materially advanced and should peak shortly, and could even partially reverse into quarterly dividend payment season. In the meanwhile, FI equity outflows continue albeit at a slower pace than before, and the pace of domestic retail outflows has picked up sharply to trend early 26 levels. Absent another push from the Yen, the best of Won strength locally is likely behind us. IDR: MW on the GBI-EM. Short IDR vs. INR. Higher risk premia slows rupiah's slide, but outflow pressures still ahead. BI's policy rate and liquidity tightening have expanded risk premia to strike a fragile equilibrium for now, but FDI dividend seasonals continue to loom in the coming months. Appointment of a new BI governor may have reduced policy uncertainty to some extent, but there is risk of reduced rate support for IDR if maturing SFRBs are allowed to roll off. MYR: MW on the GBI-EM. Import intensive datacentre FDI beginning to pay dividends in services exports, but financial conditions remain key. ICT services exports have begun to lift with DC capacity coming online, but swings in the broad USD are likely to sway the ringgit for now, given still inadequate corporate FX conversion.	PHP: Short PHP vs INR. Easing energy prices a relief but BOP fundamentals remain poor. Policy support continues to be key FX stability even as seasonals improve in 2H, with BSP adding rate hikes to FX intervention in the face of a still weak external balance. SGD: Short SGD vs TWD for carry as risk premia remains low and policy tightening remain gradual. A gradual MAS tightening cycle continues to limit upside for \$SNEER, but compressed carry still makes \$SNEER an ideal funder for FX carry. THB: UW on the GBI-EM. Surging investment makes THB a funder but tactically set up warrants caution. A surge in investment imports has begun to weigh on FX flows, narrowing the fundamental support for the CA via a narrowing of the S-I gap. Heavy short THB positioning remains a risk as the USD faces headwinds, however, warranting a reduction in the size of our UWs for now.
EM LatAm	MXN: Mexico's external accounts have held up well despite ongoing uncertainty, with firm exports complemented by resilient inflows from tourism, remittances, and oil. Against this backdrop, with Banxico unlikely to deliver additional rate cuts and MXN volatility well below the average of EM, we maintain our constructive view, staying OW MXN and keeping a short CAD/MXN position. COP: We recently upgraded COP to OW (from MW). We see COP as a cleaner carry expression, and the move also reflects our view that election risk has rotated out of Colombia and is moving into Brazil. We are OW COP.	BRL: Polls are still giving an advantage to President Lula, and our view is that if this gap persists or widens, there is space for higher volatility in local assets as we get closer to October. Our fair value model points to a slightly expensive currency, and positioning remains quite long. We are MW BRL. CLP: The currency's volatility remains higher than the average of EM and low yields keep it unprotected from the swings in risk appetite. This dynamic has offset the positive impact of higher prices of copper. We are MW CLP. PEN: The behavior of realized inflation and the more gradual but consistent increase in inflation expectations has caused a rapid contraction of real rates in Peru. This is keeping us on the sidelines on the currency for now, particularly as the low yields in EM are somewhat more vulnerable to swings in broader appetite for risk. We are MW PEN.	
EM EMEA	HUF: We continue to be structurally bullish HUF and are OW in the GBI-EM model portfolio, with expected structural FX catchup to peers underpinned by expected macro-fundamental improvements under the new Tisza government. Disbursement of 18bn of EU funding can provide a large growth impulse to already recovering activity. We view softer than expected July PMIs and Q2 GDP as a pause in broader improvement trend. Our year-end EUR/HUF target is 340. We continue to be long HUF vs RV basket (50% PLN, 50% CZK) and hold seagull option structures. ILS: Re-widening in the ILS-USD rate differential and a return to positive global tech equity sentiment are constructive ILS and we look for a move lower in USD/ILS 2.85 by year-end (see here). Economic gearing to Altech and defence sectors is likely to keep driving productivity gains, growth differential, and investment inflows. The BoI did not intervene in FX in July signalling an incrementally hawkish tilt, after buying \$1.8bn across May/June and verbally intervening when USD/ILS fell to 2.80. We also note that the deflation momentum in tradable goods has turned and wages continue to be strong under a tight labour market. CZK: We have been OW CZK since June, with the structural bull case grounded in stronger growth momentum (see here), as well as an attractive vol-adjusted carry profile and hawkish CNB. While softer than expected Q2 GDP growth (2.0% vs 2.2% cons) has led the CNB to be incrementally dovish recently – core inflation remains firm around the 3% upper tolerance band and the central bank is still priced to hike 60bps over the next year. We expect FX to benefit from positive activity and inflation trajectory. TRY: We remain MW TRY in the GBI-EM model portfolio favouring selling short-term USDTRY forwards in a more tactical manner. TRY has benefited from a positive carry environment with positioning recently rising. The carry profile continues to be attractive, albeit with softer than expected July CPI likely opening the door for easing ahead. We expect one-week repo auctions to remain suspended until the September 10 MPC meeting, with the effective funding rate at the 40% overnight lending rate until that time. Thereafter, we expect 100bp cuts at both the October and December meetings, bringing the one-week repo rate to 35% by end-26.	ZAR: A positive global growth backdrop, perceived more benign US inflation outlook, as well as improving gold prices provide a positive ZAR overlay. That said, we find ZAR is 1 standard deviation overvalued compared to our estimate of short term fair-value (16.9), considering US swap rates and South Africa's terms of trade, which has been largely flat given the rise in oil prices since July despite gold's rally. With the carry outlook incrementally less appealing after the SARB held rates at its July meeting, we are hesitant to chase USDZAR lower away from fair value. We remain MW ZAR. PLN: Anticipated step up to EUR 40bn in EU inflows in 2026 continues to bode well for growth-sensitive July and Q2 GDP growth surprised to the upside (3.8% y/y vs 3.7% cons). Furthermore, a rate beat in preliminary July inflation (0.6% m/m vs 0.7% cons) are encouraging for the carry outlook. The NBP is now priced to hike rates 30bp over the next year (from small easing priced 1m ago). However, for a clearer appreciation potential, NBP itself would have to shift hawkish, in our view. We are MW PLN in the GBI-EM model portfolio. RON: MW in the GBI-EM Model Portfolio. We remain moderately bullish vs the forwards in RON. FX is likely to be more tightly contained going forward with inflation decelerating less than expected in July. Capacity to defend the currency remains solid with ample FX reserves. However, if tail risks of snap elections or AUR involvement in government were to materialize, NBR would likely allow a weaker RON.	

Please see the full list of contributing analysts at the end of this publication.

Source: J.P. Morgan

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Global Markets Strategy
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14 August 2026

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Key Currency Drivers

Pausing the bullish USD narrative (temporarily), while carry pays the bills

- We have mostly neutralized our USD long recommendations but maintain a bullish bias given valuations and still-high carry...
- ...while payrolls haven't provided a catalyst for strength, Fed vigilance should also prevent a substantial weakening. Look for narrow ranges in USD pairs until more decisive data emerges.
- With all the hand wringing around the dollar, carry continues to pay the bills with returns of 6-12% YTD.
- Procyclical signals have gotten stronger, strengthening the case for carry performance, i.e. "Bullish beta" view. The US is middling on both growth and equity momentum.
- DM carry: Our preferred funder is CHF which doesn't face pushback from local authorities (unlike yen) vs. a basket of DM high yielders (AUD, NOK, USD).
- EM: Our strategists are bullish on high yielders like COP, MXN, HUF and TRY, which are also mostly posting positive growth momentum as well.
- It is premature to look for low-yielding cyclical FX to make a comeback as without Fed cuts, we expect FX to remain a single-factor, carry-driven market.
- Historic US-Japan yen intervention hasn't led us to change our USD/JPY target of 164. All eyes are now on the BoJ to deliver a more aggressive pace of hikes or for Japan to mobilize repatriation...
- ... yen mean reversion plays are more viable vs. other funders like CHF rather than the dollar.
- We discuss upcoming political risk for select FX.
- Targets: NOK, ILS, KRW, COP, MXN upgraded; CHF, HUF, CLP marked down.
- G10: EUR/USD 1.13-1.14 2H, 1.10 2Q27. USD/JPY 164, both unchanged. EUR/CHF 0.95 (0.92). EUR/NOK 3Q 10.80 (10.90).
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No end to the dollar purgatory: Reduced USD exposure...

The second leg of our "Bullish Beta, Bullish USD" continues to be challenged, prompting us to neutralize most of our USD longs last week. The bullish USD view which we have held since mid-May had required Fed hikes to be activated, but the data hasn't provided the necessary catalyst as we have had two consecutive soft payrolls and CPI prints. **This leaves FX market participants (and us) in an uncomfortable position.** While the data hasn't been strong enough for markets to price in imminent Fed hikes, it equally hasn't been weak enough to take out the Fed hikes down the road either. The rate in the US is 4.1%, below the Fed's year-end forecast for year-end, although this is admittedly driven by a worse supply side. And our economists project July core PCE of ~0.32%/m/m, hotter than consensus and the Fed forecast of 0.22% for the rest of the year on average. So while the odds of a September hike have fallen to 30%, the market still retains a hiking bias and has pushed back the timing of delivery (rates markets were previously pricing in as much as 42bp of hikes in 2026, which has now fallen to 22bp).

...but maintaining bullish bias

We reduced exposure to bullish USD exposure in our recommendations last week, but it is too soon to jettison the bullish USD bias completely. Reasons to reduce the exposure include less pressure from select US data as discussed above (also see Figure 1) and an improving global growth backdrop which could lead to mid-USD smile dynamics if the Fed isn't hiking imminently (more on this below). **Reasons to maintain a bullish USD bias** include: the dollar's still high yielding and energy exporter status; valuations (USD was still undershooting and had never rally caught up to higher rates (Figure 2); similarly, EUR/USD fair value is closer to 1.12; see EUR); and the reliable USD strength ahead of Fed hikes (Figure 3).

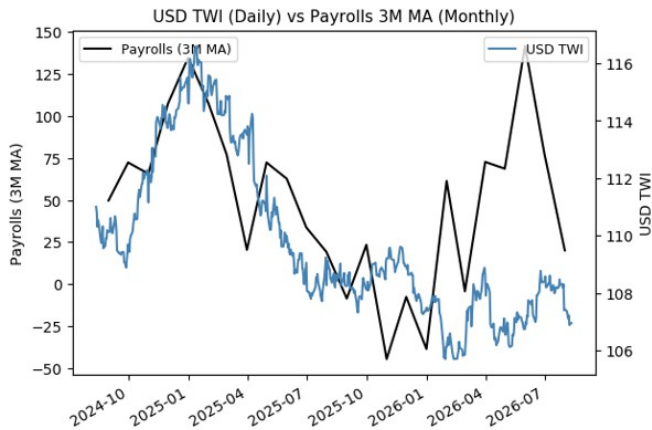
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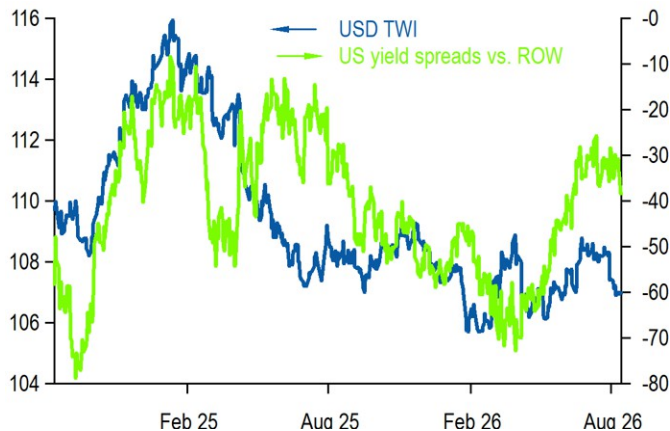
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Figure 1: The upside pressure on USD from strong payrolls is fading...



Source: J.P. Morgan

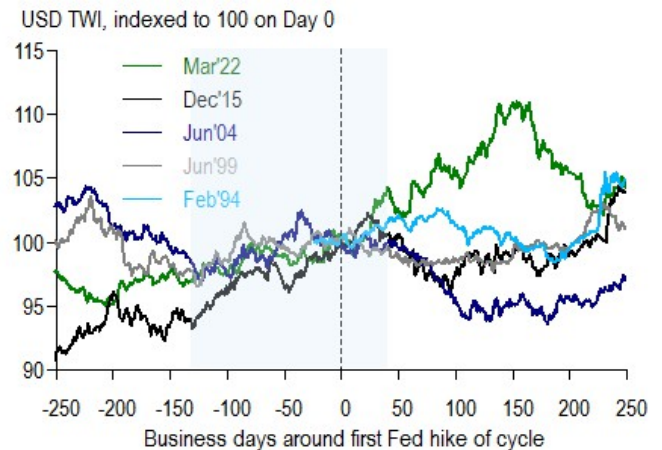
Figure 2: ...but the dollar is still undershooting on several metrics; it had never quite priced in the Fed hikes



Source: J.P. Morgan

Figure 3: The broad dollar tends to reliably appreciate ~5% in the period between ~6-months leading up to the first Fed hike to ~1 month after

Blue shaded area highlights the phase of reliable USD TWI appreciation in the lead-up to the first Fed hike across cycles



Source: J.P. Morgan

USD ranges could stay narrow...

Hence, we retain a modest USD long via our carry basket and our FX forecasts continue to reflect USD strength (EUR/USD downside targets of 1.10, USD/JPY 164). There is also a recognition at our end that ultimately these could be narrow ranges for the dollar as well if the Fed terminal will be moving in +/- 30bp range. For instance, recent betas suggest that a 30bp re-pricing for the Fed should be worth only around 1% on the DXY (Figure 4). If the Fed actually starts to hike, we expect a larger move given that the dollar is currently undershooting (hence, our EUR/USD downside target of 1.10), but even then the move would be eventually capped as markets would struggle to price in more than 3 hikes in aggregate.

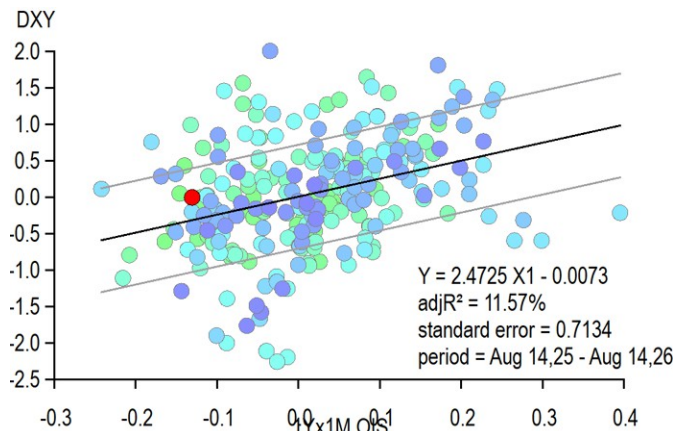
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Figure 4: Dollar doomed to be in narrow ranges? Recent betas suggest that a 30bp re-pricing for the Fed should be worth only around 1% on the DXY; hikes would elicit a larger move given USD undershoot but still strength will be capped

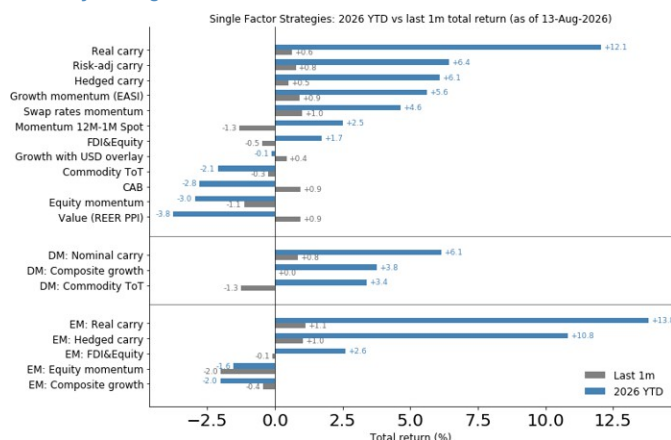


Source: J.P. Morgan

...but carry continues to pay the bills

All the hand-wringing in USD aside, what continues to reliably pay the bills in FX is carry. Global FX carry baskets have posted total returns of 6-12% YTD (Figure 5). This has been our “Bullish beta” leg of the view that we have held onto all year, with the expectation that the theme would deliver even if the Fed hikes (we had a lot of pushback on this part). A month ago, we noted that conditions were turning more incrementally supportive of the carry thematic; this theme has gotten even more entrenched. **Pro-cyclical signals have gotten stronger with the US middling vs. RoW on both growth and relative equity returns (Figure 6) over the past two months.**

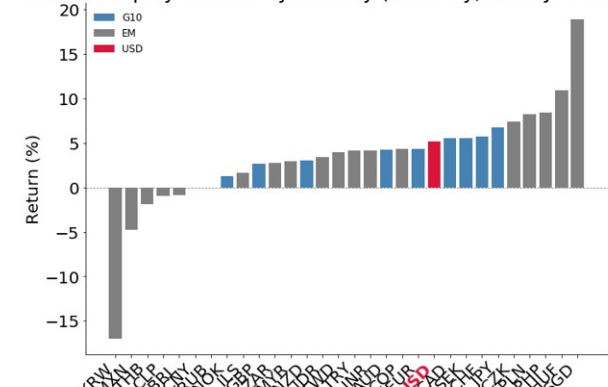
Figure 5: Carry: Still the gift that keeps giving with returns ~12% YTD on real yield signals



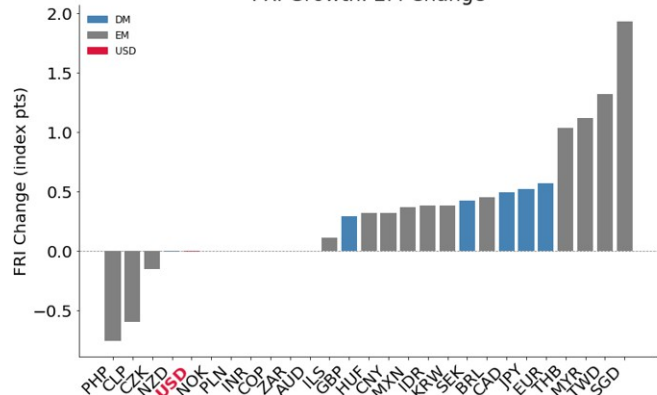
Source: J.P. Morgan

Figure 6: Middle-of-smile dynamics: Equity and growth momentum has picked up outside the US

MSCI 2M Equity Returns by Country (local ccy, since Jun 14 2026)



FRI Growth: 2M Change



Source: J.P. Morgan

This pro-cyclical macro backdrop of firming growth, low vol and still-wide yield dispersions should continue to be conducive for carry performance and is reflected in our recommendations in both DM and EM:

- **DM carry expressions:** Our preferred funder is CHF, which we are short vs. a basket of DM high yielders like AUD, NOK and even the dollar. These DM high-yielders include several currencies which continue to enjoy positive growth momentum. Unlike yen, CHF doesn't face pushback from local authorities and valuations are not as cheap as they are for the yen.
- **EM:** Our strategists are bullish on high yielders like COP, MXN, HUF and TRY, which are also mostly posting positive growth momentum (Figure 7). They have been bullish on INR as well, but have been disappointed by price action, and are neutral BRL given election risks. The only low-yielder they are bullish on is CNY.

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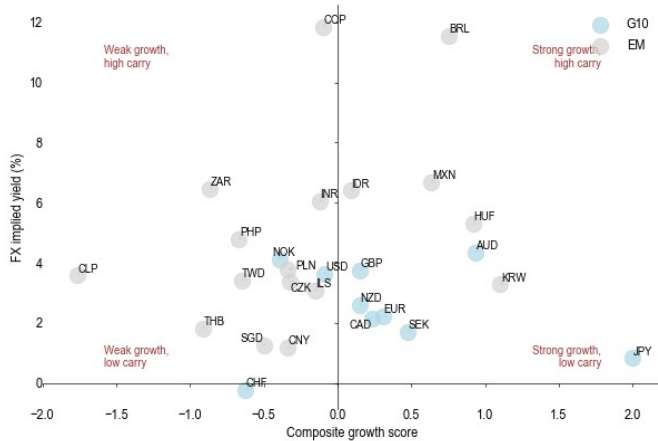
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Figure 7: Looking for carry with good growth? Several candidates fit the bill (AUD in DM, MXN, HUF in EM)

Y: FX 1-month implied yield (%)

X: composite growth momentum signal based on EASIs and FRIs (avg cross-sectional z-score of 1y zscore of 3m chg in FRI and 1m moving avg in EASI)



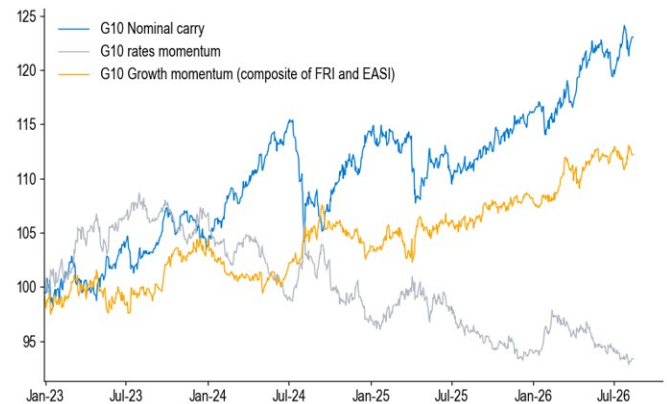
Source: J.P. Morgan

Are low-yielding cyclical currencies poised to make a comeback?

We don't think so. Several low-yielders are showing improved bottom-up stories. In DM, EUR, SEK, CAD and NZD have all fit the bill recently (bottom right quadrant; Figure 7). **While the bottom-up stories may indeed be more bullish, we think it is premature to be bullish from a top-down perspective.** The dollar yield supremacy is one hurdle even without rate hikes (it still yields more than all these currencies), but the other issue is the abundance of many other cyclical higher yielders that are also posting strong cyclicals (top right quadrant; Figure 7). This remains our preference and is borne out by the performance of our systematic signals. In DM, the level of nominal carry has been the best signal for FX returns, not changes in rates or even the growth outlook, even though the latter delivered positive returns (Figure 8). In global FX, the divergence is even starker with carry the singular driver in contrast to growth or rates momentum. **This remains a single-factor, carry-driven market.**

Figure 8: In DM, the level of nominal carry has been the best signal for FX returns, not changes in rates or even the growth, even though the latter delivered positive returns

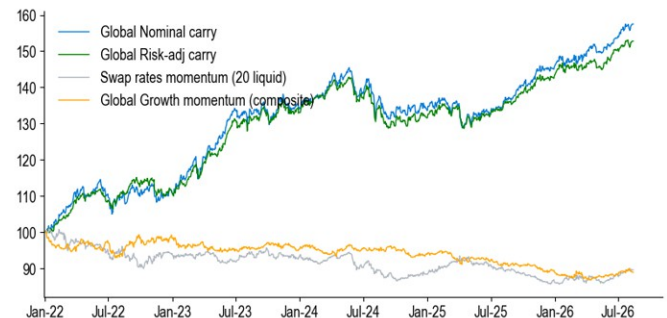
Total returns by factor for DM



Source: J.P. Morgan.

Figure 9: In global FX, the divergence is even starker with carry the singular driver in contrast to growth or rates momentum

Total returns by factor for Global FX



Source: J.P. Morgan.

JPY: All eyes on whether BoJ delivers a faster pace of hikes

Co-ordinated US-Japan yen intervention has been a historic event for markets, but hasn't led us to change our USD/JPY target of 164 (see JPY). Intervention by itself isn't sufficient to turn the tide on yen. Our Japan strategists point out that recent interventions have shown diminishing effectiveness, with larger amounts of USD required to move USD/JPY. The effectiveness of rate checks by the NY Fed has also declined as markets have become accustomed to such actions. A change in the outlook for yen requires a substantial shift in the underlying drivers - either on the Japan side of the equation (substantial BoJ rate hikes or repatriation) or on the US side (a slide in US data accompanied by Fed rate cuts). The latter is unlikely to deliver an impetus for mean reversion given our outlook, but the Japan side bears watching.

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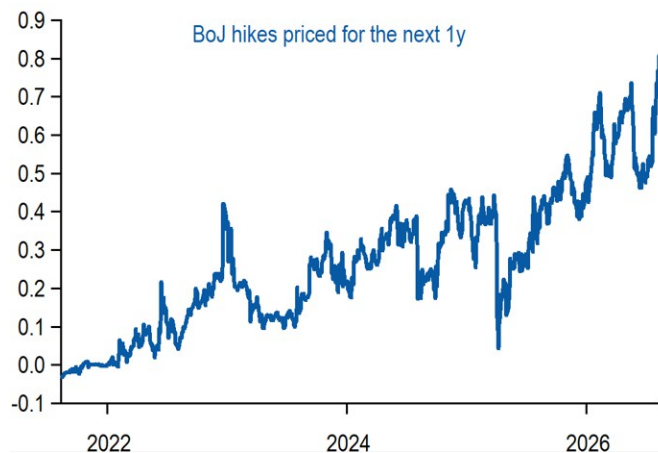
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BoJ: Markets are pricing in more BoJ hikes; >80bp is now priced for the next year, the quickest pace this cycle (Figure 10) and Secretary Bessent has indicated that the policy baton is now back with Japan. Hence, the upcoming Jackson Hole and Sep BoJ meeting will take on additional importance for yen, as the market seeks to validate that the BoJ will deliver. **An underwhelming BoJ delivery is likely to push USD/JPY to test higher towards our mid-160s target once again. A validation of a faster pace of hikes to 2% (quarterly for instance) without Fed hiking simultaneously could help yen base particularly vs. other funders (like CHF, Figure 11), but as discussed earlier, the pressure on funders is unlikely to fade without outright Fed cuts. The yield deficit will likely still constrain mean reversion in yen valuations vs the dollar if the high-yielders don't ease.**

Figure 10: Markets are pricing in more BoJ hikes (>80bp now priced for the next year, the quickest pace this cycle)

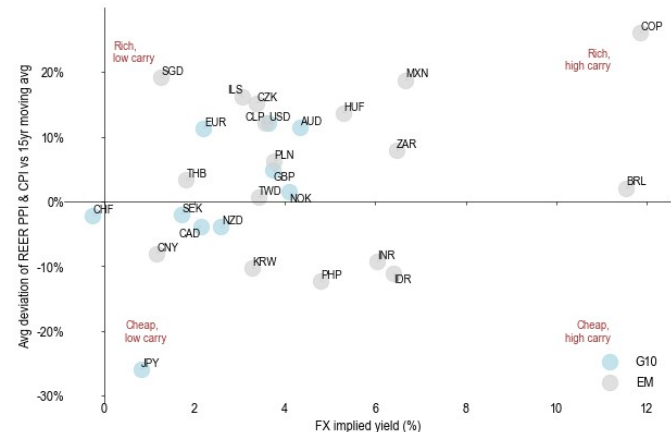
Rates hikes priced in the next 1y; %



Source: J.P. Morgan.

Figure 11: Yen valuations are cheap but the yield deficit is still large; mean reversion plays are more viable vs. other funders like CHF rather than the dollar

Valuations (y) vs carry (x)



Source: J.P. Morgan.

BoJ and interventions aside, the other tool that could enable mean reversion in yen is repatriation, given Japan's large NIIP position, but this would require the administration to welcome yen strength (Figure 12). It is worth remembering that the large capital outflows and yen depreciation were desired policy outcomes from Abenomics to reflate the economy, and further re-inforced even in recent years given NISA. The current account surplus for Japan has benefitted from currency weakening (Figure 13). While excess currency weakness may receive pushback, FX strength is likely not a desired outcome either (in this analyst's view).

The bottom line is thus that for USD/JPY to truly mean revert, either: (1) a sharper convergence of policy rates will be required, which will need FOMC cuts, not something we see as forthcoming, or (2) Japan will need to mobilize repatriation. An interim case could be made for mean reversion can only be made vs. some funders likely CHF as BoJ hikes, a prospect we are more open-minded to.

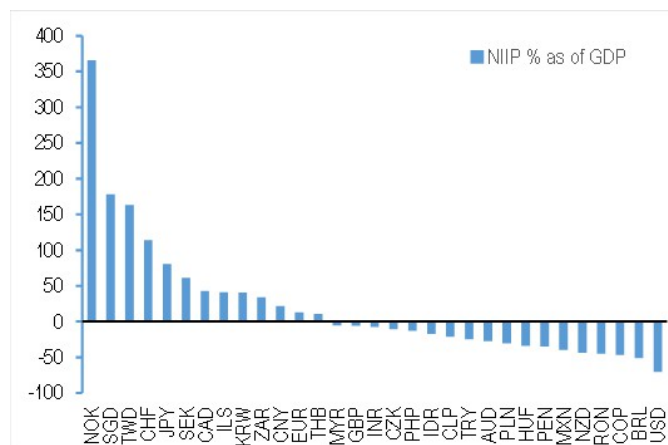
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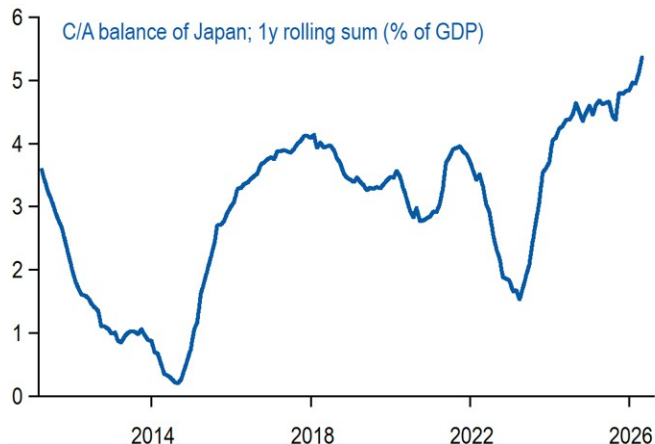
Figure 12: Japan has one of the largest NIIP positions globally



Source: J.P. Morgan, BIS

Figure 13: The current account surplus for Japan is at the highs

Net purchases of overseas assets by JP domestics; 1y rolling sum as % of GDP



Source: J.P. Morgan.

Politics more relevant for FX in 2H

Political developments are set to become a more relevant consideration for FX heading into the autumn, though the direct market impact will vary considerably across currencies. In several cases, elections, fiscal negotiations, and trade policy risks have the potential to reshape local risk premia and potentially challenge dominant macro themes (e.g. carry), particularly where positioning is stretched or policy uncertainty rises. For others, the political calendar may not generate sustained FX moves absent a meaningful shift in fiscal policy expectations. These will contend with non-political/electoral policy risks, starting with Jackson Hole later this month.

- **Section 338 Tariffs / USMCA: NorthAm trade negotiations remain live, with near-term risks skewed more negatively for CAD than MXN.** Canada faces a key Aug 19th deadline, when the US is scheduled to implement

additional 50% Section 338 tariffs on ~\$20bn of Canadian imports, though ongoing negotiations suggest a framework deal remains possible. If implemented, the tariffs would represent a meaningful CAD-negative surprise given only limited market pricing today. More broadly, the talks extend beyond the tariffs themselves and into the future of USMCA; a successful agreement involving Section 338 relief, progress on Section 232 tariffs, and a clearer roadmap for future negotiations would mark an important step toward reducing trade uncertainty for Canada. By contrast, USMCA-related noise around Mexico has faded recently, with the risk of a US withdrawal appearing increasingly remote and trade discussions continuing uninterrupted. Combined with strong trade performance, continued gains in US import market share, robust capital inflows, and attractive carry, **this leaves us constructive on MXN and supportive of further downside in CAD/MXN.**

- **BRL entering into election mode.** With the election approaching in Brazil, the political headlines are expected to become a more prominent driver of market moves. All pre-candidates have until August 15 to register before the Electoral Court and the campaign starts in earnest on the 16th. The baseline is that the main candidates will be Lula and Flavio Bolsonaro. Polls are currently giving an advantage to Lula in first and second round simulations (4 and 25 of October, respectively) and our view is that if this gap persists or widens, there is space for higher volatility in local assets. Our fair value model points to a slightly expensive currency, and positioning remains quite long according to the IMM data (percentile 99 in a 10Y window) and our J.P. Morgan *EM Client Survey* (percentile 81 since 2003). In this state of affairs, if global conditions became less favorable to carry in the coming months, BRL could navigate the electoral process in a very fragile technical position. We therefore have adopted a more cautious stance and **stay MW BRL.**
- **Politics still not a threat to GBP but likely to come into focus in September.** We assume detail on UK fiscal policy plans begins to appear at some point after summer recess (1st September), in the build-up to the Labour party conference (27th September), when fiscal risk premium can potentially start to build in GBP. However, there is a material probability that the government keeps policy detail light touch until much closer to the October 28th budget, in which case sterling can trade well for much longer and EUR/GBP would clearly undershoot our forecasts. Thus far, the Burnham government has announced relatively small policy measures including business rate cuts and a VAT cut. Detail is lacking on his plans to shift power to regional governments and away from central government and so again this allows carry to be more influential for GBP, reducing fiscal risk premium and sup-

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porting the currency. After Burnham appointed Chancellor Healey, his tone shifted slightly from a plan to abide by the fiscal rules to one of seeking flexibility within the fiscal rules, which is a shift in stance but not enough for the market to increase fiscal risk premium.

- **Israel's parliamentary election** is to be held on October 27. Following substantial political and geopolitical volatility since the last election, we expect the outcome can generate a meaningful reaction. At the same time a fragmented party set up keeps many scenarios alive. A centre-left win would likely decrease market concerns around judicial reforms and other divisive issues and generate a rally. By contrast, a return of the current coalition would likely generate a sell off although within the context of a structural appreciation trend for ILS.
- **Midterms are unlikely to be a major driver of the dollar over the next three months, but we're seeing some signs of potential fiscal front-loading that we had flagged as a risk.** Democrats have reasserted their position to take at least one chamber of Congress, with betting markets pointing to only a ~12% chance that Republicans hold both the House & Senate. That will mean gridlock and no major fiscal initiatives after the election. That said, we argued in our midterms preview ([link](#)) that such an outcome actually raised the risk of front-loaded fiscal policy, and we saw some evidence of that this week. Indeed, media reports indicate the Trump Administration is considering capital gains tax cuts ahead of the election ([link](#)). While this specific measure might not have the same fiscal / USD implications as bigger-ticket items like a large increase of defense spending or a broader income tax cut, it could still be material in size and reminds that policy could move on the margins in advance of election day.
- **Sweden (13th Sep): Swedish elections are generally not too impactful for the krona and we do not expect this year's to be either. The main channel to track for any impact would be fiscal policy.** Polling suggests a coalition led by the Social Democrats, who are currently in the opposition (though their lead has been narrowing in recent weeks in favour of the status quo). A protracted government formation, coalition of several parties or change in governments could induce some uncertainty and impact fiscal policy, but the fiscal positions of the opposition and across the political spectrum are not significantly different to the status quo and we don't expect it to be a major driver for the currency either. The Social Democrats' alternative 2026 budget proposal included SEK ~30bn more in spending, but also an equally large increase in revenues, making the budget balance about equal. Our rates strategists do highlight the risk for higher intermediate Swedish yields around the October budget in the event of a Social Democrat win given higher welfare spending on top of

existing defence and infrastructure commitments pointing to deficits at least as large as the current trajectory. Even if realised, however, we do not expect this to be an issue for FX given Sweden's healthy fiscal position where expansionary policy is seen in a good light.

- **NZ election:** Ahead of NZ's general election is to be held on November 7, PM Luxon survived a second party confidence vote this week. Instability in the National Party is symptomatic of its weakening campaign momentum and prospects for a tight race. Having looked like a non-event earlier in the year, the outcomes is now less certain with the number of coalition possibilities broadening. For NZD, the main channels are 1) Support via expectations of easier fiscal policy/growth measures/higher rates under Labour, and 2) tail risk via the equities/disinflation channel if minor parties hold significant sway (tax increases under Green, oligopoly regulation under NZ First).

Changes to trade recommendations

- Tighten take-profit stop on short CAD/MXN 2.5%. Currently marked at 4%
- Include NOK in CHF-funded carry basket. Marked at 1%.

Marked at 4PM BST.

The forecast bottom line: Mixed idiosyncratic revisions across G10 & EM

In G10, only CHF and NOK are revised, with the rest unchanged. CHF downgraded across the profile given a continued pro-carry, pro-growth global environment. **EUR/CHF** 3Q 0.94 (0.92), 2Q'27 0.95 (0.92). **NOK mildly upgraded** near-term vs EUR on continued terms-of-trade support, with rest of profile unchanged. **EUR/NOK** 3Q 10.80 (10.90), 2Q'27 10.70. Remaining forecasts unchanged. **EUR/USD** 4Q 1.13, 2Q'27 1.10. **USD/JPY** 4Q 164, 2Q'27 164. **GBP/USD** 4Q 1.28, 2Q'27 1.28. **USD/CAD** 4Q 1.41, 2Q'27 1.39. **AUD/USD** 4Q 0.69, 2Q'27 0.69.

In EM, stay OW overall (OW LatAm, MW EMEA, UW Asia) with mixed idiosyncratic revisions. Only KRW upgraded in Asia to reflect stronger-than-expected corporate repatriation flows, with remaining forecasts unchanged. **USD/KRW** 4Q 1490 (1560), 2Q'27 1490 (1585). **USD/CNY** 4Q 6.70, 2Q'27 6.80. **USD/INR** 4Q 96.00, 2Q'27 98.00. In **EMEA**, forecasts are mostly unchanged ex-ILS and a near-term HUF tweak. **ILS upgraded today** on a rebound in global tech sentiment and a hawkish tilt in the Bol's reaction function. **USD/ILS** 4Q 2.85 (2.95), 2Q'27 2.75 (2.90). **HUF 3Q marked weaker** on higher gas prices and a more dovish NBH. **EUR/HUF** 3Q 345 (340). Rest unchanged. **USD/ZAR** 4Q 16.00, 2Q'27 15.75. In LatAm, **MXN upgraded** through

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year-end as external accounts have held up well despite ongoing uncertainty. **USD/MXN** 3Q 17.20 (17.35), 4Q 17.25 (17.30), 2Q'27 17.30. BRL left unchanged ahead of October election. **USD/BRL** 4Q 5.20, 2Q'27 5.15. For further detail, see [EM Strategy Update](#), Christovova et al.

As a result of changes today, our trade-weighted dollar forecast has been upgraded by 0.9% on average across the horizon relative to last month (concentrated in nearer quarters). We thus look for the dollar index to appreciate by 2% over the next year from current spot. The DXY forecast, meanwhile, is looking for a larger 4% appreciation from current levels.

In G10, only CHF (weaker) & NOK (stronger) are revised...

- **CHF: Stay bearish and downgrade forecasts** on continued pro-carry, pro-growth environment and renewed encouragement from the SNB's preference for franc weakness. Some cross-currents persist given still-franc-supportive forces (balance of payments, long-term valuations) and positioning screens short CHF, but we see case for cyclical franc weakness. **EUR/CHF** 3Q 0.94 (0.92), 2Q'27 0.95 (0.92). **USD/CHF** 2Q'27 0.86 (0.84).
- **NOK: Stay bullish** on high-yield status and supportive terms of trade; **EUR/NOK forecast slightly lowered near-term** on continued energy support. **EUR/NOK** 3Q 10.80 (10.90), 4Q 10.80, 2Q'27 10.70.

... with the rest unchanged:

- **EUR: Bearish forecasts remain unchanged** targeting 1.13-1.14 in 2H'26. Mid-year 2027 target at 1.10, but highly data dependent and contingent on the realization of macro conditions that push the Fed to hike. We neutralized our bearish trade recommendation (held since mid-May) as US data failed to corroborate a hawkish Fed, while Eurozone growth and equity momentum turned up as a modest offset to US exceptionalism — but EUR/USD is driven more by Fed pricing than EU dynamics, so persistent strength needs a Fed pivot to easing; absent that, its carry disadvantage and rich fair value (~1.12) keep it range-bound with a downside bias. **EUR/USD** 4Q 1.13, 2Q'27 1.10.
- **JPY: Neutral; forecasts unchanged.** Heightened intervention risk and shifting US policy dynamics have prompted a revision of our bias from bearish to neutral in the near term. The global monetary policy cycle, the Takaichi administration's policy mix, and sustained domestic inflationary pressures continue to weigh on the yen over the medium term. **USD/JPY** 4Q 164, 2Q'27

164.

- **GBP: Bullish with forecasts unchanged;** UK data surprises have improved (solid GDP this week), and GBP can benefit from the broader carry environment, a resilient macro backdrop and light positioning vs other high-yielders; detrimental fiscal trial balloons unlikely before recess ends in September. **GBP/USD** 4Q 1.28, 2Q'27 1.28. **EUR/GBP** 4Q 0.88, 2Q'27 0.86.
- **CAD: Bearish; forecasts unchanged.** The local growth outlook has improved in recent weeks, but we remain selectively bearish CAD on crosses as Canada-specific trade risks and an unattractive carry profile continue to offset the stronger domestic backdrop. **USD/CAD** 4Q 1.41, 2Q'27 1.39.
- **SEK: Bearish; forecasts unchanged.** Bottom-up picture is encouraging amid growth and inflation beats, but is insufficient and requires either (1) lower US yields, or (2) equity momentum to turn significantly in favour of Sweden vs the US. US yields remain main upside risk to EUR/SEK. **EUR/SEK** 4Q 10.80, 2Q'27 10.90.
- **AUD: Bullish; forecasts unchanged.** Terms of trade positives provide some support, offset by fading RBA tightening prospects and a softening economy and housing market. Accrued carry, robust FI portfolio inflows, and rising FX hedge ratios among local superannuation funds limit the downside. **AUD/USD** 4Q 0.69, 2Q'27 0.69.
- **NZD: Neutral; forecasts unchanged.** Recovering growth, immigration/capital inflows and a material RBNZ hiking cycle to support NZD, with the RBNZ Hawk Dove Score sustainably near the top of G10 amid easing financial conditions. Business surveys rebounding from 2Q oil-related weakness limits near-term downside. **NZD/USD** 4Q 0.60, 2Q'27 0.60.

EM: Stay OW overall (OW LatAm, MW EMEA, UW Asia)

- **Asia: Stay UW; only KRW upgraded with rest unchanged.** Stay constructive CNY as the structural case remains intact with export resilience and ongoing exporter USD conversion. **USD/CNY** 4Q 6.70, 2Q'27 6.80. KRW upgraded across horizon to reflect stronger-than-expected corporate repatriation flows. **USD/KRW** 4Q 1490 (1560), 2Q'27 1490 (1585). Remaining forecasts unchanged. INR remains the preferred regional high-yielder (bullish vs PHP & IDR) as capital flows have returned, whereas BOP fundamentals remain poor for PHP and IDR faces outflow pressures. **USD/INR** 4Q 96.00, 2Q'27 98.00. **USD/PHP** 4Q 63.00, 2Q'27 65.00. **USD/IDR** 4Q 18500, 2Q'27 18700. Stay bullish TWD as CBC remains focused on FX stability and seasonal dividend outflow pressures should

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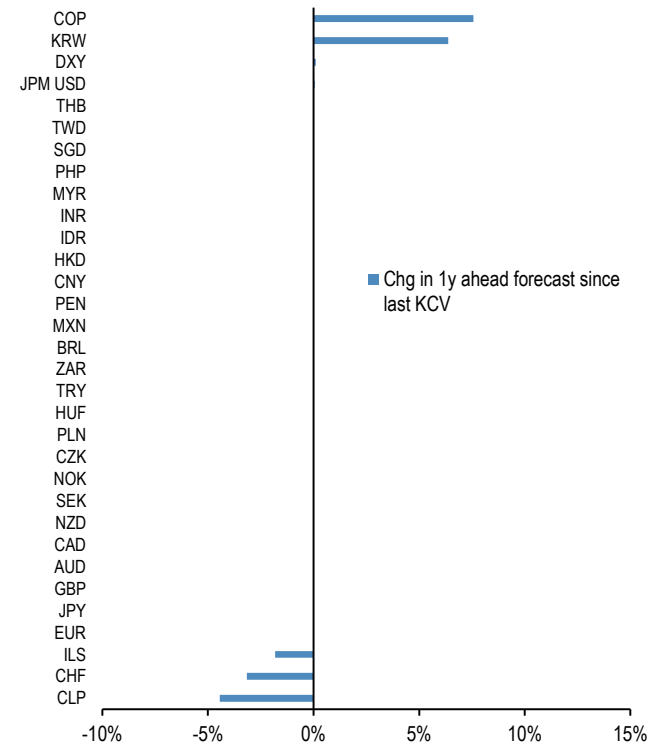
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ease from here. **USD/TWD** 4Q 31.90, 2Q'27 31.90. Stay **UW THB** amid broader pro-carry environment, but with reduced size given heavy short-THB positioning. **USD/THB** 4Q 33.30, 2Q'27 33.50. Similarly, stay short **SGD** (vs TWD) for carry as MAS policy tightening remains gradual. **USD/SGD** 4Q 1.28, 2Q'27 1.28. Neutral **MYR** as services exports have begun to lift but corporate FX conversion remains inadequate. **USD/MYR** 4Q 4.00, 2Q'27 4.10.

- **EMEA: Stay MW; only ILS and HUF revised. ILS upgraded today** on a recovery in rate differentials vs the US, stellar exports and improving global tech-equity sentiment; the BoI's July non-intervention signals a hawkish tilt, though our downside USD/ILS limit is informed by BoI tolerance for FX strength (prior verbal intervention around 2.80). **USD/ILS** 4Q 2.85 (2.95), 2Q'27 2.75 (2.90). Stay structurally bullish **HUF** on macro-fundamental catch-up under the new Tisza government and an EU-fund-driven growth impulse; we mark the near-term 3Q forecast only, on higher gas prices and a more dovish-than-expected NBH. **EUR/HUF** 3Q 345 (340), 4Q 340, 2Q'27 335 (unchanged). Rest unchanged: stay bullish **CZK** on growth momentum, carry and a hawkish CNB (**EUR/CZK** 4Q 23.70, 2Q'27 23.40); neutral **TRY** on attractive carry despite easing risks (**USD/TRY** 4Q 51.40, 2Q'27 56.11); neutral **PLN** on EU inflows but awaiting a hawkish NBP (**EUR/PLN** 4Q 4.20, 2Q'27 4.10); neutral **RON**, recent depreciation reflects the NBR pricing political tail risks, not a chasing opportunity; **EUR/RON** 4Q 5.27, 2Q'27 5.30. Neutral **ZAR**, with a positive global backdrop offset by rich valuation and softer carry; **USD/ZAR** 4Q 16.00, 2Q'27 15.75.
- **LatAm: Stay OW; mixed idiosyncratic revisions.** **MXN** upgraded through year-end as external accounts have held up well despite ongoing uncertainty. **USD/MXN** 3Q 17.20 (17.35), 4Q 17.25 (17.30), 2Q'27 17.30. **BRL** forecasts unchanged as October election draws closer. **USD/BRL** 4Q 5.20, 2Q'27 5.15. **COP** upgraded across horizon to incorporate its stronger-than-expected post-election momentum and a still-robust carry profile. **USD/COP** 4Q 3200 (3500), 2Q'27 3300 (3550). **CLP** downgraded across horizon as its low carry has offset some ToT improvement. **USD/CLP** 4Q 910 (870), 2Q'27 900 (860).

Figure 14: Since our last Key Currency Views, 1y targets were upgraded for COP & KRW and downgraded for CLP, CHF, ILS

% change in 2Q'27 forecast relative to last Key Currency Views



*note ILS forecast change today is ILS stronger due to intra-month forecast change
Source: J.P. Morgan

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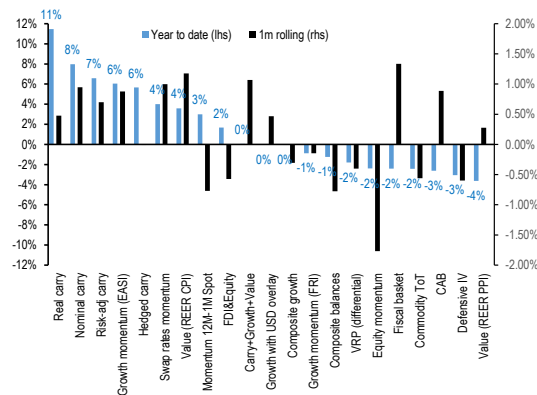
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FX Models

Figure 1: Global carry baskets have continued to perform even despite recent JPY intervention

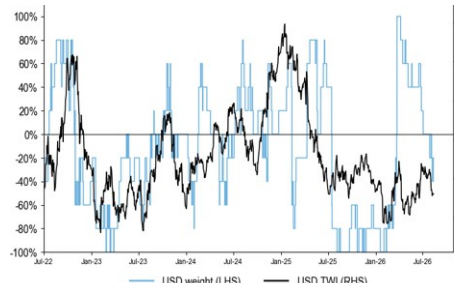
YTD & rolling 1M returns of FX single signal cross-sectional strategies with trading costs (top 5/bottom 5 in global portfolio). Calculation as of Aug 14th



Source: J.P. Morgan

Figure 2: The USD weight in our economic momentum framework is now at -20%

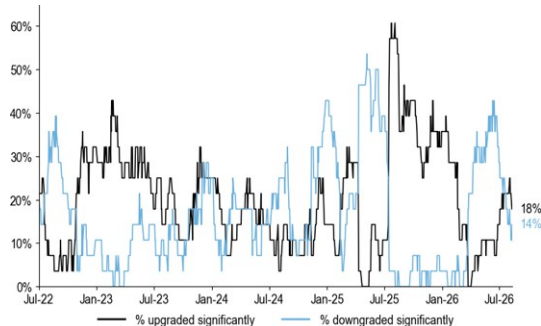
Net USD weight in our growth momentum framework (ie. downside/upside in global growth is USD positive/negative). Plotted against JPM USD TWI



Source: J.P. Morgan

Figure 3: 18% of currencies in our global universe show significantly positive growth momentum vs 14% negative

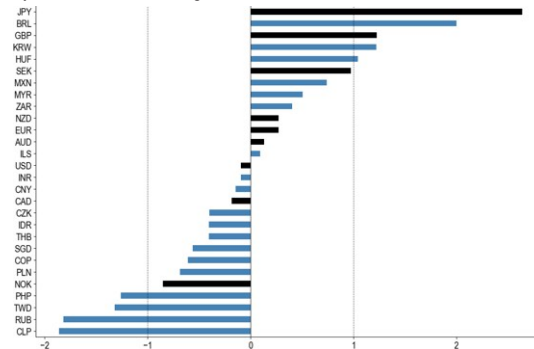
Percentage of countries (among 28 tradable currencies) for which the 1yr z-score of 3mo changes in JPM FRI exceeds +/- 1-sigma



Source: J.P. Morgan

Figure 4: The distribution of global growth momentum is now more balanced; JPY & GBP rank Top-3 in the cross-section; EUR has climbed in the rankings (now higher than USD)

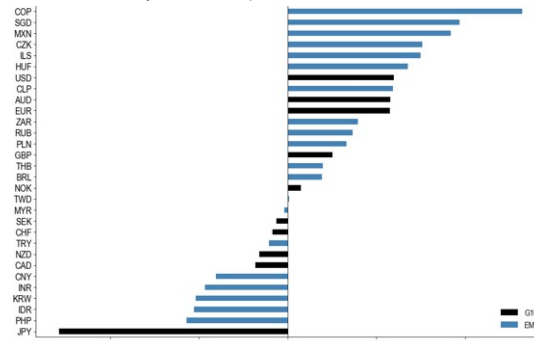
1yr z-score of 3M changes in JPM Forecast Revision Indices



Source: J.P. Morgan

Figure 5: More currencies screen rich (18) vs cheap (12) on long-term REER metrics

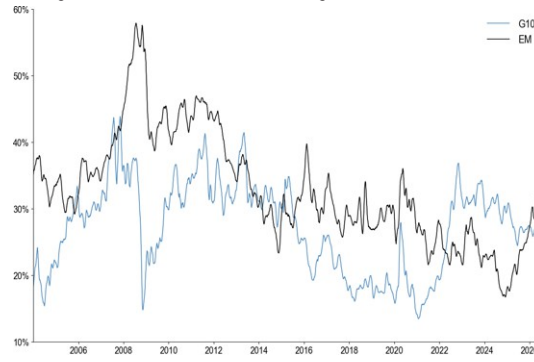
Current deviation of average REER PPI/CPI vs 15yr moving average, %. +/- value indicates currency is rich/cheap



Source: J.P. Morgan

Figure 6: EM valuation dispersion has slightly declined recently but still remains near multi-year highs; the G10 metric has also dipped recently

Valuation gap between longs and shorts in top 2/bottom 2 G10 & top 3/bottom 3 EM average REER PPI & REER CPI strategies.



Source: J.P. Morgan

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Figure 7: The TEAM portfolio is still long carry but the allocation has turned more defensive; JPY now ranks top-3 globally given strong local growth metrics; AUD is also a preferred long on supportive growth & commodity ToT momentum; USD's TEAM score has edged higher as growth and relative equities have improved, and the optimized portfolio has added back some USD longs accordingly; in EM, IDR is now the top long, while BRL longs are retained but with partial rotation into MXN

Latest currency weights & input variables from our FX multi-factor T.E.A.M model. Rebalancing occurs on Tuesdays. All signals are z-scored in the cross-section

Dispersion Weight:	11%	16%	10%	15%	11%	7%	15%	15%	Composite multi-signal score	Top 5 / Bottom 5 weights	Variance - TEAM Score Ptf Optim	
Exposure Signal:	Carry		Growth			Defensive	ToT	Value				
	Real Carry	RA Carry	Equity 1M	FRI MoM	EASI	3MIV Chg	Com. ToT	REER	TEAM Score	2w chg	Weights	Weights
IDR	1.42	0.86	-0.28	0.96	0.17	0.63	0.87	1.23	0.79	0.28	20%	20%
BRL	2.00	1.63	-1.11	2.00	-1.07	-2.00	1.06	-0.02	0.57	-0.34	20%	13%
JPY	-0.79	-0.51	-0.28	2.00	2.00	0.55	-1.07	2.00	0.50	0.29	20%	20%
AUD	-0.20	0.38	0.33	0.00	1.32	0.43	1.80	-0.68	0.40	0.11	20%	20%
MXN	0.83	1.04	-0.53	0.65	0.51	1.31	0.69	-1.29	0.35	0.18	20%	7%
NOK	0.15	0.29	0.57	-0.95	0.25	0.07	1.91	0.19	0.32	-0.09	-	10%
INR	0.27	0.98	-0.31	-0.27	-0.16	0.30	-0.27	1.12	0.25	-0.09	-	0%
CAD	-0.40	-0.51	0.08	-0.29	0.87	-0.05	1.23	0.63	0.21	-0.05	-	0%
COP	2.00	1.18	0.59	-0.72	0.53	-0.91	0.93	-1.98	0.19	-0.32	-	0%
USD	-0.05	0.18	0.10	-0.20	-0.28	0.55	1.80	-0.72	0.17	0.10	-	4%
HUF	0.35	0.48	0.51	0.82	1.04	-0.39	-0.92	-0.86	0.10	0.00	-	5%
ZAR	0.71	0.75	1.78	0.20	-2.00	0.03	-0.26	-0.37	0.10	0.16	-	0%
SEK	0.00	-0.27	0.67	0.75	0.37	0.08	-1.12	0.43	0.08	0.14	-	0%
NZD	-0.65	-0.10	-0.38	0.13	0.90	0.14	-0.14	0.60	0.07	0.12	-	0%
KRW	-0.13	0.12	-2.00	0.99	1.14	-0.83	-0.95	1.21	0.06	0.12	-	0%
GBP	0.00	0.21	0.19	1.02	-1.05	-0.01	-0.69	-0.12	-0.03	-0.08	-	0%
ILS	0.10	0.03	0.79	-0.10	-0.16	0.17	-0.12	-0.98	-0.09	0.19	-	-1%
PLN	0.01	0.21	1.16	-0.80	0.05	0.16	-0.94	-0.26	-0.13	0.14	-	-1%
PHP	-0.25	0.47	-0.71	-1.35	-0.16	0.33	-0.86	1.30	-0.14	-0.40	-	0%
CNY	-0.45	-2.00	1.21	-0.24	-0.36	0.46	-0.51	1.01	-0.20	0.17	-	0%
CHF	-0.87	-1.02	-0.05	-0.15	-1.28	0.55	0.50	0.47	-0.25	0.02	-	-8%
EUR	-0.75	-0.40	0.07	0.15	0.71	0.20	-1.05	-0.68	-0.29	0.18	-	-15%
CZK	-0.24	0.08	1.01	-0.51	-0.34	0.03	-0.84	-1.00	-0.30	0.14	-20%	-17%
CLP	-0.96	0.14	-0.11	-2.00	-1.50	1.60	1.22	-0.71	-0.38	0.07	-20%	-18%
THB	-0.51	-0.45	-1.07	-0.50	-1.05	-0.29	-0.49	-0.03	-0.52	-0.34	-20%	0%
SGD	-0.79	-1.20	0.36	-0.66	-0.36	0.69	-0.66	-1.36	-0.64	-0.17	-20%	-20%
TWD	-2.00	-0.71	-0.97	-1.43	0.00	-1.99	-1.11	0.31	-0.90	-0.49	-20%	-20%
TRY	Currently excluded: systematically not tradable											
MYR	Currently excluded: systematically not tradable											
RUB	Currently excluded: systematically not tradable											

Source: J.P. Morgan

Real Carry: Currency 1M forward-implied yield – core CPI

RA Carry: Currency 1M carry vs USD / dollar pair 1M ATM implied volatility (Risk-adjusted carry)

Equity 1M: 1M return of MSCI local Currency equity index

FRI MoM: 1Y Z-Score of 3M change in J.P. Morgan Growth Forecast Revision Indices

EASI: J.P. Morgan Economic Activity Surprise Indices (EASIs) require significant treatment to be processed, notably for countries with a low number of econ consensus. For certain countries, the EASI signal is an average of the local & the broad region (Nordics, IDR, NZD) or the broad EM EASI in certain cases but with a reduced weight. Final signal is EASI 6Wmovavg / 1Y Rolling Max(|Max(EASI)|, Min(EASI)|)

Defensive IV: 1M change in dollar pair 3M ATM-implied volatility (traded mean-reversion); opposite of VXY chg is implemented for USD, JPY and CHF

Com. ToT: 3Y Z-Score of 1W4W and 1M12M commodity terms of trade deviations (average) from JPMaQS

Value REER: Average of REER CPI and REER PPI 15 years deviation

All signals are Z-scored in the cross section (and trimmed to -2/+2)

Figure 8: Current Top 5/Bottom 5 allocation of our single signal cross-sectional strategies

	Fiscal baskets	Carry + Growth + Value	Risk-adj carry	Nominal carry	Hedged carry	Real carry	Value (REER PPI)	Value (REER CPI)	CAB	FDI & Equity flows	Composite balance	Growth EASI	Growth FRI	Composite growth	Growth FRI USD overlay	Swap rates momentum**	G10 rates momentum*	Momentum Spot**	Equity momentum	Commodity ToT	Defensive IV	VRP (differential)
top 1	NOK	JPY	BRL	BRL	COP	BRL	PHP	JPY	TWD	GBP	THB	JPY	JPY	JPY	JPY	BRL	EUR	ZAR	ZAR	USD	CLP	CLP
top 2	CHF	INR	INR	COP	USD	COP	JPY	IDR	SGD	THB	PLN	AUD	BRL	BRL	BRL	KRW	CHF	BRL	PLN	NOK	MXN	ZAR
top 3	TWD	KRW	COP	IDR	IDR	IDR	CNY	KRW	NOK	NZD	JPY	KRW	GBP	AUD	GBP	JPY	-	MXN	CNY	AUD	SGD	THB
top 4	SEK	IDR	IDR	INR	BRL	INR	INR	CAD	KRW	BRL	SGD	HUF	KRW	HUF	KRW	ZAR	-	-	NOK	CAD	IDR	BRL
top 5	KRW	BRL	MXN	MXN	INR	MXN	KRW	SEK	SEK	PLN	GBP	CAD	HUF	BRL	HUF	CHF	-	-	CZK	BRL	CHF	HUF
bottom 5	JPY	CNY	JPY	SEK	AUD	EUR	ILS	USD	SEK	CHF	GBP	PLN	TWD	PLN	PLN	PLN	-	-	PHP	KRW	HUF	CHF
bottom 4	INR	TWD	CAD	SGD	ZAR	JPY	AUD	PLN	AUD	SGD	SEK	CHF	NOK	PHP	NOK	USD	-	-	THB	TWD	KRW	TWD
bottom 3	CNY	THB	CHF	CNY	NZD	SGD	COP	MXN	GBP	NOK	KRW	THB	PHP	ZAR	PHP	INR	-	-	TWD	JPY	COP	ILS
bottom 2	BRL	CLP	SGD	JPY	ILS	CHF	CLP	CZK	NZD	TWD	CAD	CLP	TWD	THB	TWD	MXN	JPY	INR	BRL	PLN	TWD	JPY
bottom 1	USD	SGD	CNY	CHF	CLP	CLP	SGD	COP	PHP	KRW	CLP	ZAR	CLP	CLP	CLP	CNY	AUD	KRW	KRW	PHP	BRL	NOK

*G10 basket only; **Basket of 20 most liquid currencies only

Source: J.P. Morgan

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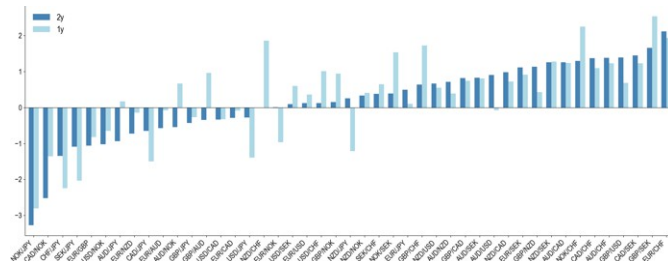
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G10 FX short-term fair value

Cross-sectional overview

Figure 1: GBP/USD and GBP/SEK screen among the richest, while CAD/NOK and EUR/GBP screen among the cheapest

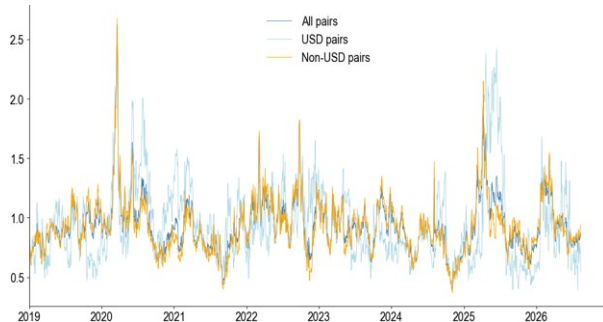
Z-score of residual on short-term fair value model



See updated [methodology note](#) for details. Inputs: 2y OIS rate spread, relative JPMaQS commodity terms of trade for all pairs, and peripheral spreads for EUR pairs. 2y and 1y regression hz. Values on all charts as of 13-Aug COB. Some models may have low R-squared or negative/unintuitive coefficients, but all are included.
Source: J.P. Morgan, JPMaQS

Figure 2: Average dislocations have picked up towards mid-range for crosses and at the lower end for dollar pairs

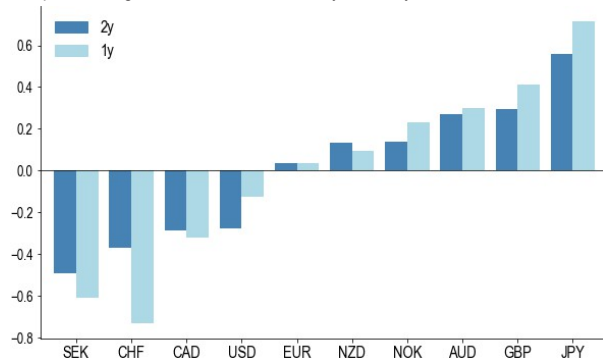
Average of absolute dislocations (z-score residuals) in the G10 cross section



Source: J.P. Morgan, JPMaQS

Figure 3: JPY & GBP are the richest on average while SEK & CHF screen cheapest

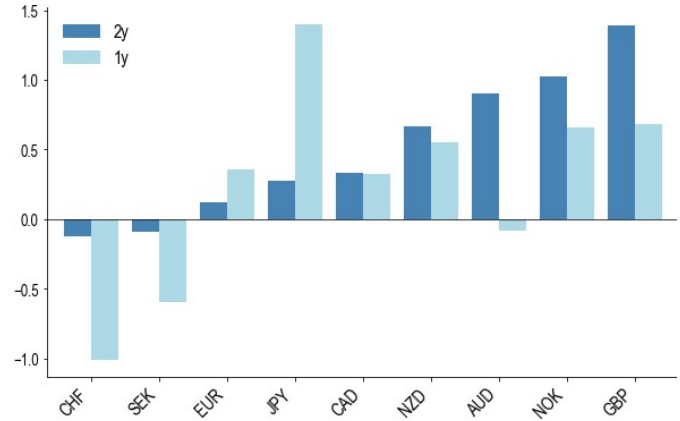
R-squared-weighted z-score of residual by currency



Source: J.P. Morgan, JPMaQS

Figure 4: All G10 screen fair to rich vs USD; GBP & NOK screen the richest

CCY/USD pairs z-score of residual



Source: J.P. Morgan, JPMaQS

Figure 5: EUR/USD screens slightly rich vs fair value (fair value 1.14 on 2y models); GBP/USD is now significantly rich as fair value fell to the 1.29 handle on 2y models; NZD/USD screens slightly rich (FV: 0.57-0.58)

Fair value of USD pairs based on : 2y OIS rate spread and relative JPMaQS commodity terms of trade; peripheral spreads included for EUR/USD

	EUR/USD	GBP/USD	AUD/USD	NZD/USD	USD/CAD	USD/NOK	USD/SEK	USD/CHF	USD/JPY
Spot	1.1644	1.35075	0.70645	0.58555	1.3944	9.50345	9.54975	0.8118	159.17
FV									
2y model	1.1448	1.2961	0.6894*	0.5786	1.4017	9.92*	9.7954	0.8323*	159.7674*
1y model	1.1540	1.3302	0.6999*	0.5800	1.3941*	9.7229*	9.4305	0.8004*	160.8452*
Rsq									
2y model	0.76	0.21	0.75	0.59	0.63	0.77	0.39	0.13	0.37
1y model	0.47	0.02	0.83	0.50	0.51	0.65	0.21	0.47	0.55

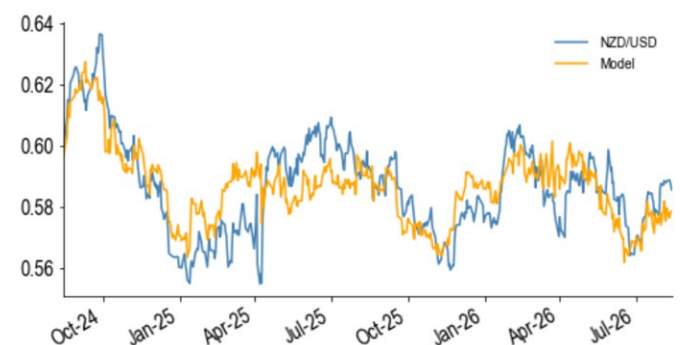
* = coefficient of rate spread or commodity terms-of-trade is negative and significant; spot refs as of 13-08 2026 COB

Source: J.P. Morgan

Chart of the week

Figure 6: NZD/USD still screens rich vs fair value

NZD/USD vs 2y regression model based on 2y OIS rate differentials & relative CTOT; R-squared 0.59; z-score +0.67 s.d.



Source: J.P. Morgan, JPMaQS

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JPM USD Index

Figure 1: J.P. Morgan Forecasts

	Sep 26	Dec 26	Mar 27	Jun 27
USD GDP (% saar)	2.5	1.8	2.3	2.3
Global GDP growth	2.6	2.6	2.7	2.7
USD policy rate (%)	3.75	4.00	4.00	4.00
Global ex-USD policy rate	4.11	4.06	4.03	3.96
DX	101.0	102.3	102.9	104.1
JPM USD Index	107.6	108.3	108.7	109.3

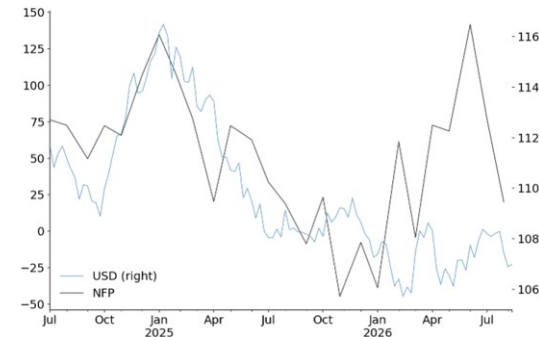
Source: J.P. Morgan.

Neutralizing length; range-bound with mild bullish bias

- **We've neutralized our dollar length as tier-1 US data has underwhelmed. We expect range-bound conditions for the near-future, contingent on how the data evolves.** We had been bullish and long USD since May, predicated on a moderate episode of US exceptionalism as US labor markets showed signs of improvement and earnings renewed US equity outperformance. The data and price action since early July have been underwhelming, however, and have short-circuited the US yield uptrend and the associated USD strength, even as the Iran conflict remains unresolved and overall US GDP growth is fine. Tactically, this has meant taking a small loss on our dollar-long recommendation (vs G10 low-yielders). The conditions to flip bearish-USD are not yet established, however, and we expect range-bound conditions while retaining a moderate dollar-positive bias as Fed hikes remain the base-case. Next catalysts are Jackson Hole and inflation/payrolls data before the Sept FOMC.
- **The data has not been strong enough to persist with the long-dollar position.** After having sponsored a ~100bp surge in US yields from May, tier-1 US data releases have underwhelmed since early July for USD, with US data surprises in aggregate turning negative. That includes two consecutive soft US payrolls prints, which alongside negative revisions has taken the run-rate of headline jobs growth from ~150k/mth to just 20k through July and catching down to USD (Figure 2). While US growth is still strong in levels terms and the u-rate has fallen, jobs growth was supposed to be the offset that supported consumers as savings rates in the US hit very-low levels, and is not obviously generating wage inflation. Meanwhile, CPI & PCE prints have failed to deliver the high-side risks that were preoccupying the market mid-summer. To the extent that the dollar's upside (and potential rangebreak) was contingent on Fed/yield trajectories, this has taken some steam out of the dollar trade.

Figure 2: Labor momentum helped prop up US yields and the dollar this summer, but recent reports have softened

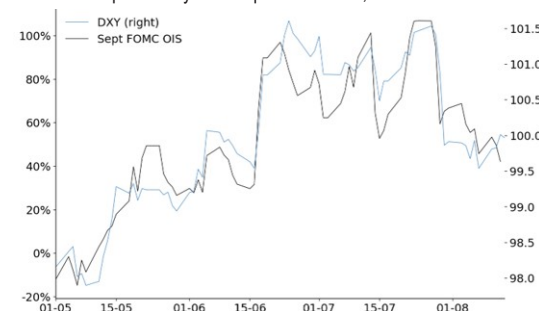
LHS: Payrolls growth (headline, 3mma); RHS: USD TWI



Source: J.P. Morgan

Figure 3: USD remains data dependent, and hence closely geared to Fed rates pricing

LHS: Priced probability of a Sept FOMC hike; RHS: DXY



Source: J.P. Morgan

- **This confluence of data takes some near-term pressure off the Fed, which has mechanically passed through to a softer USD. The dollar remains data dependent however; Fed hikes should limit USD downside while preserving upside potential.** With less forward guidance now from the Fed, it stands to reason that the dollar should be more data-dependent going forward. It is therefore intuitive that USD has a) softened against the backdrop of the aforementioned data disappointments, and b) continues to show a high degree of sensitivity to near-term Fed expectations (Figure 3). The market still retains some premium for a hike in Sept (~7bps) with PCE, NFP and CPI still to print before then, which admittedly could still move the needle on Fed pricing (Figure 4). More broadly, we've shown that USD tends to rally in the months leading up to the first hike, and so with middling data recently but a hike still forecast for Dec, that should at the least insulate USD from renewed selling pressure. That said, the Fed's own reaction function will remain under scrutiny into Jackson Hole and the Sept meeting, with the US curve having steepened post-July FOMC and DXY having retained its losses since the meeting (-1.5%).

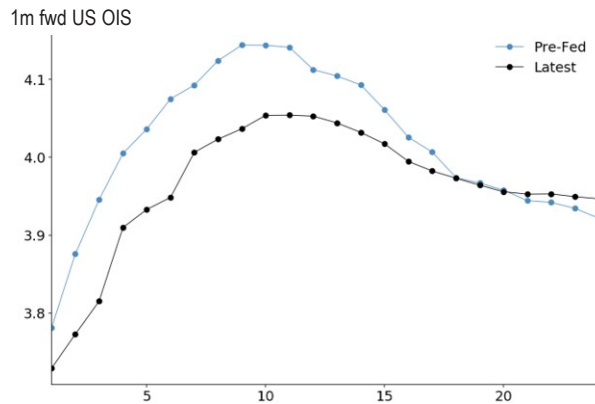
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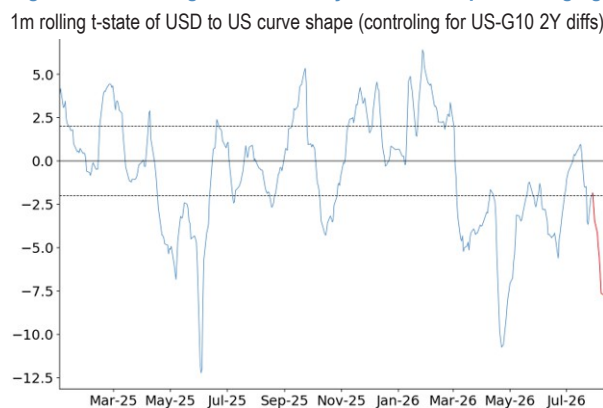
Indeed, the dollar's negative sensitivity to curve shape has re-emerged, something that can happen during periods of policy risk premium (Figure 5).

Figure 4: Fed pricing has fallen, but remains tilted towards hikes



Source: J.P. Morgan

Figure 5: USD's negative sensitivity to curve shape is rising again

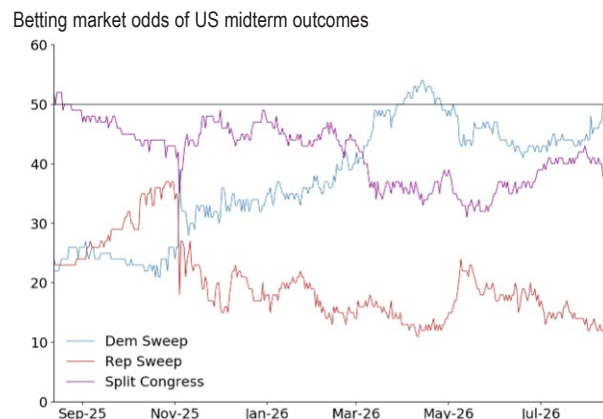


Source: J.P. Morgan

- **The US's decision to intervene in JPY was extraordinary, but it looks like UST is trying to insulate US assets including the dollar from negative spillovers.** In February, we argued that US FX policy would be more relevant in 2026, with downside risks to the dollar (see [here](#)). The decision to intervene on behalf of Japan was a seminal one (first coordinated action since 2011), and validates our thesis that the UST is willing to deploy FX policy more actively. Yet UST indicated perhaps some sensi-

tivity to USD selling off as reports indicated intervention via EUR/JPY rather than USD/JPY, and also discussed the use of the FIMA repo facility (as a way to limit the degree of outright UST selling from Japan). While intervention has proven to have limited efficacy this cycle, we cannot rule out further US/joint action, or that this might spur more proactive policy adjustments from Japan itself.

Figure 6: Democrats look likely to flip the House, with implications for front-loaded policy



Source: J.P. Morgan, Polymarket, Bloomberg Finance L.P.

- **Midterms are unlikely to be a major driver of the dollar over the next three months, but we're seeing some signs of potential fiscal front-loading that we had flagged as a risk.** In recent weeks, Democrats have reasserted their position to take at least one chamber of Congress; betting markets point to only a ~12% chance of Republicans holding both the House & Senate (Figure 6). That will mean gridlock and no major fiscal initiatives after the election. That said, we argued in our midterms preview ([link](#)) that such an outcome actually raised the risk of front-loaded fiscal policy, and we saw some evidence of that this week. Indeed, media reports indicate the Trump administration is considering capital gains tax cuts ahead of the election ([link](#)). While this specific measure might not have the same fiscal / USD implications as bigger-ticket items like a large increase of defense spending or a broader income tax cut, it could still be material in size and reminds that policy could move on the margins in advance of election day.

Figure 7: Alternative scenarios to base-case view

Risk bias	Scenarios	Potential trigger events
Bullish	• Bearish: Further US data moderation that challenges near-term Fed hike pricing. Renewed Fed independence/credibility concerns; higher inflation risk premium. Renewed repatriation/hedging flows. More coordinated FX intervention. • Bullish: Labor market momentum re-asserts and/or inflation re-accelerates, driving multiple Fed hikes. US equity outperformance extends.	• Jackson Hole (27-29 Aug) • Payrolls (4 Sep) • CPI (11 Sep) • FOMC (16 Sep)

Source: J.P. Morgan.

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JPY

Figure 1: J.P. Morgan Forecasts

	Sep 26	Dec 26	Mar 27	Jun 27
USD/JPY	160	164	164	164
EUR/JPY	182	185	184	180
AUD/JPY	112	113	113	113
GDP (% saar)	1.0	1.3	1.0	1.2
CPI(% oya)	1.8	2.9	4.0	2.3
Policy rate (%)	1.00	1.25	1.50	1.50

Source: J.P. Morgan.

Even coordinated intervention and accelerated BOJ rate hikes are not sufficient to halt yen depreciation

- On July 30, Japan's MOF conducted yen-buying FX intervention for the first time since May 6. Even more surprising was that on July 31, the US Treasury decided to join in coordinated yen-buying intervention for the first time since June 1998. Following the intervention, USD/JPY fell temporarily to 155.23 yen, but it has since rebounded gradually and is currently trading in the 159 range. Looking at G10 FX performance since July 3, when our [previous KCV](#) was published, the JPY remains only mid-pack despite the intervention.
- Because coordinated intervention has historically been undertaken only in crisis situations, we had previously viewed the likelihood of coordinated intervention as low. Therefore, the coordinated action was clearly a surprise, demonstrating that Japanese authorities do not want USD/JPY to rally significantly beyond 160 yen, and that US cooperation was stronger than expected. Against this backdrop, market caution regarding intervention has intensified, and at least in the short term, it is reasonable to say the risk of USD/JPY rising beyond the recent high of 163.99 yen has declined. On the other hand, this series of moves also seems to suggest Japan's government's preference not to use more aggressive BOJ rate hikes as the primary tool to prevent yen weakness (intervention was carried out both on the day before and on the day when the BOJ decided to keep policy rate unchanged on July 31). If this interpretation is correct, **the factors that have been weighing on the JPY—namely deeply negative real policy rate in Japan, concerns that BOJ policy could fall behind the curve under government pressure, and fiscal concerns—appear broadly intact.**
- Meanwhile, as discussed below, the room for additional ammunitions for intervention appears to be gradually narrowing, and neither Japan nor the US seems to have an intention to push USD/JPY down sharply (for

example, below 150). In this respect, media reports that the US intervention was conducted in EUR/JPY rather than USD/JPY (and in a fairly small amount) suggest that US authorities have no intention of pushing down the USD. There is also speculation that the US has requested accelerated BOJ rate hikes as a condition for participating in yen-buying intervention, and in fact expectations for BOJ hikes have risen after the intervention. However, amid strong market concern that BOJ policy could fall behind the curve under government pressure, higher expectations for BOJ hikes—and even an actual acceleration of hikes—have become less likely to translate into yen appreciation. **In light of the above, we maintain our medium- to long-term view that the yen will continue to weaken and keep our year-end target for USD/JPY at 164 (see [note](#)).**

- Following the late-July intervention, USD/JPY fell to the low 155s on August 3rd, but it has since rebounded and is approaching 160, which had been viewed as the first “defense line.” If USD/JPY exceeds 160 without any corrective measures to address yen weakness, the market may strengthen its view that the authorities’ willingness to intervene has weakened, or that the tools available to correct yen weakness are becoming limited—potentially accelerating yen selling. Possible tools going forward include: (1) unilateral yen-buying intervention by Japan's MOF; (2) coordinated yen-buying intervention by the US Treasury; (3) increased purchases of JPY-denominated assets and sales of FX assets by GPIF; and (4) use of the FIMA repo facility (Figure 2).

Figure 2: Comparison of tools to curb yen weakness

	MOF intervention	US joint intervention	GPIF	FIMA repo
Immediate availability	○	△	○	?
No need to sell UST outright?	△	—	△	○
Potential ammunition	relatively small	relatively small in EUR/JPY	Up to \$190-222bn	\$60bn/day
memo		If they decide to move ahead with USD-selling, intervention capacity could increase substantially.	If it involves changing the basic portfolio, intervention capacity could increase. Compared with FX intervention, the flows would take longer to materialize, and the impact would be more dispersed over time.	Ultimately, the USD would need to be repaid. Cost is high

Source: J.P.Morgan

- Regarding (1), Japan's cumulative yen-buying intervention this year appears to have reached roughly ¥23–29 trillion (\$146-184 billion), already far exceeding ¥15 trillion (\$95 billion) in 2024, and as a result, FX reserves also appear to have fallen substantially (Figure 3). Further declines could trigger market speculation about reserve depletion and accelerate speculative yen selling, so it would likely be difficult to continue intervention at the pace seen so far. Indeed, if unilateral intervention were possible without limit, there would be no need for Japanese authorities to consider alternative measures with

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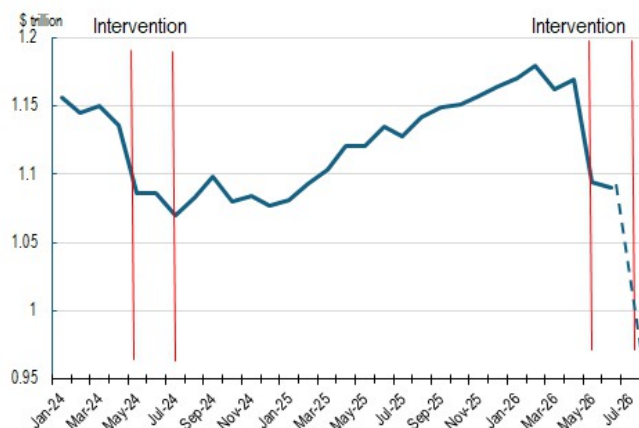
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J.P.Morgan

high political and economic costs. The fact that coordination with the US and alternative measures are being explored can itself be interpreted as suggesting that the limits of unilateral intervention are approaching.

Figure 3: Japan's FX reserves are expected to decline sharply in July, due to a large amount of JPY-buying intervention

Outstanding amount of "securities and deposit" in Japan's FX reserves. July 2026 figure is an estimate by J.P.Morgan



Source: JMOF, J.P.Morgan

- **That said, to state the conclusion upfront, these alternatives are likely to be of limited effectiveness** (Figure 2). As noted above, **US intervention** is expected to have been conducted in EUR/JPY, which can be interpreted as US cooperation to help Japan resist yen weakness within the bounds of FX reserve allocation. Given the small size of US FX reserves, room for intervention in EUR/JPY is likely limited. The US is generally reluctant to intervene in FX markets, and all coordinated interventions since the mid-1990s have been one-off and small in scale. **GPIF** could raise the share of JPY assets in its portfolio to some extent without any formal policy changes; the associated JPY buying and foreign-currency selling from an allocation shift could potentially be quite large. From the perspective of immediate executability and available capacity, this is therefore a promising option (see [note](#)). However, the political difficulty of selling US Treasuries could reduce the degree of freedom for such an allocation shift. **The FIMA repo** facility has also attracted attention

as a way to raise funds for USD-selling intervention without outright sales of US Treasuries, but its primary design purpose is to serve as a backstop during USD liquidity shortages. It is not necessarily designed for FX intervention (it is, after all, temporary funding that requires repayment or rollover), and the costs are relatively high (for details, see [note](#)).

- Following yen-buying intervention since late July and Governor Ueda's remarks after the July 31 BOJ monetary policy meeting, expectations for BOJ rate hikes have increased broadly across the curve. Yet the JPY has weakened across the board after reaching a recent peak on August 3rd, and rising BOJ hike expectations have not led to yen appreciation. In fact, since the inauguration of the Takaichi administration last October, the relationship between the yen exchange rate and BOJ hike expectations—as reflected in instruments such as the 1-year forward 1-year rate—has been negatively correlated, and recent developments can be said to align with this pattern. Behind this negative correlation is the view that market participants are pricing in a scenario in which “under government pressure, BOJ monetary policy falls behind the curve; as a result, at some point in the future yen depreciation accelerates, and to stop it the BOJ is ultimately forced into relatively large rate hikes.” In other words, the causality has reversed: yen weakness → higher rate hike expectations, rather than the usual higher rate hike expectations → yen strength. **Our Japan economists recently revised their forecast to expect the BOJ to raise the policy rate to 2% by the end of next year, but we have not changed our yen-bearish view** because (1) BOJ hikes up to 2% are already broadly priced in, and (2) the negative correlation between the market expectations for BOJ hikes and the yen exchange rate is likely to persist for the time being. There are limits to what the BOJ can do on its own to change this situation. A clear message from the government side may be needed—one that dispels market concern that BOJ monetary policy will fall behind the curve, a concern rooted in government pressure not to pursue BOJ rate hikes (see [note](#)).

Figure 4: Alternative scenarios to base case view

Scenarios		Potential trigger events
Neutral	• Bullish: USD/JPY to 150 if 1) Global growth stalls and core yields reprice sharply lower; 2) Global risk off; 3) BoJ suggesting consecutive rate hikes.	• Nationwide CPI (Aug 21st) • Tokyo CPI (Aug 28th) • BoJ MPM (Sep 18th)
	• Bearish: USD/JPY to 170 if 1) The market prices Fed hike; 2) Slower than expected BoJ policy change; 3) Japan's fiscal policy becomes more expansionary	

Source: J.P. Morgan

EUR

Figure 1: J.P. Morgan Forecasts

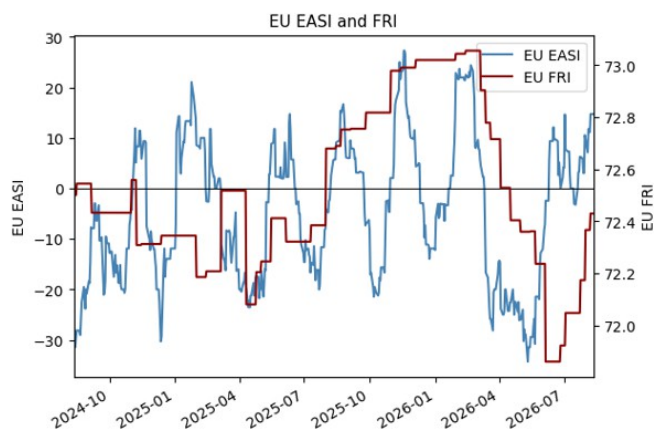
	Sep 26	Dec 26	Mar 27	Jun 27
EUR/USD	1.14	1.13	1.12	1.10
EUR/JPY	182	185	184	180
EURGBP	0.87	0.88	0.87	0.86
GDP (% saar)	1.3	1.5	1.5	1.5
CPI(% oya)	3.0	3.1	2.7	2.0
Policy rate (%)	2.50	2.50	2.50	2.50

Source: J.P. Morgan.

EUR: Maintaining narrow ranges, a funder so long as Fed maintains hiking bias

- We neutralized our bearish EUR/USD trade recommendation last week, having held the view since mid-May. EUR/USD forecasts remain unchanged: 1.13-1.14 in 2H26. Mid-year 2027 target at 1.10, but highly data dependent and contingent on the realization of macro conditions that push the Fed to hike.

Figure 2: EU growth momentum has turned more positive, providing an offset to US resilience...



Source: J.P. Morgan.

- Two factors informed the tactical neutralization of our bearish stance. First, incoming US data didn't corroborate a hawkish Fed policy response. We had always viewed this as a necessary requirement for attaining our bearish 1.10 target, but two consecutive US payroll misses and slightly softer than expected inflation have failed to provide the necessary catalyst for convergence. Second, growth momentum has turned up in the Eurozone, providing a modest offset to US exceptionalism that prevailed since the US-Iran conflict started. Our EASI has become more positive as data has been beating expectations, credit standards are easing and our economists have

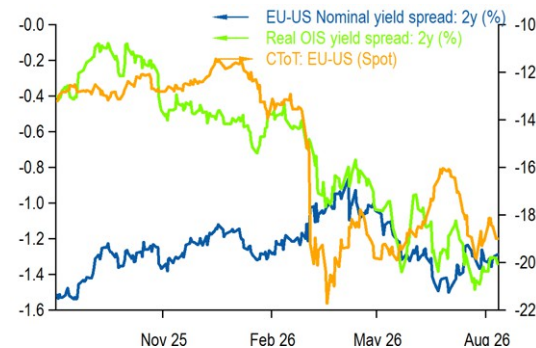
reversed the growth downgrades penciled in after the conflict (Figure 2). **Similar sentiment prevails in relative equity performance as well, with Europe outperforming the US (Figure 3), even though other contemporaneous drivers of EUR/USD like rate spreads or terms of trade were not relevant (Figure 4).**

Figure 3: ...with equity performance rebounding vs. the US as well...



Source: J.P. Morgan.

Figure 4: ...but other contemporaneous drivers of EUR/USD like rate spreads or relative terms of trade stayed rangebound



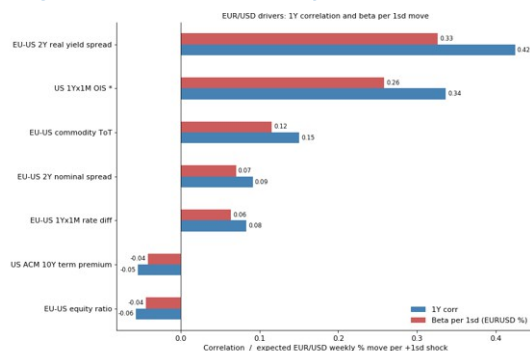
Source: J.P. Morgan, JPMaQS

- **If EU growth/equity momentum are improving, why not be bullish EUR/USD?** This is because EUR/USD is driven more by Fed pricing than EU-specific dynamics. On a high frequency basis, EUR/USD sensitivity has been the greatest to either EU-US real yield differentials or the Fed terminal rate (Figure 5). So, in our view, for persistent EUR/USD strength, a necessary condition is a change in the Fed regime that pivots them to ease from hikes (either data dependent or politically motivated). With the hiking bias for the Fed still intact, EUR/USD strength is not imminent even with better regional growth, in our view. **Without a breakout in the Fed terminal rate, EUR/USD seems doomed to trade in narrow ranges, with its carry disadvantage still putting it as a funder in the global context.** It is also worth noting that EUR/USD continues to screen rich on our short-term fair value models (fair value around 1.12) which also limits

the upside and still biases the pair lower in our view (Figure 6).

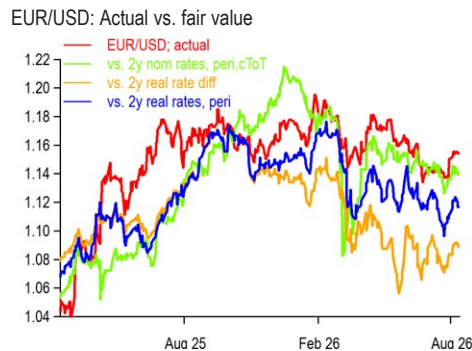
- **FT reported that US authorities carried out a coordinated yen-buying intervention for the first time since June 1998, but by selling EUR rather than JPY.** We don't view this as a EUR bearish factor. The total EUR holdings of the Treasury were \$13bn at the end of [June](#), which is a drop in the ocean compared to the average traded volume for EUR/USD (last pegged at \$577bn daily per BIS) and, hence, the potential for this source to become negative for the euro is quite constrained.
- **Euro area's energy imports have increased by 30% relative to last year, pushing the merchandise trade balance into deficit.** We now have three months of EU trade data following the US-Iran conflict (through May 2026). Over the past couple of months, the energy trade deficit has increased by 30% vs. the prior year. This is not as large as the increase following the Russian invasion of Ukraine, but nonetheless, the deterioration is marked. As a result, EU's merchandise trade balance, which had been in surplus prior to the conflict, has now slipped into deficit for the first time since 2023 (Figure 7). This still leaves the quarterly current account balance in surplus but running closer to 1.4% of GDP, down from 2% same time last year.

Figure 5: On a high frequency basis, EUR/USD sensitivity has been the greatest to either EU-US real yield spreads or the Fed terminal



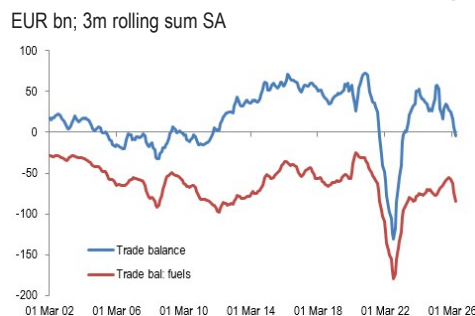
Source: J.P. Morgan.

Figure 6: EUR/USD is still overshooting vs. our measures of short-term fair value (average ~1.12), which should constrain upside unless the Fed gets de-priced



Source: J.P. Morgan.

Figure 7: EU's merchandise trade balance which had been in surplus prior to the conflict; the fuels deficit is 30% larger



Source: Haver

Figure 8: Alternative scenarios to base-case view

Risk bias	Scenarios	Potential trigger events
Neutral	• Bearish: 1) If energy price increase again. 2) Fed hikes. 3) German fiscal does not translate into growth or China overcapacity re-direction hits manufacturing offsetting impact of fiscal spend. • Bullish: 1) A ceasefire in Iran or Ukraine which results in lower energy prices. 2) Increased market concern on Fed independence or rising US term premium.	• Energy prices, US payrolls/ inflation. • Flash PMIs (Aug 21) and CPI (Sep 1) • ECB (Sep 10). • Financial conditions- relative equity market performance; peripheral bond spreads, credit spreads.

Source: J.P. Morgan

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GBP

Figure 1: J.P. Morgan Forecasts

	Sep 26	Dec 26	Mar 27	Jun 27
GBP/USD	1.31	1.28	1.29	1.28
EUR/GBP	0.87	0.88	0.87	0.86
GBP/JPY	210	211	211	210
GDP (% saar)	0.8	1.0	1.6	1.2
CPI (% oya)	2.9	3.0	3.0	2.7
Policy rate (%)	3.75	4.00	4.00	3.75

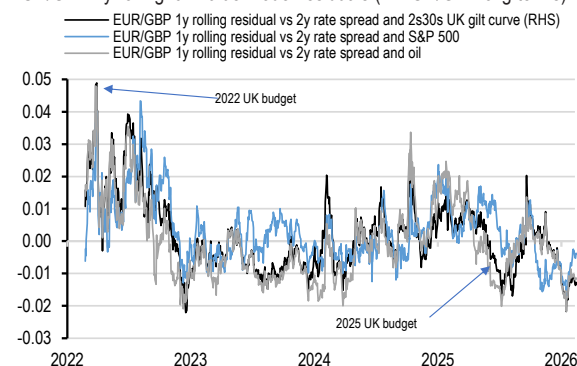
Source: J.P. Morgan.

Still bullish GBP

- **We maintain our bullish GBP stance and see at least a tactical window for outperformance from here** as the UK government is in recess, so significant detail on fiscal policy announcements is unlikely, allowing carry, UK macro resilience and positioning to dominate. UK data surprises have moved comfortably into positive territory and UK forecast revisions have made new four-year highs. Levels of fiscal risk premium have retraced to levels that we see as conducive to re-entering GBP longs (Figure 2), with EUR/GBP back to around 1 pence cheap to fair value. In our view, EUR/GBP should once again test two pence cheap to fair value consistent with previous periods of relaxation in fiscal risk premium. UK macro data is resilient and enough to support further GBP strength, but not quite strong enough to urge the BoE to tighten policy, so we don't see the BoE as a major driver of GBP returns either way here. We took profits on our GBP long in July and remain flat here ([GBP now rich: take profit on longs vs EUR, CHF, SEK](#), Nelligan), with a strong bullish bias over the short term.

Figure 2: EUR/GBP trades 2 pence cheap to fair value (0.84 handle) if UK political risk calms

EUR/GBP 1y rolling fair value model residuals (in EUR/GBP chg terms)



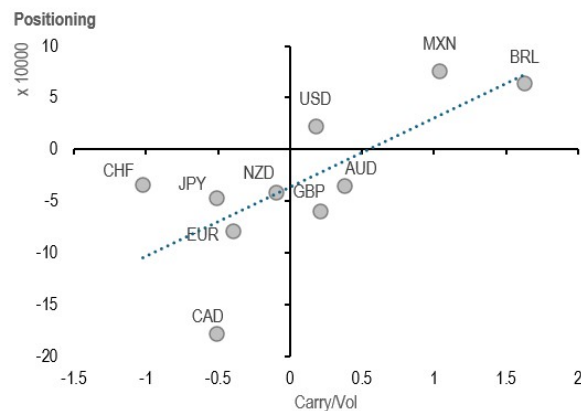
Source: JP Morgan Research, Bloomberg Financial L.P

- **We still see GBP positioning as lagging relative to oth-**

er high-yield currencies (Figure 3) and, in a world where global yields are sticky and UK politics is quiet, that can facilitate a positioning catch-up. Risks to our 0.87 forecast for EUR/GBP by September are clearly to the downside, and that forecast is assuming detail on fiscal policy begins at some point after summer recess (1st September), in the build-up to the Labour party conference (27th September), when fiscal risk premium can build in GBP. However, we see a material probability that the government keeps policy detail light touch until much closer to the October 28th budget, in which case sterling can trade well for much longer and EUR/GBP would clearly undershoot our forecast. Thus far, the Burnham government has announced relatively small policy measures, including business rate cuts and a VAT cut. Detail is lacking on his plans to shift power to regional governments and away from central government and so again this allows carry to be more influential for GBP, reducing fiscal risk premium and supporting the currency. After Burnham appointed Chancellor Healey, his tone shifted slightly from a plan to abide by the fiscal rules to one of seeking flexibility within the fiscal rules, which is a shift in stance but not enough for the market to work with at the moment.

Figure 3: The level of carry/vol suggests the market should be longer of GBP than it is

CFTC positioning vs carry/vol (1m implied annualised)



Source: JP Morgan Research, Bloomberg Financial L.P

- **The BoE left policy unchanged at the July meeting, and the GBP reaction was rightly muted.** The 6-3 vote was hawkish vs 7-2 consensus which helped GBP on the kneejerk reaction but the minutes and forecasts acted the other way. Bailey's paragraph in the minutes sounded quite dovish to us, in that he sees soft demand, an easing labour market and tentative evidence of less inflation persistence. Mann's dissent was essentially put down to the renewed rise in energy prices, as expected, with the rest of her framework having shifted dovish since the last meet-

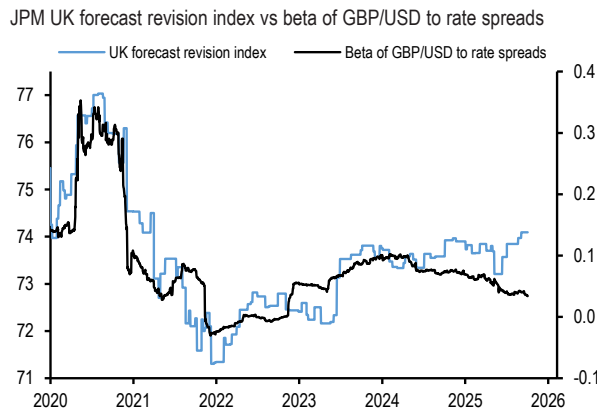
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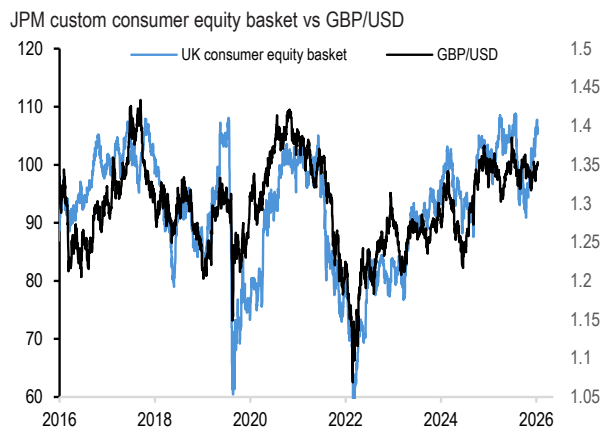
ing, perhaps taking some of the hawkish lean from the vote away for GBP. The forecasts were largely in line, possibly a touch dovish, with a peak in inflation coming in at 3.2% (vs our 3.5% expectation) and growth slightly softer than we expected. The main guidance of standing ready to act remains, with the BoE keeping a tightening bias. Overall, we stay bullish GBP and this week's GDP data was encouraging, with PMI leads suggesting upside for the pound (Figure 6).

Figure 4: The beta of GBP/USD to rate spreads has diverged from the UK forecast revision index because GBP itself is a high yielder attracting carry inflows rather than catching down to GBP/USD fair value



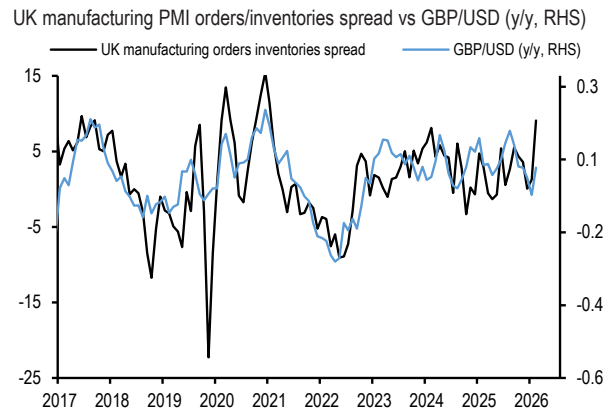
Source: JP Morgan Research, Bloomberg Financial L.P

Figure 5: UK equity market internals suggest upside for GBP/USD



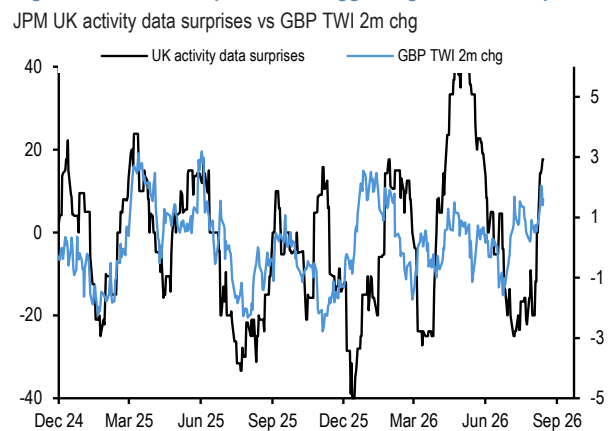
Source: JP Morgan Research, Bloomberg Financial L.P

Figure 6: Leading PMI components suggest upside for GBP/USD



Source: JP Morgan Research, Bloomberg Financial L.P

Figure 7: UK data surprises are suggesting some GBP upside



Source: JP Morgan Research, Bloomberg Financial L.P

Figure 8: Alternative scenarios to base-case view

Risk bias	Scenarios	Potential trigger events
Bullish	Bullish: (1) fiscal discipline for longer, 2) hawkish BoE, 3) inflationary growth in the UK Bearish: (1) Burnham reverses fiscal policy stance, 2) dovish BoE, 3) disinflationary growth in the UK	- UK CPI (19 Aug) and wage data (18 Aug) - BoE (17 Sep) - Gas prices and broader commodity prices - UK PMIs (21 Aug)

Source: J.P. Morgan

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CHF

Figure 1: J.P. Morgan Forecasts

	Sep 26	Dec 26	Mar 27	Jun 27
EUR/CHF	0.94	0.95	0.95	0.95
USD/CHF	0.82	0.84	0.85	0.86

Source: J.P. Morgan.

Carry funder vs higher-yielders

- **EUR/CHF has continued to rally since our last Key Currency Views**, and we maintain our bearish view on the franc as the environment continues to be supportive for funding FX carry with the franc: global data is beating expectations and getting revised up, US yields remain sticky and the debasement theme is still in the backseat. We raise the EUR/CHF forecast profile towards 0.95 amid continued upside euro area growth revisions and upside pressure from carry, but we maintain that the better trading expressions are to be short vs the high yielders.

Figure 2: With focus on debasement fading and stronger US data, EUR/CHF has been able to participate in the broader carry trade over recent months in contrast to the prior year and more like in 2024

EUR/CHF vs total returns index of risk-adjusted (carry/vol) carry strategy (top 5, bottom 5)



Source: J.P. Morgan

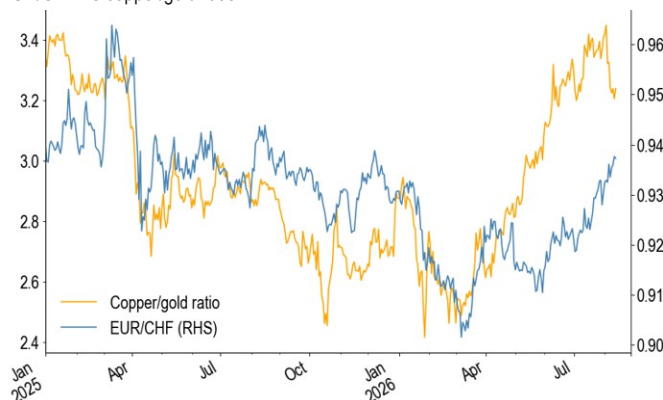
- **Global growth is solid and being revised up, which is the main driver of our bearish view on the franc alongside the wide yield differential and our bullish view on carry.** Sustained EUR/CHF rallies have occurred only alongside strong regional or US growth (notably 2006-07, 2017, 2024; see Figure 2 in [CHF 2026 Outlook](#)). With global growth still expected around trend and yield dispersion elevated — a sufficient backdrop for carry to perform — higher-yielding, high-beta crosses can continue to outperform even where EUR/CHF is sticky. Accord-

ingly, we favour shorting CHF against high-beta higher-yielders over the euro cross, as the global cycle points to greater upside there. These constructions also display asymmetry across US-Iran outcomes going forward if a deal benefits pro-cyclical pairs, while continued conflict favours carry up to a point), with the risk case being demand destruction via a Brent spike above ~\$130 or a growth/vol shock, or other sources of risk-off such as equity drawdowns. The case would be stronger if US data *also* continued to beat expectations and US yields kept rising. Downgrades and lower US yields are still very-early stage and modest but a space to watch. If sustained, these would take some of the pressure off the franc, but this should not derail the carry trade if bounded, given robust global growth which the franc should take its cue from on crosses vs high-beta high-yielder

- **The EUR/CHF upside we envisage is only modest, however: upside European growth revisions and the carry backdrop argue for upside, but with limits from the fact that growth overall is still tepid.** Rather than recommend outright EUR/CHF longs, we prefer to fund higher-yielders with CHF and earn the carry.

Figure 3: EUR/CHF has been converging towards the recently declining but high copper/gold ratio

EUR/CHF vs copper/gold ratio



Source: Bloomberg Finance L.P., J.P. Morgan

- **Despite the recent rally in gold, the debasement theme still in the backseat and thus no longer provides support to CHF the way it did in 1Q.** CHF offers the only fiat FX alternative to gold given its low fiscal indebtedness and, through 1H, it benefitted from some of the same structural drivers bidding up gold. Alternative reserve-asset demand was stronger than we had anticipated and offset the carry-funding pressure on the franc. Into 2H, that pillar has waned: market focus on debasement has faded, while US and global yields have risen further, together removing a key support for the franc. EUR/CHF had been undershooting relative to the copper/gold ratio,

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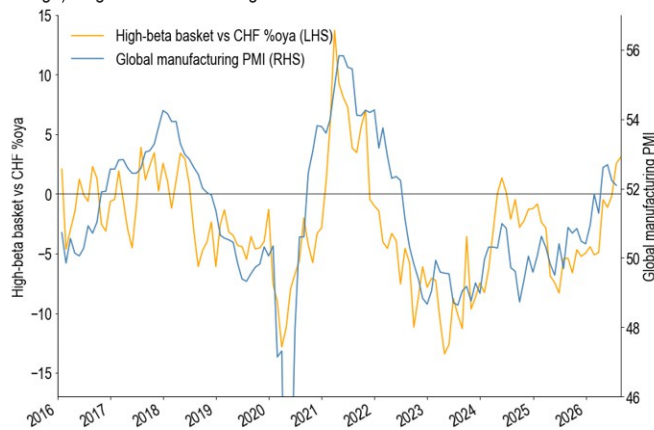
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which we had attribute to euro area growth disappointments, which have turned more positive now.

Figure 4: Our trading strategy prefers to short CHF vs high-beta higher yielders, with the global cycle on an upswing

Basket of high beta G10 FX (NOK, SEK, AUD, NZD, GBP, CAD) vs CHF (%oya change) vs global manufacturing PMI



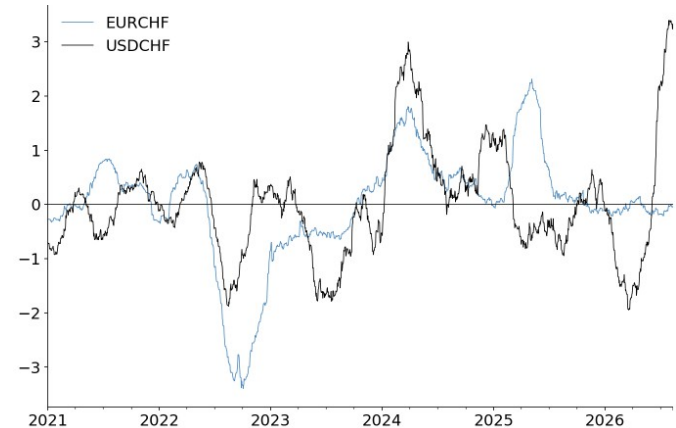
Source: J.P. Morgan

- **The SNB welcomes franc weakness**, as shown by the release of the [sources article](#) suggesting the SNB will be on hold throughout 2027. We do not rely on ongoing intervention as a pillar for our shorts, but it does help that the SNB's bias is in their favour. EUR/CHF has been unusually correlated with rate differentials since the start of the conflict given it has come against resilient global growth despite the downgrades (i.e. if there were actual recession fears, we would not have expected this correlation to hold up). The July inflation print was in line with consensus but undershot the SNB forecasts for 3Q (0.35% vs 0.7%) and would thus need to pick up considerably in the next two months to meet it. Core has been steady and ex-petroleum inflation has been declining, with no apparent sign of an inflation rise aside from energy prices; both the reported SNB view and the data thus suggest no hike is incoming.
- **The main risk to CHF shorts is a broad, risk-off-induced carry unwind of the 2024 variety.** As discussed in recent weeks, today's contours differ and the carry trade has proven more resilient, but **we are mindful that positioning screens very short CHF — albeit vs USD, not vs EUR, which is more neutral** (Figure 5) — adding a layer of risk; more broadly, FX positioning is currently

cross-sectionally correlated with carry. In previous episodes when CHF IMM positioning was as short as at its recent peak, only in Dec'24 (and now) did the franc keep selling off beyond a month; every other instance reversed within the next month, each time triggered by political risk (French snap elections, 2024), a broad risk sell-off (e.g. Liberation Day; the 2024 carry unwind), or fiscal/debasement concerns (early 2026). We keep this positioning in mind, but with macro factors — global and US growth, a supportive carry environment, and the lack of focus on debasement — all favouring CHF shorts, we stay in the trade: specifically, short CHF vs a basket of AUD, USD and HUF to engage the carry-friendly backdrop. CHF's structural supports and tepid euro area growth keep us from a bearish view against the euro, but they do not stop the franc underperforming high-beta, high-yielding currencies while carry trades continue to work, at least in total-return terms. **The main risks that would challenge the view** are a return of Fed-independence concerns and debasement/repatriation themes, or a US slowdown, recession, or equity-market correction.

Figure 5: The risk: short CHF positioning, mainly concentrated vs USD

3m options positioning proxy flow; z-score



Data from JPM FX Positioning Monitor, Locke & Padh (latest [here](#))
Source: J.P. Morgan, DTCC, Bloomberg Finance L.P.

Figure 6: Alternative scenarios to base-case view

Risk bias	Scenarios	Potential trigger events
Neutral	• Bullish: 1) European/ US/ global recession; 2) Global term premium keeps rising; 3) Hawkish SNB; 4) Global geopolitical escalation; 5) Return of debasement trade; 6) US asset repatriation • Bearish: 1) Further global growth upgrades; 2) Inflation undershoots forcing SNB cuts and heavy intervention; 3) Geopolitical risks fade; 4) Swiss investors buy more foreign assets	• CPI (3 Sep); SNB (24 Sep); monthly balance sheet data • European PMIs (21 Aug) • US risk assets; US growth data releases

Source: J.P. Morgan.

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NOK

Figure 1: J.P. Morgan Forecasts

	Sep 26	Dec 26	Mar 27	Jun 27
EUR/NOK	10.80	10.80	10.70	10.70
USD/NOK	9.47	9.56	9.55	9.73
NOK/SEK	1.00	1.00	1.02	1.02
GDP (% saar)	1.8	1.8	1.8	1.5
CPI(% oya)	3.0	2.8	1.6	2.0
Policy rate (%)	4.25	4.50	4.50	4.25

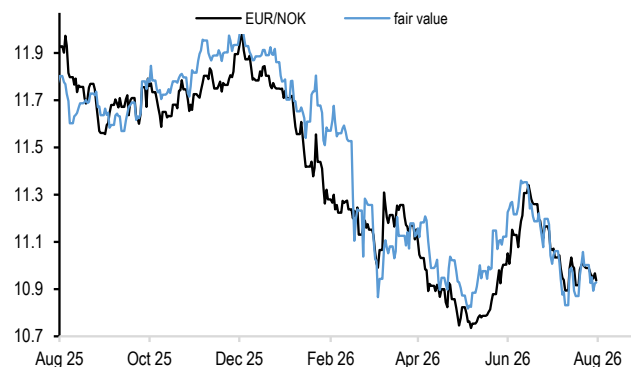
Source: J.P. Morgan.

NOK to test this year's high

- **We have upgraded our bullish NOK forecasts despite this week's dovish Norges Bank meeting and we think there is potential for NOK to test this year's high.** In terms of our trade recommendations, we are adding NOK to our high beta CHF funded basket this week. Krone supportive uncertainty over energy prices remains, the broader carry backdrop is favourable, Norges Bank could potentially hike in September and the dollar isn't a threat to the krone. Traffic through the Strait of Hormuz is tracking at low levels, which can support NOK via terms of trade. EUR/NOK is now rich to fair value (10.92), also favouring the krone. NOK should actually trade rich to fair value in our view, with the logic being that energy price uncertainty and carry should insert a positive risk premium into the currency's valuations. Domestic growth in Norway isn't surpassing Norges Bank forecasts but it is resilient enough to bolster the case for carry inspired longs in the krone, in our view. We lower our September EUR/NOK forecast to 10.80 but we think risks are to the downside for that forecast.

Figure 2: EUR/NOK is in line with fair value but ToT and carry mean it should trade cheap

EUR/NOK fair value model using relative terms of trade, 2y rate spreads and VIX

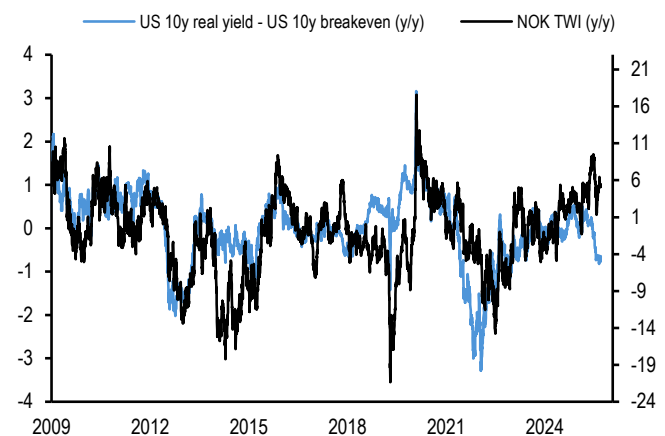


Source: J.P. Morgan Research, Bloomberg Financial L.P.

- **This week's dovish Norges Bank meeting isn't an obstacle to NOK strength in our view.** Core guidance from Norges Bank for a likely hike at upcoming meetings was removed, which sent NOK weaker on the initial reaction. This is an acknowledgment of recent softer inflation prints, with the statement noting that CPI has come in below forecasts. Governor Bache stated that it "may still become necessary to raise the policy rate," implying that current conditions may not be sufficient to tighten policy further, which puts more weight onto the next inflation print in September. Optionality to hike going forward is kept in the statement via "it is too early to conclude that the inflation outlook has changed materially. We see the NOK sell-off in reaction as capped by the uncertainty around energy prices, level of carry on offer and how sticky global yields are. Bache didn't suggest that the theoretical rate path would be materially lower, which suggests a certain degree of hawkishness heading into the September meeting.

Figure 3: US yields suggest a weaker NOK but we would push back on this

US 10y real yield - US 10y breakeven (y/y, LHS), NOK TWI (y/y, RHS)



Source: J.P. Morgan Research, Bloomberg Financial L.P.

- **Relevant to NOK will be the quarterly Norges Bank Regional Network Survey, due 17 September, which is a key input into the Bank's thinking in coming months, with the wages component the central focus given its read-through to inflation.** The June print was mixed: growth disappointed (2Q activity at 0.2% q/q vs. 0.4% expected in March, with capacity utilisation below its long-run average), but the inflationary signal came through on the hawkish side, with wage expectations revised up to 4.5% for 2026 (in line with Norges Bank) and 4.1% for 2027 (above the bank's 3.9% forecast) — keeping underlying price pressures alive. Sticky wages can thus keep the pressure on the Norges Bank to stay hawkish even despite the recent misses to their forecasts. Alongside the next CPI

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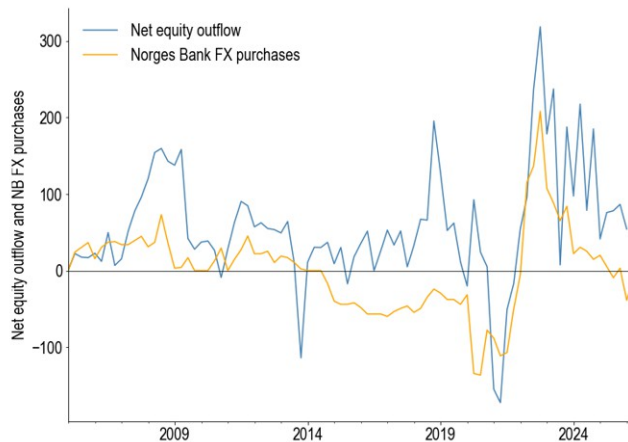
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report, this is the decisive data pairing for the Norges Bank's data-dependent hiking bias exhibited at the last meeting. The May inflation report shows Norwegian CPI overshooting consensus, printing 3.4% y/y on core vs 3.2%, but again failing to support NOK.

Figure 4: Norges Bank FX purchases are running at levels which should support NOK

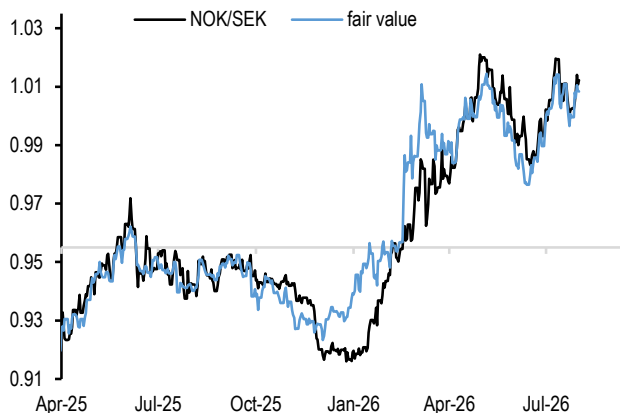
Net equity flows and Norges Bank FX purchases in NOK m



Source: J.P. Morgan Research, Bloomberg Financial L.P.

Figure 5: NOK/SEK trades in line with fair value

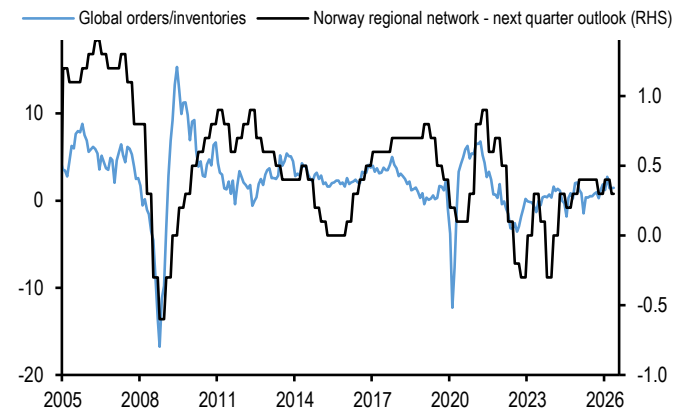
NOK/SEK fair value based on 2y rate spreads, terms of trade and VIX



Source: J.P. Morgan Research, Bloomberg Financial L.P.

Figure 6: The RNS survey has been resilient which supports NOK

Global manufacturing PMI orders/inventories differential vs Norway regional network - next quarter outlook (RHS)



Source: J.P. Morgan Research, Bloomberg Financial L.P.

Figure 7: Alternative scenarios to base-case view

Risk bias	Scenarios	Potential trigger events
Bearish relative to forecast	Bearish: 1) Further oil price decline; 2) recession/ major equity market drawdown, 3) major US equity outperformance; 4) Norges Ban dovish pivot, 5) dollar strength Bullish: 1) Oil and gas prices rally on demand (2) Regional network survey shows strong growth; (3) hawkish Norges bank and rate spreads widen	- Norges Bank (13 Aug) - Regional network survey (17 Sep), CPI (10 Jun), Norges Bank FX purchases (31 Jul) - Oil, gas prices, US dollar, US payrolls/CPI

Source: J.P. Morgan.

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SEK

Figure 1: J.P. Morgan Forecasts

	Sep 26	Dec 26	Mar 27	Jun 27
EUR/SEK	10.80	10.80	10.90	10.90
USD/SEK	9.47	9.56	9.73	9.91
NOK/SEK	1.00	1.00	1.02	1.02
GDP (% saar)	2.0	2.3	2.0	1.8
CPI(% oya)	0.8	1.3	1.1	1.9
Policy rate (%)	1.75	2.00	2.00	2.00

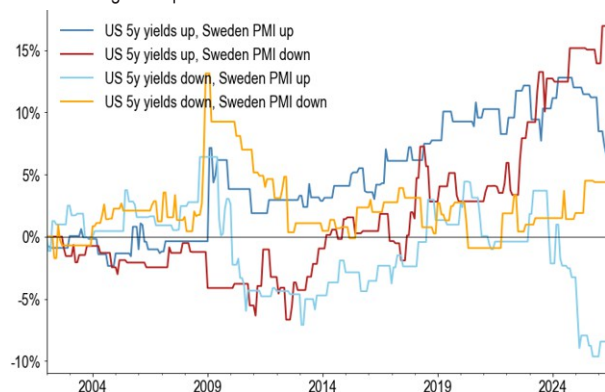
Source: J.P. Morgan.

Bearish as carry overrides growth

- Although the backdrop for SEK has turned less negative recently—better domestic data, more range-bound US yields, and neutral equity momentum — **we remain bearish, driven by the global carry backdrop, still-high US yields and energy importer risks from the Iran conflict.** In our trade recommendations, we hit our take-profit trailing stop on long EUR/SEK and now stay on the sidelines. Using SEK as a funder vs high yielders still has merit, even if EUR/SEK upside looks less compelling without a fresh rise in US yields or geopolitical escalation. For meaningful downside in the pair, however, better domestic data is not enough in our view: it requires either (1) lower US yields, or (2) equity momentum swinging decisively towards Sweden vs the US.

Figure 2: Domestic growth is usually not enough: over time, ex-2025, EUR/SEK has mostly only been able to decline when Swedish PMI was up if US yields were also declining

Cumulative returns in EUR/SEK in months of US yields up/down, Sweden manufacturing PMI up/down



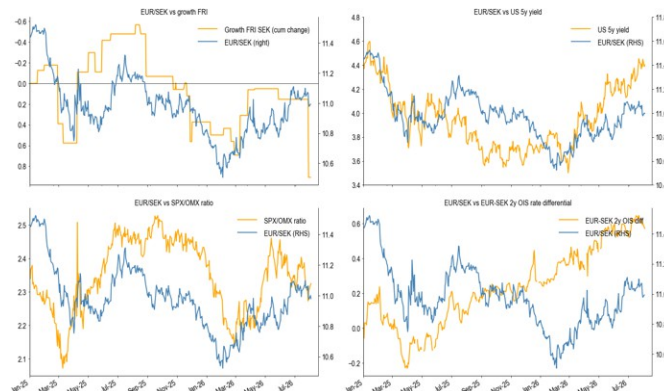
Source: J.P. Morgan

- Since early 2025, EUR/SEK's upward-and-downward cycles have coincided with growth cycles of improving and deteriorating growth. However, each of those cycles could also be explained by large moves in either

equity momentum vs the US, and/or US yields (Figure 3). The several months of improvement on the ETI survey and some of the hard data, which also prompted a forecast revision from our economists, suggest we are in such a SEK-positive regime — but we do not think growth alone can drive significant SEK upside.

Figure 3: Since early 2025, EUR/SEK upward-and-downward trends have coincided with growth forecast revisions, but each of these could also be explained by equity momentum or US yields moving

EUR/SEK vs select drivers



Source: Bloomberg Finance L.P., J.P. Morgan

- Domestic data keeps improving, and it stands out in the cross-section:** SEK has the sixth-largest growth-upgrade momentum globally, briefly entering the long basket of our optimised TEAM model before dropping out this weekretreating this week(*FX Macro Quant*, Delair, Lai et al). Core inflation came in well above consensus and the Riksbank at 0.6%oya (consensus 0.3%, Riksbank 0.24%) — a third straight beat after six consecutive misses (1). We treat inflation beats as SEK-positive only when growth is also firm, as it is now; growth revisions and inflation surprises have moved broadly in sync through 2025-6. What matters more for the pair though is the outright level of US yields, not rate differentials — consistent with our broader FX finding that yield levels dominate rates momentum, as they have for three years (see Figure 2here & 19 in mid-year outlook).
- We do not expect the Riksbank next week to move the needle significantly on SEK:** risks skew net dovish relative to the already-hawkish market pricing, but not enough to move the currency much, given there are no forecasts either. Inflation and growth have both surprised to the upside, with the latest core inflation outturn 0.4%pts and the (albeit volatile and prone to revisions) 2Q GDP indicator 2.3%pts (saar) higher, while the currency is ~4% weaker than forecast. While these could encourage a hawkish turn, such as “some tightening may be required this year” (as our [economists](#) expect), the bar to outhawk

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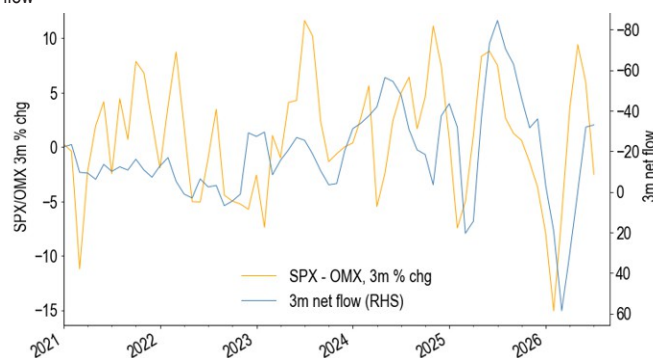
rates markets is high: they price 1.5 hikes by year-end against our economists' call for one, and the cumulative ~80bps priced by end-2027 looks excessive to our [rates strategists](#), who are receiving 1y1y Stibor. Matching what is priced would require an 80-90% probability of the hawkish scenario. Conversely, surprising dovishly enough to move markets would mean explicitly pushing back on the hikes priced — unlikely without a new rate path.

- **The other positive is that global and European growth has been surprising to the upside recently, accompanied by upward growth forecast revisions by our economists; the opposite to some extent is true for the US.** This is still early stage but a space to watch, as **this back-drop is typically SEK-positive** via lower US yields and its beta to global growth - though we still expect SEK to remain under pressure vs the higher yielders. The other space to watch is German fiscal: the lack of market follow-through of renewed focus on German fiscal for now tempers our enthusiasm.
- **Equity momentum has been mixed** and investment fund data shows continued net outflows, though smaller than recent months. Momentum is thus not going convincingly in any direction, which could generate large retail flows either way (note these have tended to track equity momentum in recent years; Figure 4). Investment fund data showed continued net outflows in July, albeit smaller than in recent months. Near-neutral momentum points to a slightly negative net equity flow on the BoP, but one that is likely not tactically important. This is a space to watch given it has contributed to SEK's multi-month trends in recent years.
- **Swedish elections are generally not too impactful for the krona (Figure 5) and we do not expect this year's to be either.** The main channel to track for any impact would be fiscal policy. Polling suggests a coalition led by the Social Democrats, who are currently in the opposition (though their lead has been narrowing in recent weeks in favour of the status quo). A protracted government formation, coalition of several parties or change in government could induce some uncertainty and impact how much fiscal support can be passed, but the fiscal positions of the opposition and across the political spectrum are not significantly different to the status quo and we don't expect it to be a major driver for the currency either. The Social Democrats' alternative 2026 budget proposal included

SEK ~30bn more in spending, but also an equally large increase in revenues, making the budget balance about equal. Our rates strategists do highlight the risk for higher intermediate Swedish yields around the October budget in the event of a Social Democrat win given higher welfare spending on top of existing defence and infrastructure commitments, pointing to deficits at least as large as the current trajectory. Even if realised, however, we do not expect this to be an issue for FX given Sweden's healthy fiscal position where expansionary policy is seen in a good light.

Figure 4: Net investment fund flows have followed equity momentum in recent years; near-neutral momentum would result in slightly negative net flow (but likely not tactically important) as per recent years

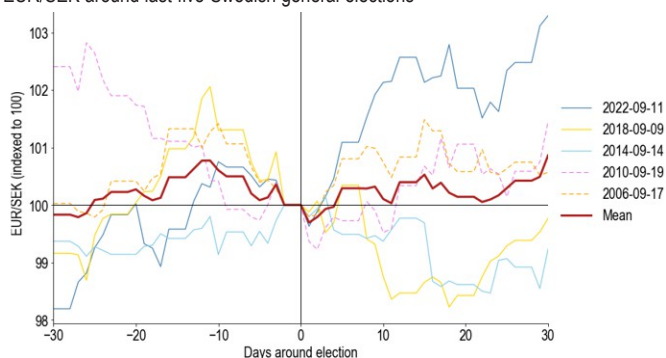
Difference between SPX - OMX 3m % changes vs 3m net equity investment fund flow



Source: Bloomberg Finance L.P., J.P. Morgan

Figure 5: Swedish elections are typically uneventful for FX

EUR/SEK around last five Swedish general elections



Source: J.P. Morgan

Figure 6: Alternative scenarios to base-case view

Risk bias	Scenarios	Potential trigger events
Bearish SEK	• Bearish (SEK): 1) Renewed sustained rise in global yields; 2) Poor equity momentum vs US; 3) Geopolitical escalation or risk sentiment sell-off; 4) Domestic and regional growth disappoints further • Bullish (SEK): 1) Conflict resolution; pro-cyclical environment; 2) Equity momentum vs turns back in SW's favour; 3) Swedish and regional growth better than expected; 4) US moderation/ lower yields, 5) Equity repatriation	• Riksbank meeting (24 Sep), CPI (14 Sep) • PMI (1 & 3 Sep), NIER (28 Aug) • Regional and global growth/risk

Source: J.P. Morgan.

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CAD

Figure 1: J.P. Morgan Forecasts

	Sep 26	Dec 26	Mar 27	Jun 27
USDCAD	1.40	1.41	1.40	1.39
GDP (% saar)	1.4	1.4	1.7	1.7
CPI(% oya)	2.6	2.7	2.4	1.6
Policy rate (%)	2.25	2.25	2.25	2.25

Source: J.P. Morgan.

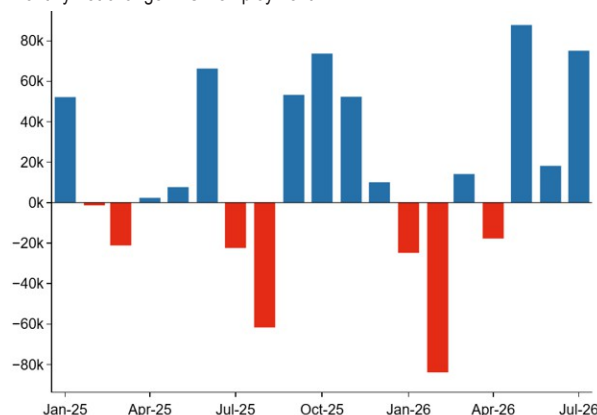
Stay bearish on crosses despite better data

- Canada's growth outlook has improved in recent weeks, but we remain selectively bearish CAD on crosses as trade-related risks and an unattractive carry profile continue to offset the stronger domestic backdrop. Since we last published, USD/CAD has fallen from ~1.42 to ~1.39, while CAD has ranked among the stronger performers in G10 FX. That move reflects both a run of stronger-than-expected Canadian data, as well as broader USD weakness (which led us to [exit](#) our long USD basket vs G10 low-yielders, which included CAD). Most of this better data preceded the latest [Section 338 tariff threat](#), however, which is due to take effect next week (Aug 19th) and presents CAD-negative risks (see [here](#)). Moreover, the BoC continues to emphasize that slack remains in the economy, suggesting limited risk that stronger growth translates into materially tighter near-term policy. With carry still in favor globally, we continue to think that CAD's low-carry profile, together with Canada-specific trade risks, should limit the scope for sustained outperformance. We thus keep our USD/CAD forecasts unchanged (4Q: 1.41, 2Q27: 1.39) and continue to prefer CAD-bearish expressions through procyclical, carry-positive structures (short CAD/MXN).
- Canada's improving cyclical backdrop has driven a meaningful hawkish repricing of BoC expectations, helping support CAD in recent weeks, but that repricing may now be somewhat overdone. The latest CA labor market data extended a string of encouraging surprises, with employment rising 75.1k in July to cap the strongest three-month run for hiring since the US trade war first began (Figure 2). More broadly, incoming activity indicators suggest growth momentum strengthened through 2Q and into early 3Q after the early-year technical recession, prompting our [Canada economists](#) to upgrade their 2Q GDP forecast to 3% q/q saar and their full-year 2026 growth forecast to 1.4% Q4/Q4 (matching the BoC's latest [July MPR](#)). This improving backdrop has been reflected in rates markets, where BoC expectations have repriced more hawkishly than Fed expectations since we last published, compressing US-CA front-end

yield differentials and supporting USD/CAD lower (Figure 3). Looking forward, however, OIS markets now price more cumulative BoC tightening (~63ps) than Fed tightening (~37bps) through mid-2027. While stronger CA data clearly deserve respect, this degree of divergence is a bit difficult to reconcile with the BoC's continued emphasis on remaining slack in the economy and ongoing trade headwinds, leaving the risk-reward skewed toward renewed US-CA spread widening and a moderation in recent CAD outperformance.

Figure 2: Canada has now seen its strongest three-month run of hiring since the US trade war first began

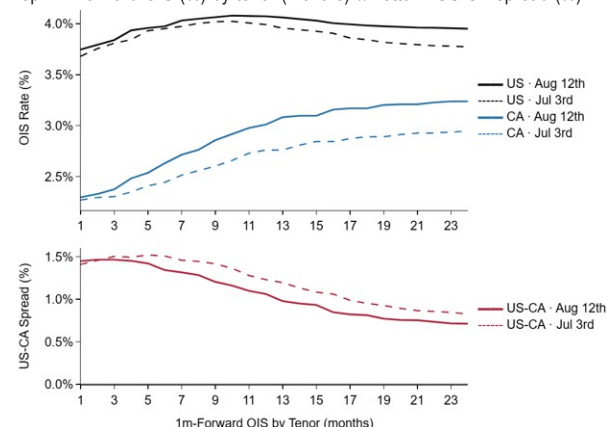
Monthly net change in CA employment



Source: Bloomberg Finance L.P., J.P. Morgan

Figure 3: BoC expectations have repriced more hawkishly than Fed expectations since we last published

Top: 1m-forward OIS (%) by tenor (months) \ Bottom: US-CA spread (%)



Source: J.P. Morgan

- Section 338 tariffs represent the most significant escalation in US-Canada trade tensions in 2026 and introduced a unique CAD-specific source of uncertainty. On July 20th, the US [announced](#) three separate Section 338 orders imposing additional 50% tariffs on ~\$20bn of

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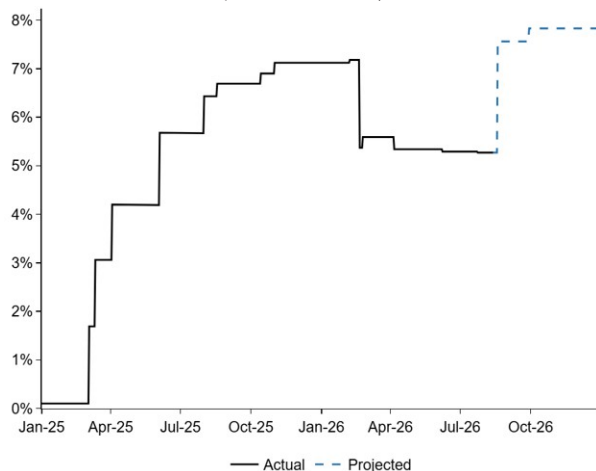
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Canadian imports (~5% of the total from Canada), citing alleged discriminatory trade practices. The tariffs cover a wide range of products and would raise the effective US tariff rate on Canada to over 7.5%, the highest since the trade war began (Figure 4). While certain Canadian exports are excluded — including energy, potash, critical minerals, and products already subject to Section 232 tariffs — **it is notable that USMCA-compliant goods were explicitly not exempted**, marking a change in US strategy compared to earlier tariffs. As we discussed in more detail [here](#), this reinforces the notion that **CAD continues to face headwinds from trade/tariff policy that are uniquely negative for Canada**, particularly as Mexico has avoided any Section 338 tariffs (further supporting CAD/MXN downside).

Figure 4: Section 338 tariffs would raise the effective US rate on Canada to over 7.5%, the highest since the trade war began

Effective US tariff rate on imports from Canada (% , based on 2024 trade data)



Source: [Yale Budget Lab](#), J.P. Morgan

- **The market impact of Section 338 ultimately hinges less on the tariffs themselves than on what the ongoing negotiations imply for the broader USMCA trade agreement.** In our [Year Ahead Outlook](#), we argued that a **more constructive medium-term CAD view would likely require both reduced tariff uncertainty and greater clarity around USMCA**. To that extent, recent [news reports](#) indicate that US-Canada trade negotiations have intensified ahead of the Aug 19th deadline; the framework of a potential deal would see the US back

away from the 50% tariffs and also reduce certain Section 232 tariffs on Canada, in exchange for Canada removing some of its retaliatory measures and making other concessions such as widening access to its dairy market and returning US alcohol to store shelves. If Canada were to emerge with no 338 tariffs enacted plus agreement on certain core USMCA issues (e.g. dairy market access) as recent news reports suggest, that could be perceived as a CAD-positive outcome given legitimate forward progress in USMCA renegotiations. But this is a high bar to clear in our view, and our base case continues to view the 338 tariff announcement as a setback to progress on broader USMCA negotiations. Markets have thus far looked through the 50% tariff announcement (Figure 5), such that actual implementation would represent a meaningful negative surprise relative to expectations.

Figure 5: USD/CAD does not show any obvious discount related to the recent tariff announcement

USD/CAD vs model based on US-CA 2Y rate differential, oil & HY credit spreads



Source: J.P. Morgan, Bloomberg Finance L.P.

- **We are also monitoring growing political attention around Alberta's constitutional future ahead of this autumn's referendum process.** While we do not view separation as a realistic base-case outcome, nor do we see Quebec sovereignty as a significant near-term market driver, **the renewed visibility of regional autonomy movements is worth watching as a tail risk for CAD**, particularly if it further exacerbated US-Canada trade tensions or otherwise led to a deterioration in domestic data.

Figure 6: Alternative scenarios to base-case view

Risk bias	Scenarios	Potential trigger events
Neutral	• Bearish: US-CA trade war escalates with broader tariffs on Canada. USMCA negotiations fall apart. BoC pushes back on hawkish market pricing given Canada-specific trade concerns. • Bullish: US-CA trade tensions de-escalate and Section 338 tariffs are not implemented. Domestic dataflow remains strong such that the BoC begins a hiking cycle earlier than expected.	• CPI (17 Aug, 14 Sep) • GDP (28 Aug) • BoC (2 Sep) • Payrolls (4 Sep)

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AUD

Figure 1: J.P. Morgan forecasts

	Sep 26	Dec 26	Mar 27	Jun 27
AUD/USD	0.70	0.69	0.69	0.69
GDP (% saar)	1.5	1.9	1.5	1.7
CPI(% oya)	3.8	3.9	3.5	3.6
Policy rate (%)	4.35	4.35	4.35	4.35

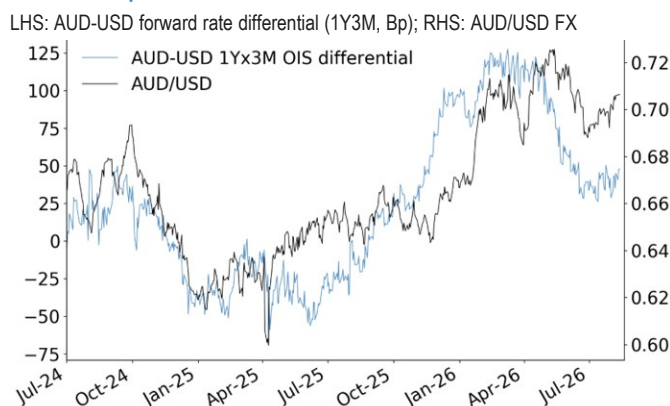
Source: J.P. Morgan estimates.

AUD: Levelling-out

- AUD/USD has edged modestly higher over the past month, largely due to a stalling USD, with mixed performance on the crosses. **Recent data have broadly reinforced our view that the fundamental drivers of the earlier AUD rally have faded.** 2Q inflation undershot RBA forecasts, activity/labour indicators have deteriorated versus the 1Q benchmark and the housing market remains a clear source of downside risk. Carry and pension fund hedging dynamics remain supportive and should help limit downside. **We retain our view for broad AUD/USD stability in 2H26 (Dec-26 target: 0.69).**
- The RBA broadly met expectations at the August policy meeting, holding rates steady while retaining a hiking bias that remains closely tied to still-elevated inflation. FX markets were relatively sanguine around the decision and subsequent press conference, avoiding the whipsaw price action seen in rates. **The RBA lowered its inflation forecast, with headline inflation now expected to return to the target band by mid-2027,** while acknowledging some upside risks remain. The speed of reduction in headline inflation assumed by the staff looks overly optimistic versus the J.P. Morgan baseline, but is broadly consistent with our forecast that core inflation pressure is easing.
- RBA-Fed rate expectations have traversed a narrow range in the past month and are at levels which already imply some FX downside (Figure 2). **With AUD OIS still pricing a ~70% probability of another hike by year-end, we think spreads are biased lower and will be a slight drag on AUD from here.**
- J.P. Morgan's Hawk-Dove Score (HDS) natural language processing tool for central bank communications scored August's policy statement at +31, below the previous statement (+34) and another incremental dovish pivot from the RBA. In prior research, we highlighted how these shifts tend to mark [an inflection point in rates to a period of stability](#), which should see the RBA's language become more neutral over time. **AUD FX already also screens modestly rich relative to central bank commu-**

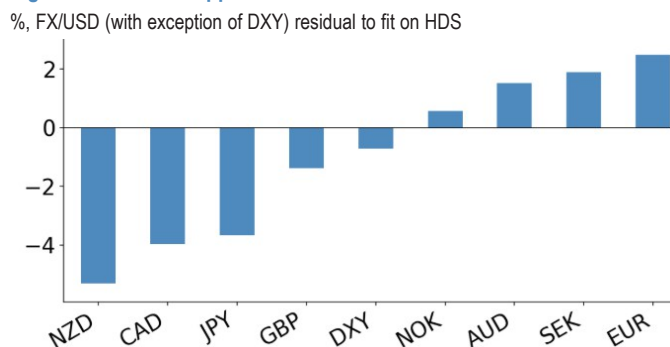
nications (Figure 3), so has scope to depreciate as the RBA's rhetoric turns more dovish and realigns with other G10 central banks.

Figure 2: Cross market rate spreads support our view for modest AUD/USD depreciation



Source: Bloomberg Finance L.P., J.P. Morgan.

Figure 3: AUD/USD appears rich relative to the RBA's HDS



Source: Bloomberg Finance L.P., J.P. Morgan.

Note: Residuals on regression of each currency to 3m lag and cross-sectional PC1, PC2 of HDS.

- While carry remains supportive and limits AUD FX downside, we have [previously noted](#) that prevailing rate differentials are an imprecise long-term predictor of AUD/USD. Instead, we find that forward rate spreads offer a better guide to exchange rate directionality and since early May have compressed across the curve to US.** As noted above, cross market rate spreads support our forecast that AUD/USD has now passed its peak, **a view complemented by other fair value model inputs (Figure 4), including commodities and China equity performance.**
- Following the May Commonwealth Budget's changes to negative gearing and capital gains taxation, Australia's housing market has become an increasingly important headwind to the cyclical outlook. **These policy shifts, alongside elevated borrowing rates, have pushed housing auction clearance rates sharply lower, with histori-**

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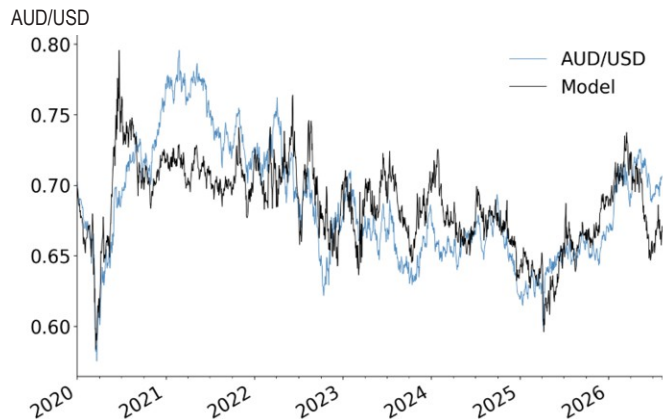
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cal relationships suggesting dwelling price falls in the months ahead. With household wealth and related turn-over metrics (home sales, credit growth) turning down, GDP growth should stay at recent subdued levels, reinforcing our view that the hiking phase has ended and that cuts are likely in 2027.

- Australia's 1Q26 current account deficit widened to 3.9% of GDP, returning to levels last seen during the investment phase of the mining boom in the 2000s. **While data center-related investment has increased sharply, we flag that the dollar value and domestic value added associated with capital goods imports is significantly smaller than during the mining investment boom in the 2000/10s.** This is important from an import and capital flow perspective, with the current account composition materially different from this prior episode.
- Rising AI-related P&E imports have weighed on the trade surplus, and **there is unlikely to be a material export offset as there was from expanded bulk commodity supply through the mining boom.** Resulting capital inflows are also less 'automatic' than recycled foreign mining company earnings were in previous capex cycles. In the income account, debits are running structurally higher following a surge in foreign ownership of ACGBs, semis and ADI/corporate paper.
- Given the starkly different set-up, it comes as little surprise FX implications are materially smaller than the previous capex cycle in 2003-2014. Back then, AUD/USD pushed above parity for a period as a result of surging commodity prices, pressure on domestic capacity, and large capital inflows into the resources sector. **The current investment cycle is expected to be materially smaller from a local value added perspective, limiting spillovers to interest rates and FX.** So while current account deficits have at times been associated with strong AUD/USD levels, this relationship is clearly imprecise and depends on context (Figure 5).

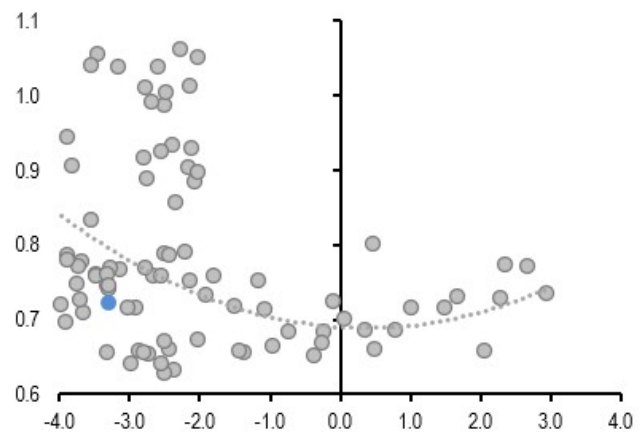
Figure 4: Model-implied fair value estimates support our view AUD/USD has peaked and is biased lower



Source: Bloomberg Finance L.P., J.P. Morgan
Model inputs include AU-US OIS differential, commodity prices (level and 1M return), SPX (level and 3M change), VIX and CSI300 1M return.

Figure 5: Strong AUD FX levels are more associated with current account deficits than surpluses, but the relationship is imprecise, reflecting that the nature of capex/imports matters

X axis: CAD % of GDP; Y axis: AUD/USD. Blue dot most recent observation (1Q)



Source: ABS, Bloomberg Finance L.P., J.P. Morgan

Figure 6: Alternative scenarios to base-case view

Risk bias	Scenarios	Potential trigger events
Bullish	• Bearish: AUD/USD below 0.67 if (1) broad hawkish shift across G10 central banks, particularly the Fed (2) Commodity prices downshift in context of weaker global growth, reinvigorating AUD's high beta status • Bullish: AUD/USD above 0.73 if (1) Tariff/geopolitical conflict de-escalates and facilitates a rally in risk assets (2) De-dollarization inflows and rising hedge ratio of AUD super funds promote BoP flow support.	• Labor survey (Jul): Aug 20th • CPI (Jul): Aug 26th • Construction work done (2Q): Aug 26th • Capex (2Q): Aug 27th

Source: J.P. Morgan

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NZD

Figure 1: J.P. Morgan forecasts

	Sep 26	Dec 26	Mar 27	Jun 27
NZD/USD	0.60	0.60	0.60	0.60
GDP (% saar)	3.4	1.2	4.0	1.0
CPI(% oya)	4.0	3.9	3.4	2.4
Policy rate (%)	2.75	3.00	3.25	3.25

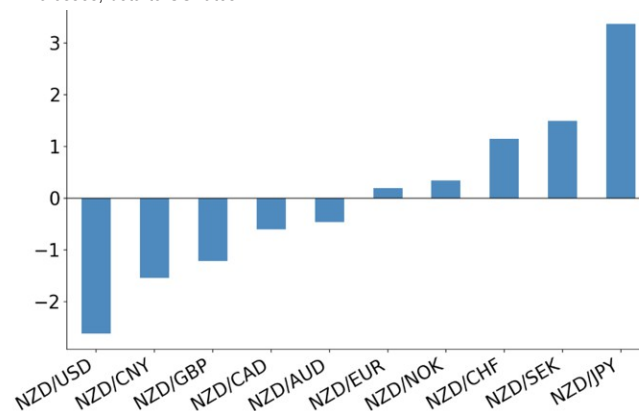
Source: J.P. Morgan estimates.

NZD: Recovery unfolding

- NZD/USD has bounced back from a mid-year stumble driven by Fed repricing (Figure 2), moving **toward what we view as a sustainable average around 0.60. We remain constructive NZD**, particularly on the crosses given the bottom-up drivers of domestic cyclical and population upswings still have further to play out. The RBNZ's hiking cycle is underway and so far the central bank's messaging has been robust to volatility in oil prices, as well as the resulting sentiment shifts in the business surveys. **We forecast NZD/USD to reach 0.60 at Sep-2026 and to hold this level into mid-2027.**
- The New Zealand economy appears to have moved past recent years' malaise** as easier financial conditions in credit supply and recovering immigration create a virtuous cycle. Business surveys bottomed last year and though sentiment stepped back initially on the oil price shock early in 2Q, more **recent readings have strengthened again**, consistent with annualized growth running around 2%. The last GDP data also surprised positively with upward revisions, such that even a flat outcome on GDP in 2Q would put the annual rate above 2%oya, faster than the pace of labour supply growth.
- The money market curve is steep, though broadly aligns with our policy forecasts for 100bp of cumulative tightening** by early 2027. This would still only leave the cash rate at about long-run neutral, while the swap market does not price the OCR getting above the RBNZ's short-run neutral measure for several years, despite above-target inflation. This **leaves further scope to reprice the medium-term interest rate outlook upon delivery of the forwards**. NZD FX has been cheap relative to AUD vis a vis forward rate spreads, perhaps reflecting skepticism regarding the RBNZ's delivery path, though the same logic implies delivery of the forwards would repair this residual and **bring AUD/NZD back down to the mid-1.10s**. Relative performance of housing and migration reinforce this bias.

Figure 2: The repricing of US rates through 2Q took around 2.5% off NZD/USD in beta terms, before NZD rates and growth caught up

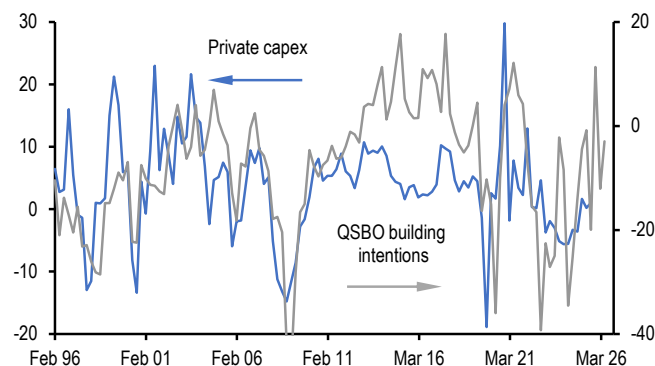
NZD crosses, beta to US rates



Source: J.P. Morgan. Note: Beta of NZD crosses to US 1Y3M OIS (% change in FX for 100bp increase in rates) controlling for US GDP FRI, commodity price basket, 3m lag of dependent variable. Daily data since 2007.

Figure 3: NZ firms' capital spending plans are upbeat, which should support growth and somewhat challenges the excess capacity narrative

LHS: Real private capex (%oya, 6m lag); RHS: Building intentions index (net % balance)



Source: Bloomberg Finance L.P., J.P. Morgan

- The only blemish in the recent data has been the **NZ unemployment rate, which surprisingly rose in 2Q**. For the skeptics, this gives the RBNZ time and may see under-delivery vs the forwards. However, the result is also in contrast to the firm-level data on filled jobs, business survey hiring intentions, and data on welfare recipients. Firms' capex plans are also robust (Figure 3), suggesting global concerns in 2Q haven't derailed expansion plans. Nevertheless, the RBNZ appears on track for a second hike in September, highlighting the low hurdle for normalization after more than 300bp of prior easing.
- Net migration flows have improved meaningfully in recent quarters, recovering to levels near the pre-COVID average. **Stronger net migration will support both**

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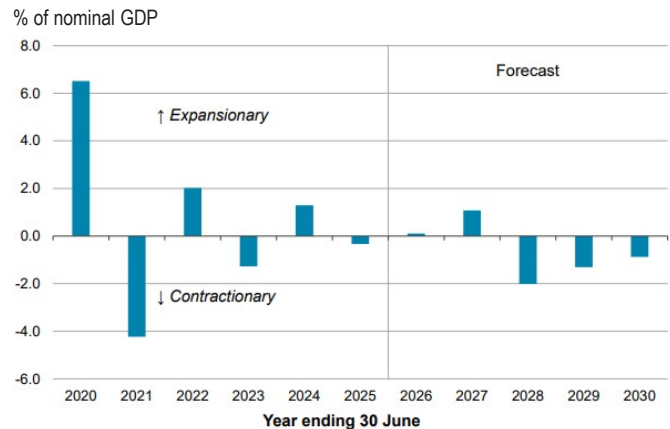
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aggregate GDP growth and labor supply. This combination is very favorable for returns on fixed capital and so has typically been associated with strong portfolio equity inflows, already evident in the data. The recent uptick in house price growth is another nascent sign that population inflows (and easier lending conditions) are boosting demand, and will change perceptions of financial conditions. House prices have turned higher in recent months, while credit growth has accelerated 2%-pts from the lows.

- **NZ's national election in November is becoming a more prominent risk catalyst for 2H26.** Prime Minister Luxon has now survived two party confidence votes. While this has for now reduced the odds of a leadership challenge within the National Party, it is symptomatic of the government's weaker polling and a tight election race. Polling skews toward a change of government to Labour, but majority rule is unlikely. The close two-party race raises the prospect that minority parties may have a greater say in policy outcomes.
- Here we see a number of configurations with macro relevance. Markets would likely view a straightforward change of government where Labour has optionality regarding coalition partners as bringing easier fiscal policy, putting upward pressure on rates and NZD. We downplay the significance of this effect in reality, as since the last Budget in May Treasury already estimated a significant positive fiscal impulse for the coming year (around 1%-pt), a tactical shift into the election which breaks National's multi-year run of belt-tightening (Figure 4). Though sentiment effects could be positive for NZD through the campaign nonetheless.
- On the negative side, **coalitions that bestow stronger bargaining power on minority parties bring some potential risks.** The Green Party has campaigned on a range of tax increases, while NZ First have proposed intervention in a number of oligopoly sectors, any of which would be negative for the capital return outlook. Markets had of course played NZ First's kingmaker role in the 2017 election as a negative, given their pledge

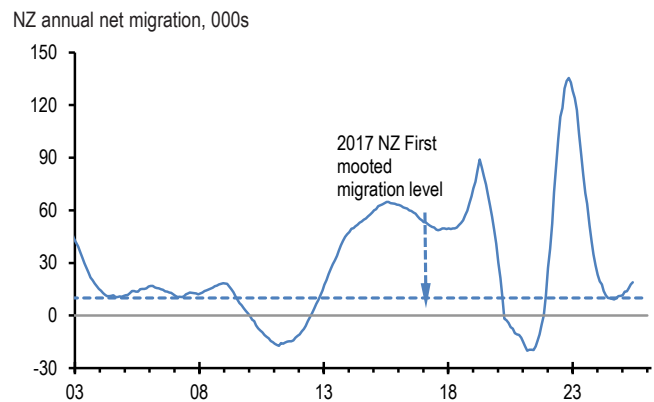
at the time to sharply cut the migration intake (Figure 5). In a hung parliament, NZ First decided to form a coalition with Labour; despite their clear leverage in this arrangement, the new government did not cut immigration, avoiding any damage to NZ growth and housing.

Figure 4: National's last Budget in May already tilted expansionary for FY27, after two years of restraint



Source: NZ Treasury, J.P. Morgan. Fiscal impulse is the %-pt contribution of discretionary fiscal policy to GDP growth, by fiscal year. FY27 year has just commenced.

Figure 5: In the 2017 election, influential minor parties pledged sharp cuts to immigration, which ultimately weren't delivered, but were traded as NZD-negative through the campaign



Source: Bloomberg Finance L.P., J.P. Morgan

Figure 6: Alternative scenarios to the base-case view

Risk bias	Scenarios	Potential trigger events
Bullish	• Bearish: NZD/USD below 0.55 if (1) The domestic recovery falters due to ongoing weakness in housing, delaying policy normalization; (2) Escalation of geopolitical conflict and oil price spillovers triggering weaker global agriculture prices. • Bullish: Above 0.61 if (1) Immigration lifts strongly on stabilizing labor market prospects, boosting growth and housing; (2) Expectations for a change of government raise the prospect of fiscal easing	• Card spending (Jul): Aug 17th • ANZ business survey (Aug): Aug 31st • RBNZ MPS (Sep): Sep 2nd • Net migration (Jul): Sep 14th • GDP (2Q): Sep 17th

Source: Bloomberg Finance L.P., J.P. Morgan

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MXN

Figure 1: J.P. Morgan Forecasts

	Sep 26	Dec 26	Mar 27	Jun 27
USD/MXN	17.20	17.25	17.30	17.30
GDP (% saar)	0.5	2.5	1.0	1.3
CPI(% oya)	3.4	3.7	3.7	3.5
Policy rate (%)	6.50	6.50	6.50	6.50

Source: J.P. Morgan.

MXN: Quietly benefiting from rotation in global trade; stay OW

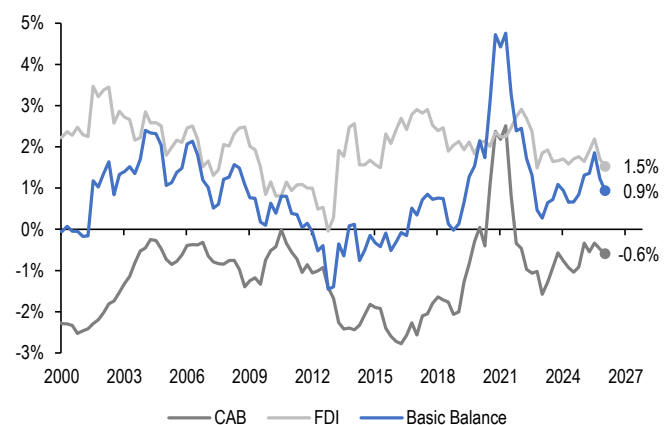
- **Mexico's robust external sector and a steadier political calendar make MXN an attractive choice to position into a procyclical scenario.** The appreciation of MXN in the past year seems to be responding to a mix of elements besides carry, including a compression of risk premia as trade tensions ease and improving external accounts (see our full analysis [here](#)). Positioning in MXN is much cleaner than what we saw in previous carry-regimes (e.g. 2023), with our *EM Client Survey* even showing a net short stance, which suggests less vulnerabilities for MXN if external conditions become less favorable to carry strategies. Finally, the political calendar in Mexico is quite steady, limiting the sources of idiosyncratic risk, particularly if the green shoots in economic activity turn into a more consistent economic recovery in 2H26.
- **The USMCA continues to provide sizeable protection from tariffs.** On July 1st, the US announced that it would shift to “rolling talks”, a scenario that was already incorporated by most market participants. The US trade representative also confirmed the agreement will remain in force while outstanding issues are addressed, signaling no intent to exit USMCA, which should still allow Mexico to expand access to the US market, supported by its relative geographical advantage versus other US trading partners. Investors may ultimately settle into an “equilibrium” level of uncertainty, with space to deploy more capital despite the lack of clarity. Finally, we see space for some domestic policy improvements that are not reliant on USMCA and that can improve investor confidence (e.g. enhancements in the rule of law and more access to key sectors such as energy and infrastructure).
- **Mexico remains well-positioned to benefit from global**

trade reallocation and the AI capex cycle. Despite the delayed USMCA resolution, external tailwinds remain strong for Mexico, as it keeps gaining share in US imports, and foreign direct investment maintains a robust trend. Trade has been solid with the balance at USD 9.2bn (12month rolling) as of June (its strongest level since mid-2021 and much more relevant if we omit the COVID-related stress). The composition of exports has changed, reflecting a rotation from the traditional auto sector (which has been targeted by more stringent US tariffs) to sectors that benefit from the demand for technology, AI, data centers and other related industries. Finally, other components of the BoP remain robust as well with remittances steady above USD 60 bn per year and inflows from tourism at record highs.

- **The structural view for MXN is anchored by a decent vol-adjusted carry. We stay OW MXN.** J.P. Morgan forecasts a stable policy rate at 6.50% over the next twelve months, which would still leave the nominal spread about 100 bps over an average of EM economies (and 150bps excluding Brazil). Meanwhile, MXN volatility remains below that of most EM currencies, which improves the appeal of MXN's carry adjusted by volatility. Against this backdrop, if global growth proves resilient, the still-decent carry of the currency along with a robust BoP position should continue to provide support MXN. We are OW MXN and remain short CAD/MXN.

Figure 2: Mexico's external accounts remain robust

Mexico current account balance, net FDI and basic balance (CAB + net FDI); 4Q rolling sum as % of GDP



Source: J.P. Morgan, Haver Analytics

Figure 3: Alternative scenarios to base-case view

Risk bias	Scenarios	Potential trigger events
Bullish	• Bearish: Higher US yields, more hawkish Fed, US labor market deterioration	US CPI, activity prints
	• Bullish: Inflation within target, nearshoring news	Banxico's meetings, news on USMCA

Source: J.P. Morgan.

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BRL

Figure 1: J.P. Morgan Forecasts

	Sep 26	Dec 26	Mar 27	Jun 27
USDBRL	5.15	5.20	5.15	5.15
GDP (% saar)	1.2	1.0	2.4	0.4
CPI(% oya)	4.3	4.9	4.3	3.8
Policy rate (%)	13.75	13.75	13.75	13.25

Source: J.P. Morgan.

BRL: Campaigns have officially started; stay MW BRL

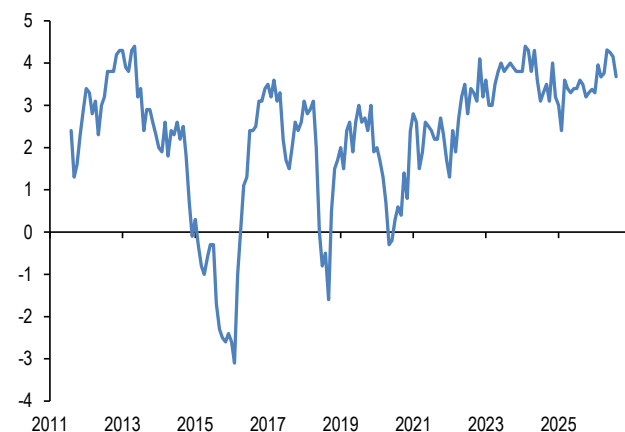
- **BRL has been much more resilient to the electoral noise this year compared to prior political cycles, but signs of stress are now becoming more evident.** In our previous work, we found that elections tend to become the key driver of BRL about six months ahead of the vote, with depreciation ranging from ~60% in 2002 to ~16% in 2022. This cycle looks different so far with BRL still up 5.5% YTD and, despite falling ~6% since mid-May (and underperforming Latam peers), it has been relatively resilient aside from brief bouts of stress. From here, candidates must register with the Electoral Court by August 15, with campaigning beginning August 16. Our base case is that the main contenders will be Lula and Flávio Bolsonaro. Polls currently show Lula ahead in both first and second round scenarios (October 4 and 25). If that lead holds or widens, we see scope for BRL to revert towards historical patterns, implying higher volatility and a more meaningful spot depreciation.
- **Volatility is well contained compared to previous election years, but forward volatility does not deviate too much from past episodes.** The global environment has remained favorable for carry plays all year despite the heightened trade and geopolitical tensions that have dominated the narrative. The resiliency of global growth has kept risk appetite afloat and BRL has maintained a preferential place among carry picks with nominal and real rates close to historical highs and a favorable balance of payments position with the spike in oil prices. These elements have translated into more stable FX markets and low levels of BRL volatility, compared to history. But looking at forward pricing, it looks like the market is anticipating a move that does not deviate too much from past experience. At the moment, the one-month forward volatility

for October 2026 stands at 23%, much higher than the current 12% level, although somewhat below the peak 1M implied volatility reached in the election of 2018 (~30%) and 2022 (~26%).

- **BCB has space to deliver some residual easing, absent a bigger spike in BRL volatility.** Despite real interest rates still being close to 10%, the BCB has shifted to a more cautious and data-dependent stance. Our economists' expectations have adjusted accordingly and the view is that the data will make it more challenging for a continuation of the calibration cycle, allowing only for one final cut in September and a long pause at 13.75% until next year, with further moves depending importantly on the fiscal policy stance next year. Market pricing is aligned with this level of terminal rate for the easing cycle with a bias for some tightening into 2Q27.
- **BRL position still looks well subscribed; we are MW in BRL.** Despite the correction in USD/BRL, our fair value model still points to a slightly expensive currency. Positioning also remains close to historical highs according to IMM data (99th percentile in a 10Y window) and our J.P. Morgan *EM Client Survey* (percentile 81 since 2003 as of June). In this state of affairs, our view has been that BRL would enter into the electoral process in a vulnerable technical position and we therefore have adopted a more cautious stance and stayed MW BRL.

Figure 2: BRL position still looks well subscribed

BRL positioning score; positive indicates long stance



Source: J.P. Morgan *EM Client Survey*

Figure 3: Alternative scenarios to base-case view

Risk bias	Scenarios	Potential trigger events
Bullish	• Bearish: Higher US yields, more hawkish Fed, fiscal deterioration, aggressive cuts	Election, new fiscal measures
	• Bullish: Inflation within target, gradual easing cycle, US yields finding a top, continued external accounts strength	CPI dynamics, current account data

ZAR

Figure 1: J.P. Morgan Forecasts

	Sep 26	Dec 26	Mar 27	Jun 27
USD/ZAR	16.25	16.00	15.90	15.75
GDP (% saar)	1.5	1.2	1.6	1.6
CPI(% oya)	4.5	4.5	4.7	3.3
Policy rate (%)	7.25	7.25	7.25	7.25

Source: J.P. Morgan.

- **MW in the GBI-EM Model portfolio.** We moved MW ZAR from OW on [23 July](#), following the SARB's decision to hold rates stable, despite elevated and accelerating headline (5.0% y/y) and core (4.1%) inflation in June. ZAR's carry is moderate for a higher vol currency and hence SARB's tightening would be an important anchor for appreciation. Soft US data and continued positive capex-led global growth momentum is ZAR positive but we still find ZAR is more than 1 std rich to our short-term fair value model (16.90), which considers US swap rates and ToT. A softer outlook for carry increases risk of spot convergence to FV.
- **The net impact of gold/oil prices is neutral for ToT since the start of the US/Iran conflict in late February - leading to moderate GDP growth expectations.** ToT is an important driver for ZAR FX, with compounding effects on local growth. Expectations for 2026 pickup in growth at the start of the year from ToT progress over 2025 have been moderated since the conflict, but structural economic reforms should still see growth acceleration in 2027 to 1.4% from 1.1% in 2026, according to our economist. Given the conflict setback, South Africa's ToT level is equivalent to December 2025.
- **ZAR is more than 1 std expensive compared to ST FV, with risk of spot convergence to fair value if SARB does not respond to accelerating headline/core inflation.** Considering the ZAR rally since the end of July, spot is 4.8% expensive vs our FV estimate of 16.90. The fair value implies ZAR appreciation is extreme relative to neutral ToT and the magnitude of the fall in US swap rates.
- **Expected return to SARB policy tightening from September can provide incremental confidence.** Our economists expect the SARB to resume policy tightening at the September meeting, which would mark the end of the tightening cycle. Incremental confidence in FX can be built with carry buffers provided local growth does not disappoint and soft sentiment indicators over the summer do manifest more materially.

TRY

Figure 2: J.P. Morgan Forecasts

	Sep 26	Dec 26	Mar 27	Jun 27
USD/TRY	49.00	51.40	53.70	56.11
Policy rate (%)	37.00	35.00	33.00	32.00

Source: J.P. Morgan.

- **MW in the GBI-EM Model Portfolio.** We remain MW TRY in the GBI-EM model portfolio favouring selling short-term USDTRY forwards in our outright portfolio (see [here](#)). The tighter stance of CBRT and restrained credit growth have led to an improvement in the fundamentals backing the lira carry trade recently, with inflation surprising to the downside and the core trade deficit narrowing somewhat. TRY has also benefited from a positive carry environment. Positioning has risen correspondingly. While this may generate some volatility in the forwards points, we do not envisage a more substantial challenge to the narrative.
- **The carry profile continues to be attractive, albeit with softer-than-expected July CPI likely opening the door for easing ahead.** We expect one-week repo auctions to remain suspended until the September 10 MPC meeting, with the effective funding rate at the 40% overnight lending rate until that time. Thereafter, we expect 100bp cuts at both the October and December meetings, bringing the one-week repo rate to 35% by end-26.
- **While the moderation in July CPI inflation signals a softer carry outlook, it reflects weakness in domestic demand and lower risk of economy overheating.** July CPI came in at 1.8% m/m, below our economists' expectations of 2.0% m/m. The downside surprise relative to our forecasts was driven primarily by the core goods inflation, which we assess as indicative of softness in domestic demand - most notably in the autos and white goods segments (see [here](#)). We also note lira credit growth is trending below 2025 and average seasonal trends - suggesting low risk of economy overheating which is carry positive.
- **International reserves have been rebuilt moderately since July, despite a return to higher oil prices.** Positive global EM carry backdrop have contributed to more benign conditions for FX reserves compared to the start of the US/Iran conflict in March, despite renewed strength in oil prices, albeit to a lower degree. Gross international reserves have improved from \$149bn at the end of June to \$178bn in the latest data up to August 7th and remain adequate to accommodate the current lira depreciation pace, in our view.

CE4

Figure 3: J.P. Morgan Forecasts

	Sep 26	Dec 26	Mar 27	Jun 27
EUR/PLN	4.20	4.20	4.10	4.10
USD/PLN	3.68	3.72	3.66	3.73
EUR/HUF	345	340	335	335
USD/HUF	303	301	299	305
EUR/CZK	24.00	23.70	23.50	23.40
USD/CZK	21.05	20.97	20.98	21.27
EUR/RON	5.25	5.27	5.30	5.30

Source: J.P. Morgan.

risks of snap elections or AUR involvement in government were to materialize, NBR would likely allow a weaker RON.

- CZK: OW in the GBI-EM Model Portfolio.** We have been OW CZK since June, with the structural bull case grounded in stronger growth momentum (see [here](#)), as well as an attractive vol-adjusted carry profile and hawkish CNB. While softer than expected Q2 GDP growth (2.0% vs 2.2% cons) has led the CNB to be incrementally dovish recently – core inflation remains firm around the 3% upper tolerance band and the central bank is still priced to hike 60bps over the next year. We expect FX to benefit from positive activity and inflation trajectory.
- PLN: MW in the GBI-EM Model Portfolio.** We are MW PLN in the GBI-EM model portfolio. Anticipated step up to EUR 40bn in EU inflows in 2026 continues to bode well for growth-sensitive zloty and Q2 GDP growth surprised to the upside (3.8% y/y vs 3.7% cons). Furthermore, a rate beat in preliminary July inflation (0.8% m/m vs 0.7% cons) are encouraging for the carry outlook. The NBP is now priced to hike rates 30bp over the next year (from small easing priced 1m ago). However, for a clearer appreciation potential, NBP itself would have to shift hawkish, in our view.
- HUF: OW in the GBI-EM Model Portfolio.** We continue to be structurally bullish HUF and are OW in the GBI-EM model portfolio, with expected structural FX catchup to peers underpinned by expected macro-fundamental improvements under the new Tisza government. Disbursement of 16bn of EU funding can provide a large growth impulse to already recovering activity. We view softer-than-expected July PMIs and Q2 GDP as a pause in broader improvement trend. Our year-end EURHUF target is 340. We continue to be long HUF vs RV basket (50% PLN, 50% CZK) and hold seagull option structures.
- RON: MW in the GBI-EM Model Portfolio.** MW in the GBI-EM Model Portfolio. We remain moderately bullish vs the forwards in RON. FX is likely to be more tightly contained going forward with inflation decelerating less than expected in July. Capacity to defend the currency remains solid with ample FX reserves. However, if tail

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KRW

Figure 1: J.P. Morgan forecasts

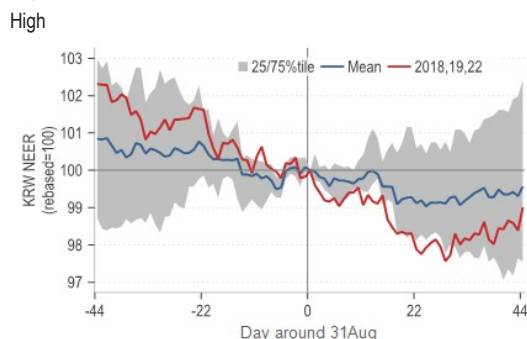
	Sep 26	Dec 26	Mar 27	Jun 27
USD/KRW	1470	1490	1490	1490
GDP (% saar)	4.0	3.0	3.5	3.5
CPI(% oya)	3.7	3.5	3.4	2.6
Policy rate (%)	3.00	3.25	3.50	3.75

Source: J.P. Morgan estimates.

KRW: At season's end

- **Corporate FX conversion has been a major tailwind for the won**, with tax-related seasonality having been a key motivation into the 31 Aug deadline. Historically, we find these payments have done little to turn the won's trajectory, even in the strongest years (2018, 19 and 22) for memory makers' tax payments (Figure 2).
- **CA flows likely to be well recycled by the open FA.** The CA has surged to 24.5% GDP in the past 3m, wides that are only matched by the FA -23.7% GDP (incl NEO). Beyond the near-term seasonal support from tax repatriation, this openness will likely remain a headwind for the won. Foreign holdings in Korea's two memory makers are above the \$1trn mark once again, nearly at levels in May/ Jun this year that forced profit-taking due to concentration limits amongst foreign investors.
- **Global financial conditions may tighten with seasonal turns in US data.** The narrative of US exceptionalism has taken a breather of late, with seasonal softness in US data driving downside surprises. The broad USD has continued to be the top driver of \$KRW, suggesting a turn once corporate conversion flows ease post-Aug.
- **We stay neutral on the won for now, with equity flows likely to re-emerge as a vulnerability in the coming weeks.**

Figure 2: KRW NEER performance around tax deadline



Source: Bloomberg Finance L.P., J.P. Morgan.

INR

Figure 3: J.P. Morgan forecasts

	Sep 26	Dec 26	Mar 27	Jun 27
USD/INR	95.50	96.00	97.00	98.00
GDP (% saar)	5.0	6.2	6.3	6.7
CPI(% oya)	4.9	5.6	5.6	5.5
Policy rate (%)	5.25	5.25	5.25	5.25

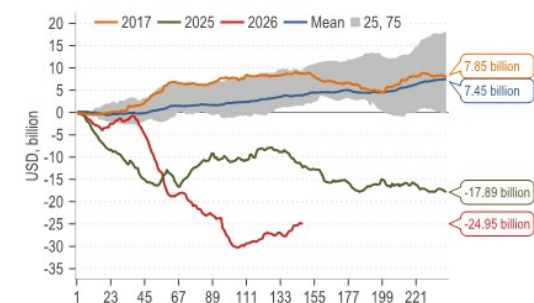
Source: J.P. Morgan.

INR: Inflows

- **Inflows into FCNR deposits have outperformed**, reaching \$60bn and helping to lift the RBI's net FXR position. The challenge for markets is the absence of these flows in the spot market, where mechanical appreciation pressure on the rupee would help to drive it stronger.
- **The RBI's reaction function has turned more hawkish of late**, with concerns about further INR weakness likely motivating the central bank to step in more forcefully. While this is a positive development, we think the central bank needs to do more to fix market psychology, with the credibility of FX policy having taken a huge hit in recent years.
- **Seasonals weaken but FA flows are starting to improve.** An uptick in seasonal import pressures into Diwali will be a challenge for the rupee in the coming months, but equity flows have started to turn, with \$5bn of foreign purchases since mid-June.
- **We continue to see the INR as the best turnaround play in Asia HY, and stay MW INR FX on the GBI-EM but hold longs vs PHP and IDR.**

Figure 4: YTD Inflows into India vs annual pattern

vs historical mean and interquartile range



Source: Bloomberg Finance L.P., J.P. Morgan.

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Global Markets Strategy
Key Currency Views
15 August 2026

J.P.Morgan

CNY

Figure 1: J.P. Morgan forecasts

	Sep 26	Dec 26	Mar 27	Jun 27
USD/CNY	6.70	6.70	6.75	6.80
GDP (% saar)	4.3	4.9	4.5	4.5
CPI(% oya)	1.3	1.0	1.2	0.7
Policy rate (%)	1.40	1.30	1.30	1.30

Source: J.P. Morgan.

Stay constructive, waiting to re-engage with CNY longs

- **Growth remains fragile heading into 2H.** China's July activity data point to a soft start to 3Q, with both the NBS and RatingDog PMIs signaling weaker momentum across manufacturing and services. The official PMIs surprised to the downside, while the output index slipped below 50, raising concerns about the durability of June's industrial production rebound. Domestic demand softened more visibly, and the construction PMI remained firmly in contraction amid the ongoing property downturn and weather-related disruptions.
- **Domestic weakness, together with the recent flattening of the daily CNY fix, has constrained the CNY's participation in the latest leg lower in the DXY.** Part of the explanation lies in positioning dynamics. In the likes of EUR and JPY, markets entered the latest event with [sizeable long-USD exposures](#), leaving ample room for position unwinds to amplify currency gains against the dollar. By contrast, the constructive CNY narrative this year has already encouraged a broad short USD/CNH bias among investors. Our latest EM client survey similarly points to overall CNY bullish positioning running near multi-year highs. This stands in sharp contrast to the summer of 2024, when USD/CNH participated much more visibly in the broader dollar selloff and carry unwind alongside the USD/JPY dip. At that time, the market entered the move with deeply entrenched bearish CNY positioning and significant long USD/CNH exposure, allowing position unwinds to act as a powerful amplifier of CNY strength. In the current episode, however, the starting positioning is far less supportive of an additional appreciation impulse for the yuan. As a result, CNY FX has underperformed, with the CNY TWI tracking the dollar lower in recent

weeks, having reached its highest level in four years last month.

- At the same time, the daily CNY fixing has flattened following the recent downside break in USD/CNH, suggesting an element of pace control from the PBoC. In recent weeks, our tracking of PBoC signaling has indeed shifted to resisting lower USD/CNH moves. **That said, we view the recent stabilization in the fixing more as a tactical pause than as a hard cap on CNY strength from the PBoC.** Relative to recent-year trends, the CNY TWI still screens as only moderately high and remains well short of the previous cycle extremes. This suggests that while the PBoC may seek to smooth short-term volatility, there is limited urgency to fundamentally cap CNY strength at current levels. Meanwhile, concerns that a stronger CNY would meaningfully erode China's export competitiveness have yet to be borne out in the data, as July export growth again surprised to the upside. This is broadly consistent with our longstanding view that China's export sensitivity to exchange rate fluctuations has declined over time. Such a dynamic removes an important political constraint on policymakers, giving the PBoC greater room to tolerate/ guide further yuan appreciation without jeopardizing broader growth and trade objectives.
- **While a stronger CNY has not significantly impaired export performance, resilient exports and a persistently large trade surplus continue to generate an underlying tailwind for the currency.** Ongoing USD conversion by Chinese corporates remains a structural source of support for CNY strength. We believe the balance of risks continues to point toward a renewed acceleration in CNY appreciation. This is particularly the case as markets move closer to President Xi's upcoming state visit to the US, an event that could encourage the PBoC to resume a more explicit strengthening bias for the yuan. We have been expressing our constructive CNY view through short USD/CNH option structures since May. While that position rolled off earlier this month, our broader directional bias remains unchanged. We continue to favor medium-term CNY strength and would look to re-establish CNY longs against both the USD and EUR once the current positioning shakeout has run its course and market positioning becomes cleaner.

Figure 2: Alternative scenarios to base-case view

Risk bias	Scenarios	Potential trigger events
Bullish	• CNY bearish: (1) geopolitical tensions flare up; (2) hawkish Fed risk	• Geopolitical tensions and energy shocks; Trump-Xi meeting; USD/CNY fixing and spot moves; Chinese PMI, exports and trade, IP each month; Moves of USD/JPY, EUR, KRW
	• CNY bullish: (1) stronger-than-expected corporate dollar supply; (2) equity momentum and portfolio inflows pick up;	

Source: J.P. Morgan

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J.P. Morgan FX forecasts vs. forwards & consensus

Exchange rates vs. U.S dollar

Majors	Current					JPM forecast gain/loss vs June 27*			Actual change in local FX vs USD			
	14-Aug	Sep 26	Dec 26	Mar 27	Jun 27	Spot	Forwards	Consensus**	Past 1mo	Past 3mo	YTD	Past 12mos
EUR	1.16	1.14	1.13	1.12	1.10	-5.0%	-6.1%	-6.8%	-0.6%	-0.4%	-1.4%	-0.6%
JPY	159	160	164	164	164	-3.1%	-5.3%	-5.5%	0.2%	-0.1%	-1.4%	-7.0%
GBP	1.36	1.31	1.28	1.29	1.28	-5.6%	-5.5%	-5.3%	0.9%	1.7%	0.6%	0.2%
AUD	0.71	0.70	0.69	0.69	0.69	-2.7%	-2.2%	-4.2%	-1.2%	-0.9%	6.2%	9.1%
CAD	1.39	1.40	1.41	1.40	1.39	-0.2%	-1.5%	-1.4%	-0.3%	-0.9%	-1.1%	-0.4%
NZD	0.59	0.60	0.60	0.60	0.60	1.8%	1.1%	-1.6%	-1.4%	0.9%	2.3%	-0.4%
JPM USD index	107.0	107.6	↑ 108.4	↑ 108.7	↑ 109.4	2.2%	2.8%	2.9%	-0.1%	-0.3%	-0.7%	-1.5%
DXY	99.5	101.0	↑ 102.3	↑ 102.8	↑ 104.1	4.6%	-5.6%	6.1%	0.4%	0.2%	1.2%	1.3%

Europe, Middle East & Africa

CHF	0.81	0.82	↓ 0.84	↓ 0.85	↓ 0.86	-6.1%	-9.3%	-8.7%	-3.6%	-3.0%	-2.3%	-0.4%
ILS	2.95	2.90	2.85	↓ 2.80	↓ 2.75	7.3%	6.0%	4.7%	-5.0%	-1.0%	7.9%	14.7%
SEK	9.50	9.47	9.56	9.73	9.91	-4.1%	-5.6%	-9.3%	-2.6%	-0.6%	-3.1%	0.8%
NOK	9.45	9.47	↑ 9.56	9.55	9.73	-2.9%	-2.5%	-4.6%	-2.0%	-1.4%	6.8%	8.2%
CZK	20.90	21.05	20.97	20.98	21.27	-1.7%	-2.1%	-4.4%	-0.2%	0.1%	-1.5%	0.6%
PLN	3.72	3.68	3.72	3.66	3.73	-0.3%	-0.3%	-3.1%	-2.3%	-1.7%	-3.4%	-1.5%
HUF	313	303	↓ 301	299	305	2.8%	3.6%	-2.5%	-2.8%	-0.6%	4.5%	8.4%
TRY	47.88	49.00	51.40	53.70	56.11	-14.7%	10.6%	-2.0%	-4.2%	-5.0%	-10.3%	-14.7%
ZAR	16.18	16.25	16.00	15.90	15.75	2.7%	5.3%	1.6%	0.3%	3.2%	2.3%	8.7%

ARS	1492	1530	↓ 1575	↓ 1600	1650	-9.6%	9.4%	1.5%	-5.6%	-6.5%	-2.7%	-13.0%
BRL	5.22	5.15	5.20	5.15	5.15	1.3%	8.3%	0.6%	-3.1%	-3.1%	5.0%	3.8%
CLP	913	910	↓ 910	↓ 905	↓ 900	1.4%	1.3%	-2.1%	-2.5%	-0.4%	-1.3%	5.9%
COP	3112	3150	↑ 3200	↑ 3250	↑ 3300	-5.7%	1.4%	6.1%	17.0%	22.1%	21.4%	30.2%
MXN	16.98	17.20	↑ 17.25	↑ 17.30	17.30	-1.8%	0.8%	2.0%	2.1%	2.1%	6.0%	10.7%
PEN	3.37	3.40	↑ 3.40	3.35	3.35	0.4%	1.5%	0.0%	1.5%	2.1%	-0.1%	6.1%

CNY	6.74	6.70	6.70	6.75	6.80	-0.9%	-3.3%	-2.2%	0.4%	1.1%	3.7%	6.5%
HKD	7.85	7.84	7.84	7.85	7.85	0.0%	-0.8%	-0.6%	-0.1%	-0.2%	-0.8%	-0.2%
IDR	17825	18300	18500	18600	18700	-4.7%	-2.8%	-5.5%	0.3%	-2.0%	-6.4%	-9.6%
INR	95.44	95.50	96.00	97.00	98.00	-2.6%	0.1%	-2.7%	-0.5%	0.6%	-5.8%	-8.2%
KRW	1412	1470	↑ 1490	↑ 1490	↑ 1490	-5.2%	-5.8%	-2.7%	6.8%	6.1%	2.0%	-1.5%
MYR	4.09	4.00	4.00	4.05	4.10	-0.3%	-1.1%	-2.4%	-3.0%	-3.2%	-0.6%	3.1%
PHP	61.44	62.50	63.00	64.50	65.00	-5.5%	-4.5%	-6.4%	0.2%	0.5%	-4.3%	-7.4%
SGD	1.28	1.28	1.28	1.28	1.28	-0.1%	-2.3%	-0.8%	-0.1%	0.2%	0.6%	0.5%
TWD	32.03	31.70	31.90	31.90	31.90	0.4%	-0.9%	-1.9%	-2.1%	-1.5%	-1.9%	-6.4%
THB	33.15	33.00	33.30	33.30	33.50	-1.0%	-3.0%	-1.5%	-1.8%	-1.5%	-5.0%	-2.4%
EMCI	46.9	45.3	↓ 45.1	↓ 44.9	↓ 44.7	-4.8%	0.4%	-3.3%	-0.8%	-0.3%	1.1%	2.4%

Exchange rates vs Euro

JPY	184	182	185	184	180	2.0%	0.8%	1.4%	0.8%	0.3%	0.0%	-6.5%
GBP	0.85	0.87	0.88	0.87	0.86	-0.7%	0.6%	1.6%	1.5%	2.1%	2.0%	0.8%
CHF	0.94	0.94	↓ 0.95	↓ 0.95	↓ 0.95	-1.1%	-3.4%	-2.1%	-3.1%	-2.6%	-0.9%	0.1%
SEK	11.01	10.80	10.80	10.90	10.90	1.0%	0.6%	-2.8%	-2.1%	-0.1%	-1.7%	1.5%
NOK	10.94	10.80	↑ 10.80	10.70	10.70	2.2%	3.9%	2.3%	-1.5%	-1.0%	8.3%	8.8%
CZK	24.20	24.00	23.70	23.50	23.40	3.4%	4.3%	2.6%	0.3%	0.5%	-0.1%	1.2%
PLN	4.30	4.20	4.20	4.10	4.10	5.0%	6.2%	3.9%	-1.8%	-1.3%	-2.0%	-0.9%
HUF	363	345	↓ 340	335	335	8.2%	10.3%	4.6%	-2.3%	-0.2%	6.0%	9.0%
RON	5.24	5.25	5.27	5.30	5.30	-1.1%	1.8%	0.0%	0.2%	-1.3%	-2.9%	-3.4%
TRY	55.49	55.86	58.08	60.14	61.72	-10.1%	17.8%	5.2%	-3.6%	-4.6%	-9.0%	-14.2%
BRL	6.04	5.87	5.88	5.77	5.67	6.6%	15.4%	7.9%	-2.6%	-2.7%	6.9%	4.5%
MXN	19.67	19.61	↑ 19.49	↑ 19.38	19.03	3.3%	7.3%	9.4%	2.7%	2.5%	7.6%	11.3%

↑ indicates a revision resulting in a stronger currency forecast, ↓ indicates a revision resulting in a weaker currency forecast. Source: J.P.Morgan

* Positive indicates JPM more bullish on local currency than spot, consensus or forward rates. ** Bloomberg FX Consensus Forecasts compares 2Q'27

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J.P. Morgan forecasts: rates, credit, equities & commodities

Rates

	Current	Sep-26	Dec-26	Mar-27	Jun-27
US (SOFR)	3.63	3.65	3.90	3.90	3.90
10-year yields	4.68	4.80	4.85	4.85	4.85
Euro area (depo)	2.25	2.50	2.50	2.50	2.50
10-year yields	3.16	2.95	2.90	2.85	2.80
Italy-Germany 10Y (bp)	78	85	85	80	80
Spain-Germany 10Y (bp)	44	45	45	45	45
United Kingdom (bank rate)	3.75	3.75	4.00	4.00	3.75
10-year yields	4.96	4.80	4.80	4.75	4.70
Japan (call rate)	1.00	1.00	1.25	1.25	1.50
10-year yields	2.82	2.95	2.95	2.95	3.05
EM Local (GBI-EM yield)	6.20		6.03		

Currencies

	Current	Sep-26	Dec-26	Mar-27	Jun-27
JPM USD Index	107.0	107.6	108.3	108.7	109.3
EUR/USD	1.15	1.14	1.13	1.12	1.10
USD/JPY	159	160	164	164	164
GBP/USD	1.35	1.31	1.28	1.29	1.28
AUD/USD	0.71	0.70	0.69	0.69	0.69
USD/CNY	6.74	6.70	6.70	6.75	6.80
USD/KRW	1414	1470	1490	1490	1490
USD/MXN	17.11	17.20	17.25	17.30	17.30
USD/BRL	5.11	5.15	5.20	5.15	5.15
USD/TRY	47.74	49.00	51.40	53.70	56.11
USD/ZAR	16.19	16.25	16.00	15.90	15.75

Commodities

	Current	Sep-26	Dec-26	Mar-27	Jun-27
Brent (\$/bbl, qtr avg)	87	86	80	71	67
WTI (\$/bbl, qtr avg)	82	81	74	67	63
Gold (\$/oz, qtr avg)	4402	4300	4500	4600	4700
Copper (\$/metric tonne, qtr avg)	14325	14500	14800	14000	13800
Aluminum (\$/metric tonne, qtr avg)	3312	3800	3700	3450	3200
Iron ore 62% Fe (\$/metric tonne, qtr avg)	95	105	100	100	100
Wheat (\$/bu, qtr avg)	6.3	5.6	5.8	5.7	5.7
Soybeans (\$/bu, qtr avg)	11.58	10.50	11.00	11.00	11.30

Credit

		Current	Dec-26
US High Grade (bp over UST)	JPM JULI	92	95
Euro High Grade (bp over Bunds)	iBoxx HG	89	90
US High Yield (bp vs. UST)	JPM HY	303	350
Euro High Yield (bp over Bunds)	iBoxx HY	310	300
EM Sovereigns (bp vs. UST)	JPM EMBIGD	233	250
EM Corporates (bp vs. UST)	JPM CEMBI	162	180

Equities

		Current	Dec-26
US	S&P 500	7,753	8,000
Euro Area	MSCI Eurozone	396	420
UK	FTSE 100	10,873	11,000
Japan	TOPIX	4,101	4,400
EM	MSCI EM (\$)	1,670	2,000
China	MSCI China	78	100
Korea	KOSPI	6,346	9,000
Taiwan	TWSE	45,121	47,000
India	MSCI India	2,998	3,200
Brazil	Ibovespa	171,994	185,000
Mexico	MEXBOL	66,439	69,000
Saudi Arabia	MSCI Saudi Arabia	1,248	1,235

Equity Sectors - YTD Returns & Recommendations

	US	Europe	Japan	EM
Energy	36.3% UW	35.3% UW	15.8% OW	9.6% OW
Materials	17.0% UW	19.5% OW	21.5% OW	7.5% OW
Industrials	19.6% N	15.2% OW	21.4% N	15.1% N
Discretionary	2.6% N	-6.1% OW	9.4% OW	-5.9% N
Staples	10.5% N	6.0% UW	9.2% UW	-1.3% UW
Healthcare	9.2% N	4.1% N	7.0% UW	10.1% UW
Financials	6.1% N	20.1% N	38.1% OW	8.6% OW
Technology	23.3% OW	36.6% N	48.3% OW	64.6% OW
Comm Services	2.7% OW	2.7% N	4.9% N	-12.5% N
Utilities	2.2% OW	16.8% N	1.0% OW	3.8% N
Real Estate	11.3% UW	7.4% N	-8.6% OW	0.5% N
Overall	14.0% OW	14.5% OW	22.1% N	20.6% OW

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Global economic outlook

	Real GDP			Real GDP						Consumer prices			
	% over a year ago			% over previous period, saar						% over a year ago			
	2025	2026	2027	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	4Q25	2Q26	4Q26	2Q27
United States	2.1	2.1	2.0	2.1	1.5	<u>2.5</u>	1.8	2.3	2.3	2.7	3.8	3.5	1.8
Canada	1.9	0.8	1.6	-0.1	<u>3.0</u>	1.4	1.4	1.7	1.7	2.2	3.0	2.7	1.6
Latin America	2.1	1.9	1.8	1.6	<u>2.9</u>	1.6	2.1	2.1	1.3	3.9	4.3	4.4	3.8
Argentina	4.4	2.7	3.0	3.0	<u>-1.5</u>	3.8	4.5	4.0	2.0	31.8	32.8	29.4	20.5
Brazil	2.3	2.0	1.3	4.5	<u>2.0</u>	1.2	1.0	2.4	0.4	4.5	4.6	4.9	3.8
Chile	2.5	1.0	3.2	-1.1	<u>1.2</u>	4.0	3.5	2.5	3.0	3.4	4.0	3.8	3.4
Colombia	2.6	2.6	1.5	2.4	<u>2.5</u>	1.5	0.5	1.5	2.0	5.3	5.8	6.2	5.9
Ecuador	3.7	3.0	2.0	4.5	<u>0.3</u>	1.0	2.0	3.0	2.3	1.4	1.9	2.2	1.5
Mexico	0.5	1.4	1.7	-2.4	<u>6.1</u>	<u>0.5</u>	2.5	1.0	1.3	3.7	3.9	3.7	3.5
Peru	3.4	3.0	2.9	2.4	<u>2.5</u>	4.0	2.5	3.5	2.7	1.4	4.0	4.1	3.2
Uruguay	1.8	1.1	1.4	3.2	<u>0.4</u>	0.0	1.0	1.3	0.0	4.0	3.1	4.3	5.1
Asia/Pacific	4.5	4.3	3.9	5.6	<u>2.9</u>	3.7	4.1	4.0	4.1	1.2	2.0	2.3	1.9
Japan	1.1	0.9	1.1	1.8	<u>1.9</u>	1.0	1.3	1.0	1.2	2.7	1.5	2.9	2.3
Australia	2.0	2.0	1.8	1.1	<u>1.6</u>	1.5	1.9	1.5	1.7	3.6	3.9	3.9	3.6
New Zealand	0.2	2.1	2.3	3.2	<u>1.2</u>	3.4	1.2	4.0	1.0	3.1	3.8	3.7	2.4
EM Asia	5.2	4.9	4.4	6.5	<u>3.1</u>	4.2	4.7	4.6	4.7	0.9	1.9	2.1	1.7
China	5.0	4.6	4.3	6.3	<u>2.4</u>	<u>4.3</u>	4.9	4.5	4.5	0.6	1.1	1.0	0.7
India	7.7	6.5	6.3	8.0	<u>5.1</u>	5.0	6.2	6.3	6.7	0.8	4.1	5.6	5.5
Ex China/India	4.0	4.9	3.8	6.0	<u>4.1</u>	3.7	3.2	4.0	4.1	1.8	2.9	3.2	2.3
Hong Kong	3.6	3.4	2.9	12.1	<u>-2.4</u>	<u>2.8</u>	2.8	3.0	2.8	1.3	1.9	1.7	1.6
Indonesia	5.1	5.0	4.9	5.3	<u>5.1</u>	<u>3.7</u>	2.9	6.0	5.8	2.8	2.9	3.4	2.7
Korea	1.1	3.8	3.3	7.5	<u>2.5</u>	<u>4.0</u>	3.0	3.5	3.5	2.4	3.0	3.5	2.6
Malaysia	5.2	5.3	4.5	1.7	<u>8.5</u>	<u>5.0</u>	4.5	4.0	4.0	1.4	2.0	2.1	1.8
Philippines	4.4	3.5	5.3	3.8	<u>2.3</u>	<u>6.5</u>	7.0	4.1	5.5	1.7	6.8	6.5	3.8
Singapore	5.0	4.6	2.5	5.3	<u>4.6</u>	<u>1.0</u>	1.0	3.0	3.0	1.2	1.7	2.4	1.9
Taiwan	8.8	9.9	3.7	6.9	<u>9.9</u>	<u>3.2</u>	3.2	4.0	4.0	1.3	2.2	2.2	1.7
Thailand	2.4	2.8	2.5	2.7	<u>0.8</u>	2.8	2.8	2.8	2.4	-0.5	2.7	3.1	0.6
Western Europe	1.3	1.0	1.4	0.4	<u>1.8</u>	1.2	1.4	1.5	1.5	2.3	2.9	3.0	2.1
Euro area	1.3	0.9	1.4	0.0	<u>1.8</u>	<u>1.3</u>	1.5	1.5	1.5	2.1	3.0	3.1	2.0
Germany	0.3	1.0	1.5	1.7	<u>0.9</u>	<u>1.3</u>	1.8	1.8	1.8	2.3	2.6	2.5	1.9
France	0.9	0.6	1.1	-0.6	<u>0.7</u>	<u>0.8</u>	1.3	1.3	1.0	0.8	2.4	2.9	1.8
Italy	0.7	0.9	0.6	1.3	<u>0.8</u>	<u>0.8</u>	0.8	0.8	0.5	1.2	3.0	3.9	1.8
Spain	2.8	2.7	2.2	2.5	<u>2.9</u>	<u>3.0</u>	2.5	2.0	1.8	3.1	3.6	3.3	2.4
Norway	1.7	1.0	1.6	0.6	<u>1.4</u>	1.8	1.8	1.8	1.5	3.1	3.1	2.9	2.1
Sweden	1.7	2.4	2.1	-0.6	<u>5.7</u>	<u>2.0</u>	2.3	2.0	1.8	0.5	0.5	1.3	1.9
United Kingdom	1.3	1.2	1.2	2.5	<u>1.5</u>	<u>0.8</u>	1.0	1.6	1.2	3.4	2.8	3.0	2.7
EMEA EM	2.1	1.9	2.8	-0.6	<u>3.5</u>	3.0	2.9	2.7	2.4	10.6	10.4	9.9	8.5
Czech Republic	2.5	2.1	2.2	0.8	<u>1.5</u>	<u>2.3</u>	2.5	2.1	2.1	2.2	2.0	2.2	2.2
Hungary	0.4	2.1	2.9	3.2	<u>1.6</u>	<u>3.0</u>	2.8	3.0	3.3	3.8	1.9	1.7	2.5
Israel	2.9	3.6	4.2	-3.8	<u>10.5</u>	5.5	3.8	3.5	3.5	2.5	1.8	1.9	1.7
Poland	3.6	3.4	2.9	2.4	<u>4.3</u>	3.3	3.0	2.8	2.5	2.6	2.9	3.2	3.3
Romania	0.7	0.0	3.0	0.0	<u>3.4</u>	3.6	3.2	2.8	2.4	9.7	10.7	5.4	4.3
Russia	1.0	0.5	1.6	-3.1	<u>2.3</u>	<u>1.0</u>	2.0	1.5	1.5	6.6	5.6	6.6	6.2
South Africa	1.1	1.1	1.4	2.2	<u>0.0</u>	1.5	1.2	1.6	1.6	3.6	4.5	4.5	3.3
Türkiye	3.6	3.0	4.6	0.5	<u>4.0</u>	5.5	4.6	4.5	3.5	31.6	32.4	29.6	24.0
Global	2.8	2.6	2.6	2.7	<u>2.3</u>	2.6	2.6	2.7	2.7	2.7	3.4	3.4	2.4
Developed markets	1.7	1.6	1.7	1.4	<u>1.7</u>	1.9	1.6	1.9	1.8	2.6	3.3	3.2	2.0
Emerging markets	4.2	4.0	3.8	4.7	<u>3.1</u>	3.7	4.0	4.0	3.8	2.8	3.5	3.6	3.0
Emerging ex China	3.6	3.5	3.4	3.3	<u>3.8</u>	3.1	3.3	3.5	3.3	4.7	5.6	5.8	5.0
Global — PPP weighted	3.3	3.0	3.0	3.2	<u>2.6</u>	2.8	3.0	3.1	3.0	2.9	3.7	3.8	2.9

Source: Government agencies and J.P. Morgan Global Economics. Details on request. Note: For some emerging economies seasonally adjusted GDP data are estimated by J.P. Morgan. Bold denotes changes from last edition of Global Data Watch, with arrows showing the direction of changes. Underline indicates beginning of J.P. Morgan forecasts. Unless noted, concurrent nominal GDP weights calculated with current FX rates are used in computing our global and regional aggregates. Regional CPI aggregates exclude Argentina and Ecuador. Source: J.P. Morgan. Any long-form nomenclature for references to China; Hong Kong; and Taiwan within this research material is Mainland China; Hong Kong SAR (China) and Taiwan (China).

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Central bank announcement dates in 2026

	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC
Australia		3	17		5	16		11	29		3	8
Brazil	28		18	29		17		5	16		4	9
Canada	28		18	29		10	15		2	28		9
Chile	27		24	28		16	28		8	27		15
Colombia	30		31	30		30	31		30	30		18
Czech Republic		5	19		7	18		6	17		5	17
Euro area		5	19	30		11	23		10	29		17
Hungary	27	24	24	28	26	23	21	25	22	20	17	15
India		6										
Indonesia	21	19	17	22	20	18	22	19	23	21	18	16
Israel	5	23	30		25		6	31		21	23	
Japan	23		19	28		16	31		18	30		18
Korea	15	26		10	28		16	27		22	26	
Malaysia	22		6		8		9		4		6	
Mexico		5	26		7	25		6	24		5	17
New Zealand		18		8	27		8		2	28		9
Norway	22		26		7	18		13	24		5	17
Philippines		19		23		18		27		22		17
Poland	14	4	4	9	6	10	8		2	7	4	2
South Africa	29		26		28		23		23		19	
Sweden	29		19		7	17		20	24		4	16
Switzerland			19			18			24			10
Thailand		25		29		24		26		28		23
Turkey	22		12	22		11	23		10	22		10
United Kingdom		5	19	30		18	30		17		5	17
United States	28		18	29		17	29		16	28		9

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Global central bank forecasts

	Official rate	Current rate (%pa)	4-qrtr change (bp)		Last change	Next mtg	Forecast next change	Forecast (%pa)				
			Last	Next				Sep 26	Dec 26	Mar 27	Jun 27	Sep 27
Global		3.96	-42	-8				4.00	4.04	4.02	3.97	3.88
excluding US		4.05	-24	-22				4.11	4.06	4.03	3.96	3.84
Developed		3.08	-33	17				3.15	3.32	3.34	3.32	3.26
Emerging		5.26	-56	-45				5.25	5.12	5.02	4.94	4.81
Latin America		9.91	-70	-47				9.81	9.82	9.85	9.67	9.44
EMEA EM		14.68	-292	-230				14.57	13.88	13.19	12.71	12.38
EM Asia		2.34	-1	-3				2.38	2.34	2.36	2.38	2.31
The Americas		4.51	-73	13				4.50	4.70	4.70	4.68	4.65
United States	Fed funds	3.75	-75	25	10 Dec 25 (-25bp)	16 Sep 26	Dec 26 (+25bp)	3.75	4.00	4.00	4.00	4.00
Canada	O/N rate	2.25	-50	0	29 Oct 25 (-25bp)	2 Sep 26	On hold	2.25	2.25	2.25	2.25	2.25
Brazil	SELIC O/N	14.00	-100	-125	5 Aug 26 (-25bp)	16 Sep 26	Sep 26 (-25bp)	13.75	13.75	13.75	13.25	12.75
Mexico	Repo rate	6.50	-128	0	7 May 26 (-25bp)	24 Sep 26	On hold	6.50	6.50	6.50	6.50	6.50
Chile	Disc rate	4.50	-25	75	16 Dec 25 (-25bp)	8 Sep 26	1Q27 (+25bp)	4.50	4.50	4.75	5.00	5.25
Colombia	Repo rate	12.00	275	-50	30 Jun 26 (+75bp)	30 Sep 26	Jun 27 (-25bp)	12.00	12.00	12.00	12.00	11.50
Peru	Reference	4.25	-25	100	11 Sep 25 (-25bp)	10 Sep 26	7 Oct 26 (+25bp)	4.25	4.50	4.75	5.00	5.25
Europe/Africa		5.33	-56	-52				5.45	5.34	5.18	5.03	4.81
Euro area	Depo rate	2.25	25	0	11 Jun 26 (+25bp)	10 Sep 26	Sep 26 (+25bp)	2.50	2.50	2.50	2.50	2.25
United Kingdom	Bank rate	3.75	-25	0	18 Dec 25 (-25bp)	17 Sep 26	Nov 26 (+25bp)	3.75	4.00	4.00	3.75	3.75
Norway	Dep rate	4.25	0	0	7 May 26 (+25bp)	24 Sep 26	Dec 26 (+25bp)	4.25	4.50	4.50	4.25	4.25
Sweden	Repo rate	1.75	-25	25	23 Sep 25 (-25bp)	<u>20 Aug 26</u>	Dec 26 (+25bp)	1.75	2.00	2.00	2.00	2.00
Czech Republic	2-wk repo	3.75	25	25	18 Jun 26 (+25bp)	17 Sep 26	Nov 26 (+25bp)	3.75	4.00	4.00	4.00	4.00
Hungary	Base rate	5.75	-75	-100	21 Jul 26 (-25bp)	25 Aug 26	Aug 26 (-25bp)	5.25	5.00	4.75	4.75	4.75
Israel	Base rate	3.50	-100	-50	6 Jul 26 (-25bp)	1 Sep 26	Sep 26 (-25bp)	3.25	3.00	3.00	3.00	3.00
Poland	7-day interv	3.75	-125	0	4 Mar 26 (-25bp)	2 Sep 26	On hold	3.75	3.75	3.75	3.75	3.75
Romania	Base rate	6.50	0	-50	7 Aug 24 (-25bp)	8 Oct 26	May 27 (-25bp)	6.50	6.50	6.50	6.25	6.00
Russia	Key pol rate	14.00	-400	-275	24 Jul 26 (-25bp)	11 Sep 26	Sep 26 (-25bp)	13.75	13.00	12.25	11.50	11.25
South Africa	Repo rate	7.00	0	0	28 May 26 (+25bp)	23 Sep 26	Sep 26 (+25bp)	7.25	7.25	7.25	7.25	7.00
Türkiye	1-wk repo	37.00	-600	-600	22 Jan 26 (-100bp)	10 Sep 26	22 Oct 26 (-100bp)	37.00	35.00	33.00	32.00	31.00
Asia/Pacific		2.29	9	5				2.32	2.32	2.37	2.38	2.34
Australia	Cash rate	4.35	75	-25	5 May 26 (+25bp)	29 Sep 26	Aug '27 (-25bp)	4.35	4.35	4.35	4.35	4.10
New Zealand	Cash rate	2.50	-50	75	8 Jul 26 (+25bp)	2 Sep 26	Sep 26 (+25bp)	2.75	3.00	3.25	3.25	3.25
Japan	O/N call rate	1.00	52	75	16 Jun 26 (+25bp)	18 Sep 26	Oct 26 (+25bp)	1.00	1.25	1.50	1.50	1.75
Hong Kong	Disc. wndw	4.00	-75	25	10 Dec 25 (-25bp)	-	Dec 26 (+25bp)	4.00	4.25	4.25	4.25	4.25
China	7-day rev repo	1.40	0	-20	7 May 25 (-10bp)	-	4Q 26 (-10bp)	1.40	1.30	1.30	1.30	1.20
Korea	Base rate	2.75	25	100	16 Jul 26 (+25bp)	27 Aug 26	Aug 26 (+25bp)	3.00	3.25	3.50	3.75	3.75
Indonesia	BI RRR	5.75	75	25	18 Jun 26 (+25bp)	<u>19 Aug 26</u>	Sep-26 (+25bp)	6.00	6.00	6.00	6.00	6.00
India	Repo rate ²	5.25	-25	0	5 Dec 25 (-25bp)	7 Oct 26	On hold	5.25	5.25	5.25	5.25	5.25
Malaysia	O/N rate	2.75	0	25	9 Jul 25 (-25bp)	3 Sep 26	Nov 26 (+25bp)	2.75	3.00	3.00	3.00	3.00
Philippines	Rev repo	4.75	-50	75	18 Jun 26 (+25bp)	27 Aug 26	Aug 26 (+25bp)	5.00	5.50	5.50	5.50	5.50
Thailand	1-day repo	1.00	-50	0	25 Feb 26 (-25bp)	26 Aug 26	On hold	1.00	1.00	1.00	1.00	1.00
Taiwan	Official disc.	2.00	0	0	21 Mar 24 (+12.5bp)	17 Sep 26	On hold	2.00	2.00	2.00	2.00	2.00

Source: J.P. Morgan. 1 BoJ sets the policy rate on IOER (O/N) and targets 10-year JGB yields as policy guidance.

Bold denotes move since last GDW and forecast changes. Underline denotes policy meeting during upcoming week. Aggregates are GDP-weighted averages.

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Event Risk Calendar

	Date	Country	Event
Aug '26	19	Indonesia	BI rate announcement
	20	Sweden	Riksbank rate announcement
	25	Hungary	MNB rate announcement
	26	Thailand	BoT rate announcement
	27	Korea	BoK rate announcement
	31	Israel	Bol rate announcement
Sep '26	2	Canada	BoC rate announcement
	2	New Zealand	RBNZ rate announcement
	2	Poland	NBP rate announcement
	4	Malaysia	BNM rate announcement
	8	Chile	BCCh rate announcement
	10	Euro area	ECB rate announcement
	13	Sweden	Sweden election
	16	Brazil	COPOM rate announcement
	16	United States	FOMC rate announcement
	17	United Kingdom	BoE rate announcement
	18	Japan	BoJ rate announcement
	22	Hungary	MNB rate announcement
	24	Switzerland	SNB rate announcement
	24	Mexico	Banxico rate announcement
	24	Norway	Norges Bank rate announcement
	29	Australia	RBA rate announcement
Oct '26		UK	Autumn budget
		China	Politburo meeting
	4	Brazil	General elections
	5	Canada	Quebec general election
	7	Poland	NBP rate announcement
	12-18	World	World bank annual meeting
	20	Hungary	MNB rate announcement
	21	Israel	Bol rate announcement
	22	Korea	BoK rate announcement
	25	Brazil	Run-off election
	27	Chile	BCCh rate announcement
	27	Israel	Parliamentary Elections by this date
	28	Canada	BoC rate announcement
	28	United States	FOMC rate announcement
	28	New Zealand	RBNZ rate announcement
	28	Thailand	BoT rate announcement
	29	Euro area	ECB rate announcement
	30	Japan	BoJ rate announcement

Nov '26		South Africa	Municipal Elections
	1	China	Expiration of US-China trade truce agreement
	3	United States	Midterm Elections
	3	Australia	RBA rate announcement
	4	Poland	NBP rate announcement
	4	Brazil	COPOM rate announcement
	5	United Kingdom	BoE rate announcement
	5	Mexico	Banxico rate announcement
	5	Norway	Norges Bank rate announcement
	6	Malaysia	BNM rate announcement
	17	Hungary	MNB rate announcement
	23	Israel	Bol rate announcement
Dec '26	26	Korea	BoK rate announcement
	28	Taiwan	Taiwan local elections
	28	Australia	Victorian state election
		New Zealand	Last date for NZ national election
	2	Poland	NBP rate announcement
	8	Australia	RBA rate announcement
	9	Canada	BoC rate announcement
	9	Brazil	COPOM rate announcement
	9	United States	FOMC rate announcement
	9	New Zealand	RBNZ rate announcement
	10	Switzerland	SNB rate announcement
	14, 15	World	G20 Summit
	15	Chile	BCCh rate announcement
	15	Hungary	MNB rate announcement
	17	United Kingdom	BoE rate announcement
	17	Euro area	ECB rate announcement
	17	Mexico	Banxico rate announcement
	17	Norway	Norges Bank rate announcement
	18	Japan	BoJ rate announcement
	23	Thailand	BoT rate announcement
	31	Japan	Budget for FY2027

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Sovereign credit ratings and actions

	S&P		Moody's		Fitch		Recent S&P Action		Recent Moody's Action		Recent Fitch Action	
	Rating	View	Rating	View	Rating	View	Rating	Outlook	Rating	Outlook	Rating	Outlook
Argentina	B-		B3	(+)	B-		10-Jun-26	10-Jun-26	21-Jul-26	21-Jul-26	5-May-26	
Australia	AAA		Aaa		AAA		25-Feb-11	6-Jun-21	20-Oct-02	13-Nov-03	28-Nov-11	13-Oct-21
Austria	AA+		Aa1	(-)	AA		13-Jan-12	14-Feb-25	24-Jun-16	22-Aug-25	6-Jun-25	6-Jun-25
Belgium	AA-		A1		A+		24-Apr-26	24-Apr-26	17-Apr-26	17-Apr-26	13-Jun-25	13-Jun-25
Brazil	BB		Ba1		BB		19-Dec-23	19-Dec-23	1-Oct-24	30-May-25	25-Jul-23	26-Jul-23
Canada	AAA		Aaa		AA+		29-Jul-02	18-May-07	3-May-02	24-May-06	24-Jun-20	24-Jun-20
Chile	A		A2		A-		24-Mar-21	15-Oct-24	15-Sep-22	15-Sep-22	15-Oct-20	15-Oct-20
China	A+		A1		A		21-Sep-18	21-Sep-18	24-May-17	27-Apr-26	3-Apr-25	3-Apr-25
Colombia	BB-		Baa3		BB		8-Apr-26	8-Apr-26	26-Jun-25	26-Jun-25	16-Dec-25	16-Dec-25
Cyprus	A-	(+)	A3		A-	(+)	13-Dec-24	14-Nov-25	22-Nov-24	22-Nov-24	6-Dec-24	21-Nov-25
Czech Republic	AA-		Aa3		AA-		24-Aug-11	24-Aug-11	4-Oct-19	24-Nov-23	3-Aug-18	23-Feb-24
Denmark	AAA		Aaa		AAA		27-Feb-01	26-Sep-07	23-Aug-99	24-May-06	10-Nov-03	18-Dec-07
Finland	AA+	(-)	Aa1		AA		31-Dec-24	24-Apr-26	3-Jun-16	3-Jun-16	25-Jul-25	25-Jul-25
France	A+		Aa3	(-)	A+		17-Oct-25	17-Oct-25	14-Dec-24	24-Oct-25	12-Sep-25	12-Sep-25
Germany	AAA		Aaa		AAA		13-Jan-12	13-Jan-12	9-Feb-86	28-Feb-14	10-Aug-94	6-Nov-07
Greece	BBB		Baa3		BBB		18-Apr-25	18-Apr-25	14-Mar-25	14-Mar-25	14-Nov-25	14-Nov-25
Hong Kong	AA+		Aa3		AA+		21-Sep-17	21-Sep-17	20-Jan-20	27-May-25	20-Apr-20	22-Jun-21
Hungary	BBB-	(-)	Baa2	(-)	BBB-	(-)	27-Jun-23	11-Apr-25	24-Sep-21	29-Nov-24	22-Feb-19	5-Dec-25
India	BBB		Baa3		BBB-		14-Aug-25	14-Aug-25	1-Jun-20	5-Oct-21	1-Aug-06	10-Jun-22
Indonesia	BBB		Baa2	(-)	BBB-	(-)	31-May-19	27-Apr-22	13-Apr-18	5-Feb-26	20-Dec-17	4-Mar-26
Ireland	AA+		Aa3	(+)	AA		20-Mar-26	20-Mar-26	21-Apr-23	16-Aug-24	31-May-24	31-May-24
Israel	A		Baa1		A	(-)	1-Oct-24	7-Nov-25	27-Sep-24	30-Jan-26	12-Aug-24	12-Aug-24
Italy	BBB-	(+)	Baa2		BBB+		11-Apr-25	30-Jan-26	21-Nov-25	21-Nov-25	19-Sep-25	19-Sep-25
Japan	A+		A1		A		16-Sep-15	9-Jun-20	1-Dec-14	1-Dec-14	27-Apr-15	25-Mar-22
Malaysia	A-		A3		BBB+		8-Oct-03	27-Jun-22	16-Dec-04	11-Jan-16	4-Dec-20	4-Dec-20
Mexico	BBB	(-)	Baa3		BBB-		26-Mar-20	12-May-26	20-May-26	11-Jun-26	15-Apr-20	15-Apr-20
Netherlands	AAA		Aaa		AAA		20-Nov-15	20-Nov-15	10-Jan-86	7-Dec-20	10-Aug-94	11-Jul-14
New Zealand	AA+		Aaa	(-)	AA+	(-)	21-Feb-21	21-Feb-21	20-Oct-02	22-Apr-26	9-Sep-22	
Norway	AAA		Aaa		AAA		28-Dec-23	28-Dec-23	30-Sep-97	13-May-99	13-Mar-95	18-Dec-07
Peru	BBB-		Baa1		BBB		25-Apr-24	25-Apr-24	1-Sep-21	20-Sep-24	15-Oct-21	5-Nov-24
Poland	A-		A2	(-)	A-	(-)	12-Oct-18	12-Oct-18	12-Nov-02	19-Sep-25	18-Jan-07	5-Sep-25
Portugal	A+	(+)	A3		A	(+)	29-Aug-25	27-Feb-26	17-Nov-23	17-Nov-23	12-Sep-25	6-Mar-26
Romania	BBB-	(-)	Baa3	(-)	BBB-	(-)	16-May-14	24-Jan-25	6-Oct-06	14-Mar-25	4-Jul-11	17-Dec-24
Russia	NR		WR		WD		8-Apr-22		31-Mar-22		25-Mar-22	
Singapore	AAA		Aaa		AAA		25-Feb-11	2-May-08	14-Jun-02	22-Feb-10	14-May-03	7-Mar-08
Slovakia	A		A3		A-		24-Apr-26	24-Apr-26	13-Dec-24	13-Dec-24	6-Dec-23	8-Dec-23
Slovenia	AA		A2		A+		6-Jun-25	6-Jun-25	27-Feb-26	27-Feb-26	3-Oct-25	3-Oct-25
South Africa	BB	(+)	Ba2	(+)	BB		14-Nov-25	14-Nov-25	20-Nov-20	22-May-26	5-Jun-26	5-Jun-26
South Korea	AA		Aa2		AA-		7-Aug-16	7-Aug-16	18-Dec-15	18-Dec-15	6-Sep-12	11-Feb-20
Spain	A+		A3		A		12-Sep-25	12-Sep-25	26-Sep-25	26-Sep-25	26-Sep-25	26-Sep-25
Sweden	AAA		Aaa		AAA		23-Jan-14	23-Jan-14	4-Apr-02	15-Nov-03	8-Mar-04	18-Dec-07
Switzerland	AAA		Aaa		AAA		17-Feb-11	1-Dec-03	29-Jan-82	15-Nov-03	14-Dec-05	11-Jun-07
Taiwan	AA+		Aa3		AA		29-Apr-22	29-Apr-22	24-Mar-94	22-Sep-22	10-Sep-21	10-Sep-21
Thailand	BBB-		Baa1		BBB-	(-)	31-Oct-06	13-Apr-20	26-Nov-03	21-Apr-26	8-Mar-13	24-Sep-25
Turkey	BB-		Ba3		BB-		1-Nov-24	1-Nov-24	25-Jul-25	25-Jul-25	6-Sep-24	10-Apr-26
United Kingdom	AA		Aa3		AA-		27-Jun-16	21-Apr-23	16-Oct-20	20-Oct-23	27-Mar-20	22-Mar-24
United States	AA+		Aa1		AA+		5-Aug-11	10-Jun-13	16-May-25	16-May-25	1-Aug-23	1-Aug-23
Venezuela	NR		WR		WD		20-Sep-21		14-Aug-19	9-Mar-18	27-Jun-19	

RATING SCALE	S&P	MOODY'S	FITCH
Upper Investment Grade	AAA	Aaa	AAA
	AA+	Aa1	AA+
	AA	Aa2	AA
	AA-	Aa3	AA-
	A+	A1	A+
	A	A2	A
	A-	A3	A-
Lower Investment Grade	BBB+	Baa1	BBB+
	BBB	Baa2	BBB
	BBB-	Baa3	BBB-
Non-Investment Grade	BB+	Ba1	BB+
	BB	Ba2	BB
	BB-	Ba3	BB-

RATING SCALE	S&P	MOODY'S	FITCH
Lower Non-Investment Grade	B+	B2	B+
	B	B3	B-
	B-		B-
	CCC+	Caa1	CCC+
	CCC	Caa2	CCC
	CCC-	Caa3	CCC-
	CC	Ca	CC
	C	C	C
Default	SD		RD
	D		D

Source: Ratings agencies via Bloomberg

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